



THE REPUBLIC OF KENYA

OFFICE OF THE CONTROLLER OF BUDGET

NATIONAL GOVERNMENT BUDGET IMPLEMENTATION REVIEW REPORT

**First Quarter
FY 2015/16**



November 2015



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OFFICE OF THE CONTROLLER OF BUDGET

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FOREWORD

It is with great pleasure that the Office of the Controller of Budget (OCOB) presents the Budget Implementation Review Report (BIRR) for the first quarter of the 2015/16 Financial Year. This report has been prepared in accordance with Article 228 (6) of the Constitution of Kenya, 2010 which requires the Controller of Budget to submit to Parliament a report on the implementation of the budgets of the national and county governments every four months.

This report comes at a time when the Government is focused on addressing security challenges facing the country to spur economic activity. Significant achievements have been registered with the most notable being the lifting of travel advisories, which had affected the Tourism sector. It is hoped that this will present a positive impact on the sector and the economy at large.

The report is largely based on analysis of expenditure returns by Ministries, Departments and Agencies (MDAs) and financial data generated from the Integrated Financial Management System (IFMIS). It is also informed by continuous monitoring of exchequer issues, revenue, and expenditure performance compared to the same period of the previous financial year.

It is through this quarterly BIRR reports that the Office of the Controller of Budget promotes effectiveness, efficiency and prudent use of public funds. The office is committed to disseminating information to the general public on budget implementation. This gives an opportunity to the citizenry to interrogate how public funds are being utilized. I therefore urge the readers of this report to take an active interest in budget implementation and continuous monitoring and evaluation of implemented activities. By taking an active interest in the budget cycle, stakeholders will contribute towards ensuring that public funds are used prudently and the Government delivers on its objectives and promises to the citizenry.

The office is grateful for the feedback from readers of our reports. The office will endeavour to ensure that members of public get comprehensive information on budget implementation. I urge members of the public to take interest in the budget implementation process through social audits in order to ensure that public funds are utilized in a responsible way.



Mrs. Agnes Odhiambo

Controller of Budget

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EXECUTIVE SUMMARY

This is the first quarter Budget Implementation Review Report (BIRR) by the Office of the Controller of Budget (OCOB) for the FY 2015/16. It covers the period July to September 2015. The report has been prepared in fulfilment of Article 228 of the Constitution of Kenya, 2010 which requires the Controller of Budget to oversee and report on the implementation of the budgets of both the National and County Governments and to submit to each House of Parliament a report every four months.

During the first quarter of FY 2015/16, it is noted that some of the key issues that affected budget implementation in FY 2014/15 have either been addressed or changed favorably. These included security threats from terrorism and adverse weather conditions which affected food prices.

In the first half of 2015, Kenya National Bureau of Statistics (KNBS) estimated Kenya's economy to have expanded by 4.5 per cent and 5.5 per cent in the first and second quarters respectively against the 6.9 per cent projected economic growth in the 2015 Budget Policy Statement (BPS) and 7.0 per cent over the medium term. This is a slight decline compared to 4.7 per cent and 6.0 per cent achieved in the first half of 2014. The inflation rate was within the target range and stood at 6.14 per cent, an improvement compared to 7.54 per cent in the same period of FY 2014/15. This favorable inflation rate is attributed to improved weather conditions, which led to reduction in the prices of food commodities.

During the period under review, the Kenya Shilling depreciated against the major world currencies namely; the US Dollar, the Euro and the Sterling Pound. On average, the Kenya Shilling traded at 102.9 against the US Dollar compared to 88.5 recorded the same period of FY 2014/15. According to the Central Bank of Kenya (CBK), the Kenya Shilling has been depreciating against the US Dollar mainly due to the general strengthening of the U.S dollar across most world currencies and the devaluation impact of the Chinese Yuan.

In the period under review, the total revenue received by National Treasury (NT) was Kshs.316.4 billion (representing a performance rate of 17.5 per cent) against annual target of Kshs.1,811.9 billion. This was a decline compared to Kshs.366.3 billion received in the same period of FY 2014/15.

The total exchequer issues released to MDAs and the County Governments in the period under review was Kshs.310.3 billion and represented 17.1 per cent of the annual net estimates. This comprised of Kshs.117.4 billion, Kshs.137.0 billion, Kshs.31.4 billion, and Kshs.24.5 billion towards National Government recurrent expenditure, Consolidated Fund Services (CFS), County Governments and National Government development expenditure respectively.

Total expenditure by the MDAs in first quarter of FY 2015/16 amounted to Kshs.355.7 billion, representing 15.9 per cent of the approved national budget of Ksh.2,234.0 billion. This is an improvement compared to the total expenditure of Kshs.331.7 billion representing 18.0 per cent of the approved national budget of Kshs.1,840.1 billion in the first quarter of FY 2014/15. Total National Government recurrent

expenditure was Kshs.278.8 billion representing 22.7 per cent of the annual recurrent budget, a decline compared to 25 per cent recorded in the first quarter period FY 2014/15 (Kshs.276.4 billion). Total National Government development expenditure was Kshs.76.9 billion representing an absorption rate of 10.7 per cent an increase in absolute expenditure compared to Kshs.55.3 billion (absorption rate 11.2 per cent) recorded in the same period last financial year.

Some of the key challenges that faced budget implementation in the period under review are: low revenue received by the National Treasury, delay in release of funds by National Treasury and non-disclosure of Appropriations-In-Aid (A-I-A) in the IFMIS generated reports. The OCOB acknowledges the efforts being made to improve revenue mobilization. However, there is need to come up with more strategies that will enhance revenue mobilization.

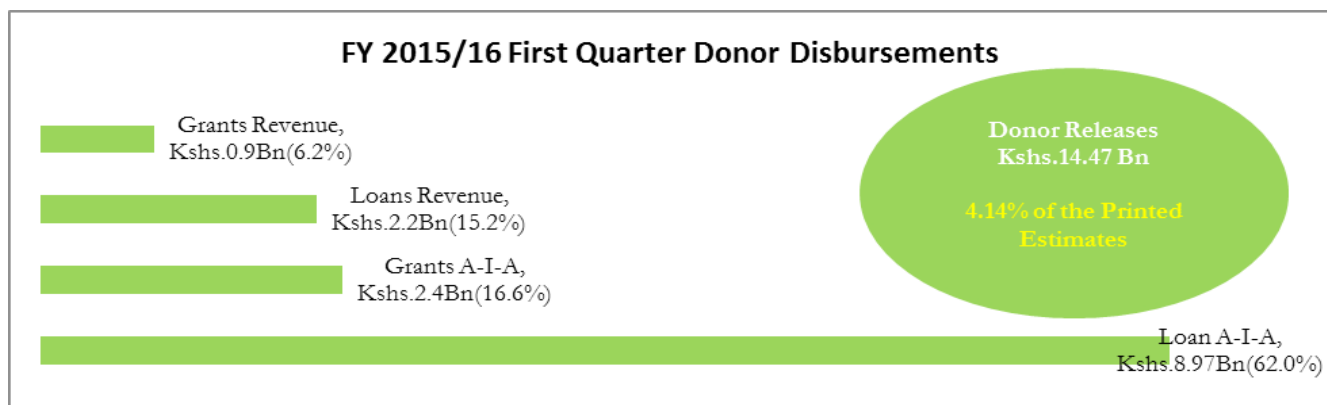
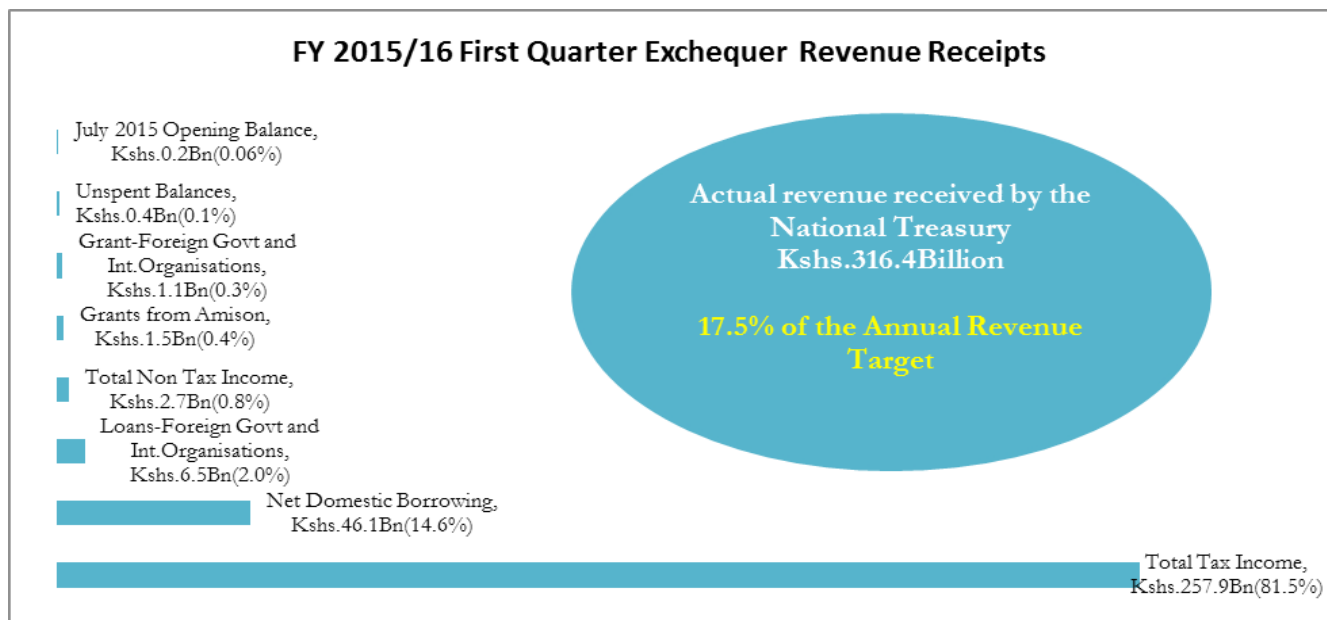
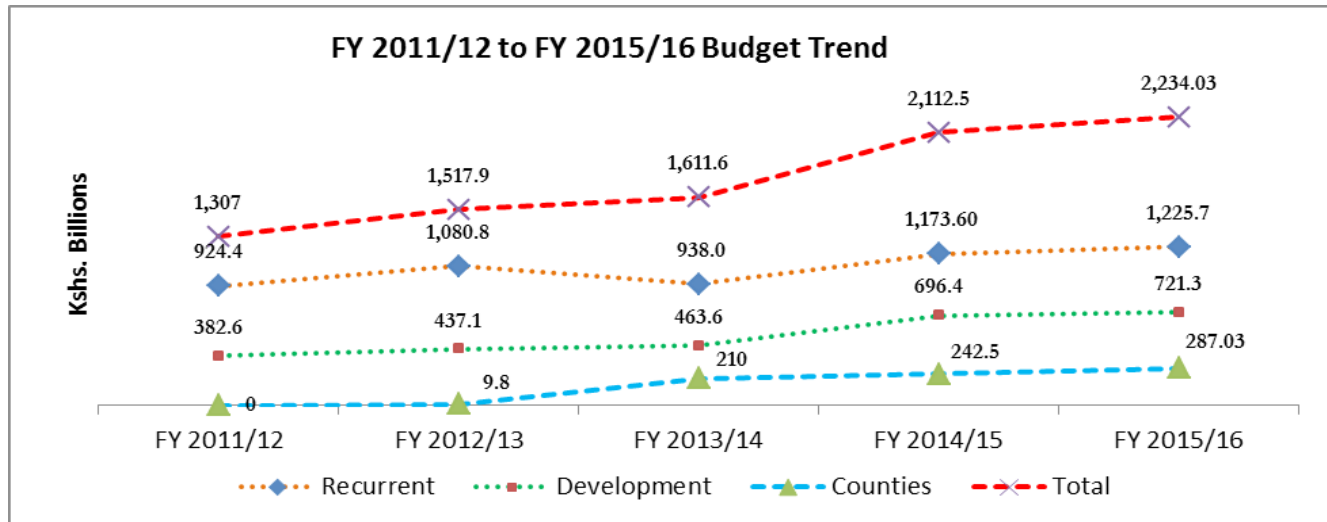
LIST OF ABBREVIATIONS/ACRONYMS

A-I-A	Appropriations in Aid
AIDS	Acquired Immune Deficiency Syndrome
AMISOM	Africa Union Mission in Somali
AR & UD	Agricultural Rural and Urban Development
Bn	Billion
BIRR	Budget Implementation Review Report
BPS	Budget Policy Statement
CBK	Central Bank of Kenya
CFS	Consolidated Fund Services
CBR	Central Bank Rate
CIC	Commission for Implementation of the Constitution
COB	Controller of Budget
COFOG	Classification of Functions of Government
CPI	Consumer Price Index
CRF	County Revenue Fund
DANIDA	Danish International Development Agency
DPP	Directorate of Public Prosecutions
EACC	Ethics and Anti-Corruption Commission
EI & ICT	Energy Infrastructure and Information Communication Technology
ERC	Energy Regulatory Commission
FY	Financial Year
GBP	Great Britain Pound
GDP	Gross Domestic Product
GECA	General Economic and Commercial Affairs
GJLOS	Governance, Justice, Law and Order Sector
HELB	Higher Education Loans Board
HIV	Human Immunodeficiency Virus
IEBC	Independent Electoral and Boundaries Commission
IFMIS	Integrated Financial Management Information System

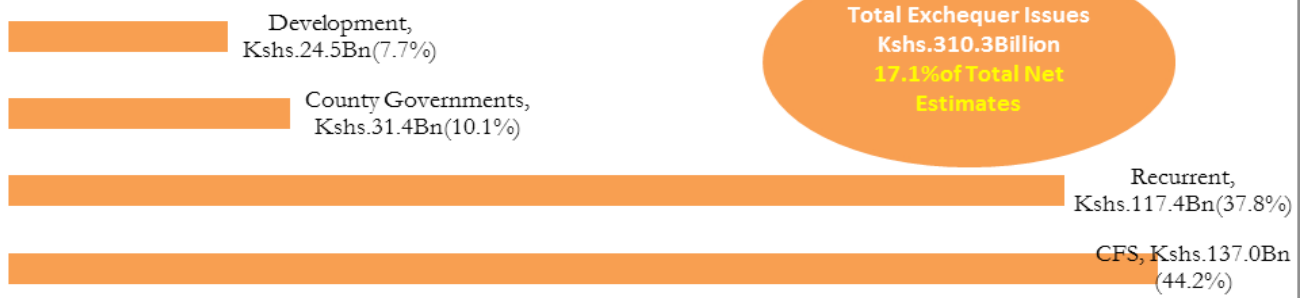
IPOA	Independent Police Oversight Authority
IPPD	Integrated Personnel Payment Data
JSC	Judicial Service Commission
KBC	Kenya Broadcasting Cooperation
KEMRI	Kenya Medical Research Institute
KEMSA	Kenya Medical Supplies Agency
KMTC	Kenya Medical Training College
KIHBS	Kenya Integrated Household Budget Survey
KNBS	Kenya National Bureau of Statistics
KNCHR	Kenya National Commission for Human Rights
KRA	Kenya Revenue Authority
Kshs.	Kenya Shillings
MDA(s)	Ministries Departments and Agencies
Mn	Million
MOEST	Ministry of Education Science and Technology
NACC	National Aids Control Council
NBK	National Bank of Kenya
NGEC	National Gender and Equality Commission
NHIF	National Hospital Insurance Fund
NIS	National Intelligence Service
NLC	National Land Commission
NPSC	National Police Service Commission
NT	National Treasury
OCOB	Office of the Controller of Budget
O&M	Operations and Maintenance
PAIR	Public Administration and International Relations
PAYE	Pay As You Earn
PFM Act	Public Finance Management Act
PSASB	Public Sector Accounting Standard Board
QTR	Quarter

RDL	Railway Development Levy
RPP	Registrar of Political Parties
SAGAs	Semi-Autonomous Government Agencies
TARDA	Tana and Athi River Development Authority
TSC	Teachers Service Commission
US	United States
VAT	Value Added Tax
WPA	Witness Protection Agency

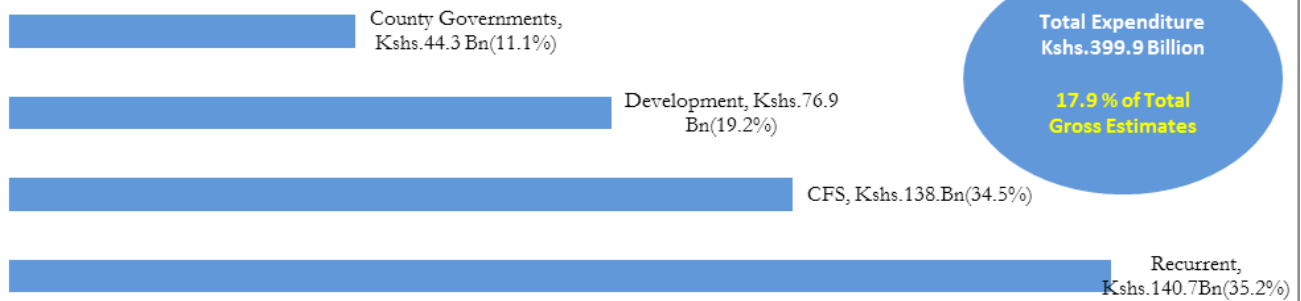
KEY HIGHLIGHTS



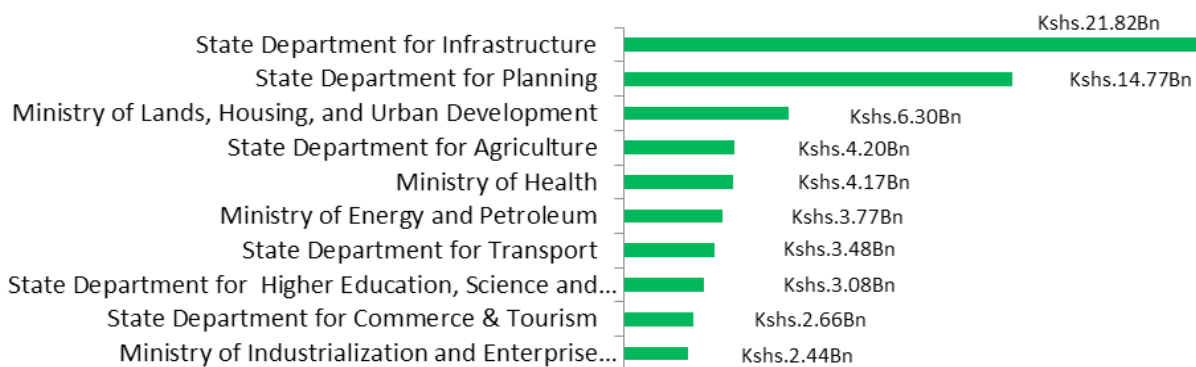
FY 2015/16 First Quarter Exchequer Issues

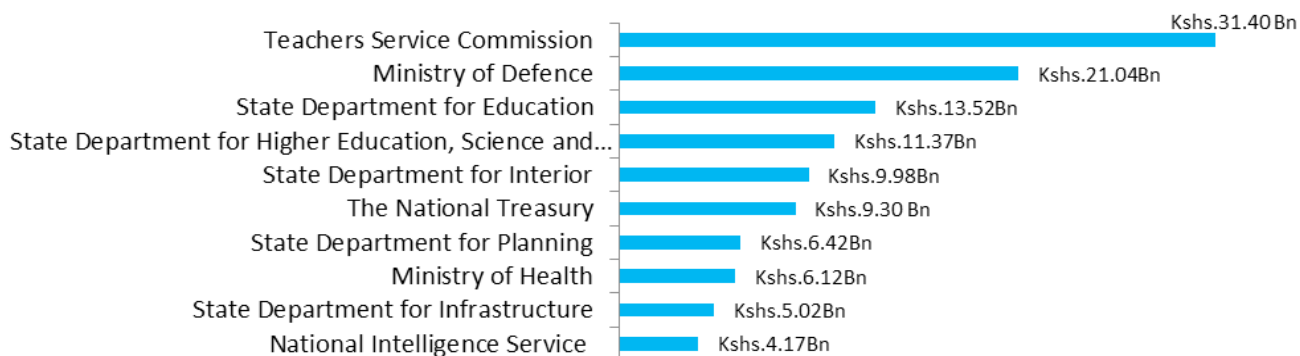


FY2015/16 First Quarter Expenditure



Top 10 Spending MDAs-Devevelopment Expenditure



Top 10 Spending MDAs-Recurrent Expenditure

**Total Public Debt Stock as
at 30th Sept.2015**

Kshs.2.94 Trillion

Domestic Kshs.1.39 Trillion
Foreign Kshs.1.55 Trillion

PUBLIC DEBT PAYMENTS/SERVICING, Q1 FY 2015/16**Domestic Debt**

Redemption (T/Bonds) : Kshs.37.05 Billion

Redemptions (T/Bills) : Kshs.37.89 Billion

Interest : Kshs.37.40 Billion

External Debt

Principal: Kshs.8.57 Billion

Interest : Kshs.5.65 Billion

1 INTRODUCTION

Article 228 of the Constitution of Kenya, 2010 established the Office of the Controller of Budget (OCOB) with the mandate to oversee budget implementation of the National and County Governments, authorize withdrawals from public funds, and report on the implementation of budgets by both the National and County Governments every four months. Specifically, this report fulfils the requirement of Article 228(6) of the Constitution and analyses the status of budget implementation by Government Ministries, Departments and Agencies (MDAs) against FY 2015/16 Budget Estimates.

The FY 2015/16 Budget focused on attaining economic growth and also, addressing the challenges facing the Country. Some of the measures to be undertaken to drive the economy includes:- (i) addressing the security challenge which is critical in creating a conducive business environment (ii) committing more resources towards infrastructure development and adopting innovative ways to hasten delivery of better roads and other infrastructure necessary to reduce cost of doing business (iii) putting in place measures to drive agriculture and industrial transformation so as to build resilience in the economy, ensure food security, lower food prices and diversification of exports (iv) opening opportunities to tap the latent talents and entrepreneurial capabilities of the youth, women and persons with disability to enable them to participate in economic transformation agenda (v) scaling up resources that underpin reforms to enhance quality of education and health care systems in order to build a healthy and productive human resource base (v) working closely with the county governments and facilitate them to build capacity to better deliver services and development at the grassroots level.

The FY 2015/16 Annual Budget is estimated at Kshs.2.2 trillion and is to be financed through taxable and non-taxable income, donor funding, and through borrowing from both the domestic and external markets.

This report has eight chapters. Chapter one is the introduction of the report. Chapter two assesses the macro-economic environment under which the budget was implemented. Chapter three presents analysis of revenue performance of the first three months of FY 2015/16 and compares performance to a similar period in FY 2014/15. Chapter four provides an analysis of overall National Government recurrent and development expenditure performance by MDAs. This performance is also compared to that of a similar period in the last financial year. Chapter five provides further analysis of expenditure performance by sector.

In chapter six, the MDAs' performance is analysed based on the programs implemented. Chapter seven identifies the key challenges faced by the MDAs during the reporting period and proposed recommendations aimed at improving efficiency in budget implementation. Finally, chapter eight provides the conclusion.

2 MACRO-ECONOMIC HIGHLIGHTS

2.1 Introduction

The FY 2015/16 Budget was formulated under the second Medium Term Framework and reflects the Government's policy priority of attaining sustained economic growth in order to create employment and improve the living standards of Kenyans through delivery of better services. Sustained economic growth is to be achieved through continuous investment in infrastructure, access to affordable energy, improvement of the security and business environment, healthcare and educational system, reduction on rain fed agriculture dependence, and facilitating devolution.

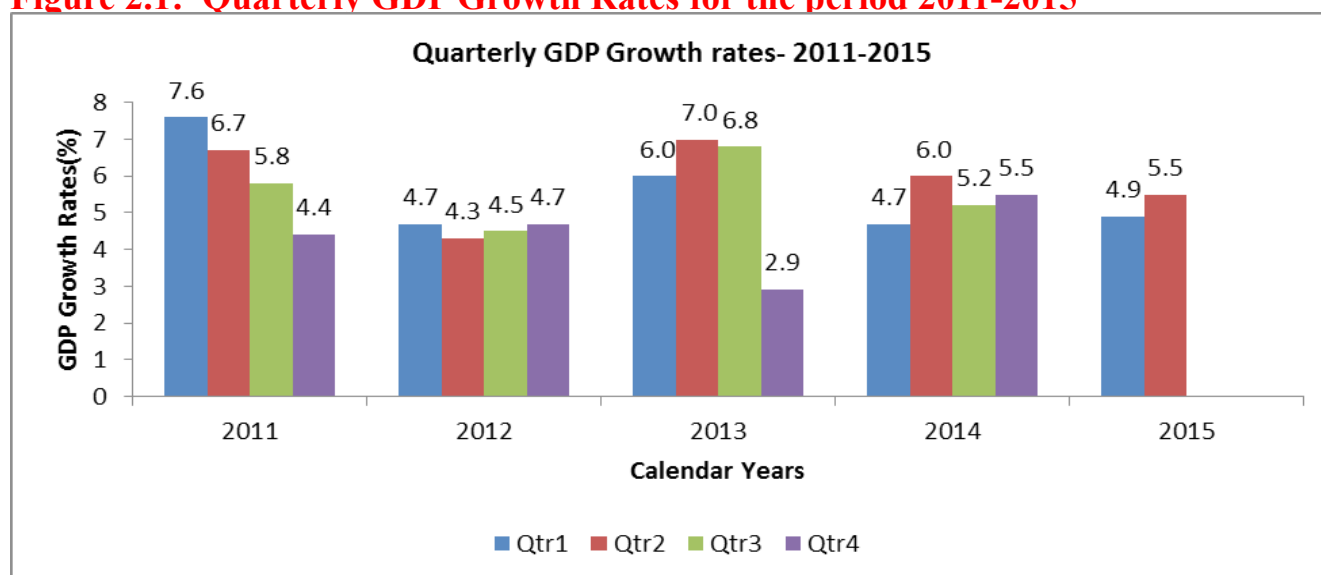
2.2 Economic Growth

According to the 2015 Budget Policy Statement (BPS), the economy was expected to expand by between 6.5 – 7.0 per cent in 2015. This expansion was to be supported by higher public and private investment, increased consumer confidence, lower oil prices, and higher total factor productivity.

In the second quarter of 2015, the Kenya National Bureau of Statistics (KNBS) estimated the Gross Domestic Product (GDP) to have expanded by 5.5 per cent compared to 6.0 per cent in the same period of 2014, supported by good weather that led to improved agricultural activities and expansion of electricity generation by both hydro and geothermal sources.

The quarterly GDP growth rates for the period between 2011 and 2015 are presented in figure 2.1

Figure 2.1: Quarterly GDP Growth Rates for the period 2011-2015



Source: KNBS

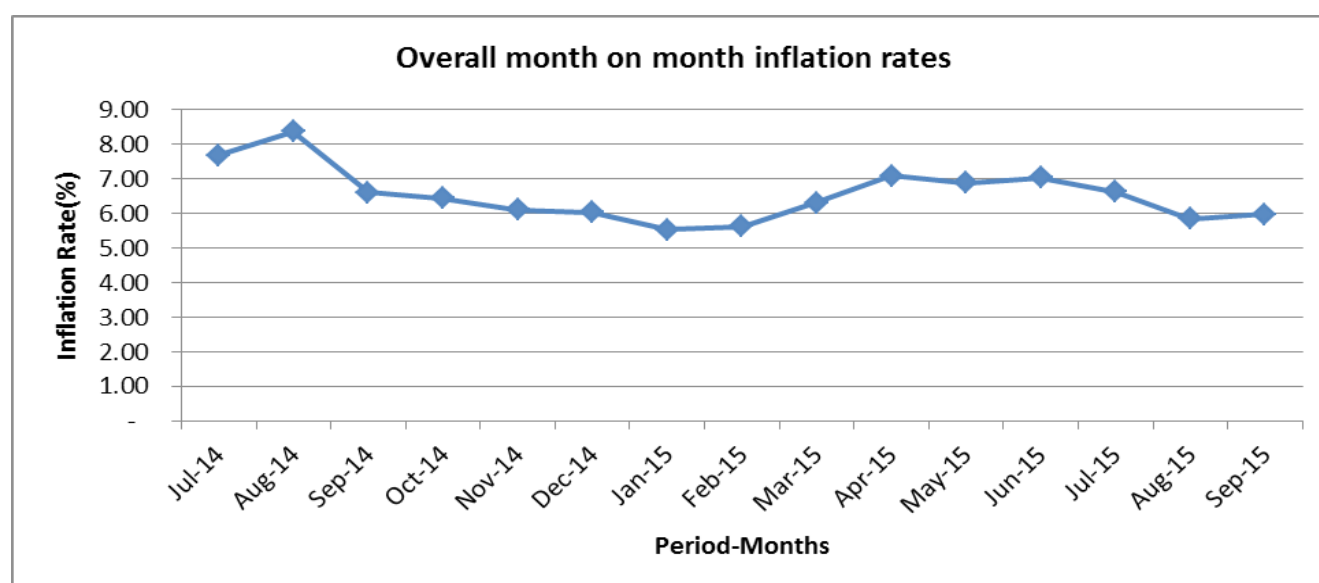
2.3 Inflation

In the FY 2015/16, the government projected an average inflation rate of 5 per cent, with a lower band and upper band of 2.5 and 7.5 per cent respectively.

In the first quarter of FY 2015/16, the overall month on month inflation was at 6.62 per cent in July 2015, 5.84 per cent in August 2015, and 5.97 cent in September 2015. The average inflation rate was 6.14 per cent for the reporting period, an improvement from 7.54 per cent in the first quarter of FY 2014/15.

In August 2015, inflation rate declined by 0.13 per cent. The decline was attributed to the favourable weather conditions in the previous month which resulted in a decrease in food item prices. However, the inflation rate increased slightly towards the end of September 2015 following the review of fuel prices by the Energy Regulatory Commission (ERC).

Figure 2.2: Monthly Inflation Rates for the Period July 2014- September 2015

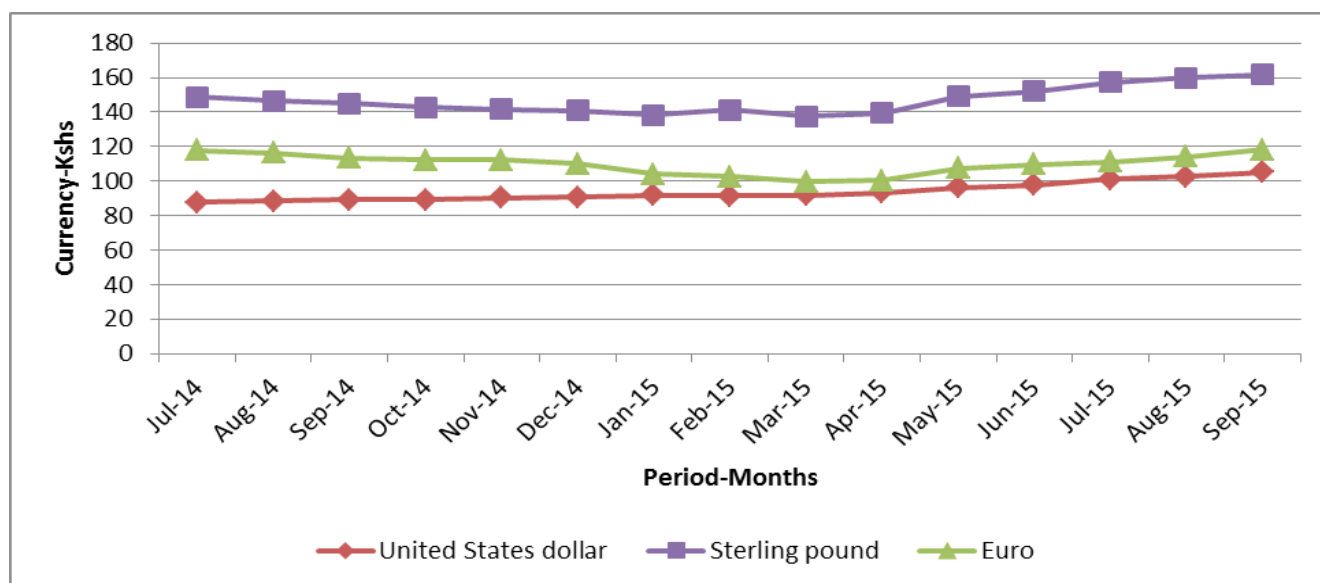


Source: KNBS

2.4 Exchange Rate

In the first quarter of FY 2015/16, the Kenya Shilling depreciated against the major world currencies namely; the US Dollar, the Euro and the Sterling Pound. The shilling depreciated from 97.70 in June 2015 to 105.27 in September 2015 against the US Dollar. The Central Bank of Kenya (CBK) attributed this to international market developments, such as the strengthening of the U.S dollar against most world currencies, the impact of the devaluation of the Chinese Yuan, among other factors. The Kenya shilling traded at 161.54 and 118.23 against the Sterling Pound and the Euro respectively in the month of September 2015 compared to 152.16 and 109.70 in June 2015.

Figure 2.3 shows the movement of the value of the Kenya Shilling against the U.S dollar, the Sterling Pound and the Euro for the period July 2014 to September 2015.

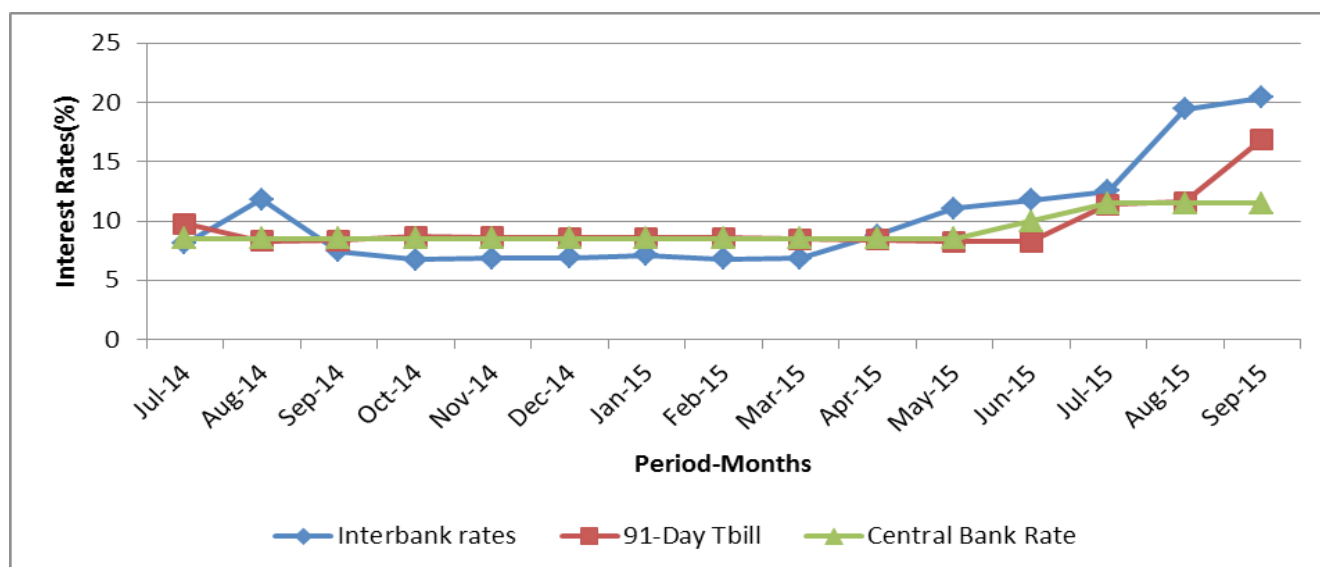
Figure 2.3: Kenya Shilling Exchange Rate Movement July 2014- September 2015

Source: CBK

2.5 Interest Rates

Interest rates registered mixed performance in the first quarter of FY 2015/16. In September 2015, the Central Bank Rate (CBR) was increased to 11.5 per cent from 8.5 per cent in June 2015 in order to tighten liquidity in the money market. This resulted in an upward adjustment of the interbank rate to close at 20.5 per cent in September 2015. Consequently, the average interest rate for the 91-day Treasury Bill increased from 10.56 per cent in July 2015 to 16.9 in September 2015. This is likely to result in an increase in lending rates by commercial banks and hamper capital flow in the economy.

Figure 2.4 shows the trend of the CBR, the interbank rate, and the 91 days Treasury bill rate for the period July 2014 to September 2015.

Figure 2.4: Interest Rates Monthly Movements July 2014- September 2015

Source: CBK

3 ANALYSIS OF REVENUE PERFORMANCE AND DONOR RELEASES

3.1 Introduction

This chapter presents the overview of revenue performance and donor releases for the period under review.

3.2 Analysis of Revenue Estimates

The overall Government Budget Estimates for the FY 2015/16 was Kshs. 2,230 billion. The National Treasury projected to finance the budget through revenue, grants, and loans from both domestic and foreign market.

The National Treasury estimated to raise Kshs. 1.812 billion to finance the budget from the following revenue categories; Tax income (Kshs. 1,215.3 billion), Non-tax income (Kshs.39.6 billion), Net Domestic borrowing (Kshs.397.4 billion), Commercial Loan (Kshs.71.8 billion), Loans from Foreign Governments and International Organisations (Kshs.37.9 billion) and Social Safety Net Loan (Kshs.8.2 billion). Other sources of national exchequer revenue include Grants from Foreign Governments and International Organisations (Kshs.15.2 billion), Grants from AMISOM (Kshs.6.4 billion), Export Credit (Kshs.11.5 billion), Domestic Lending (Kshs.2.2 billion) and Kshs.6.3 billion which comprise of Kshs.5.0 billion, Kshs.0.8 billion and Kshs.0.5 billion from National Bank of Kenya Rights Issue, grants from DANIDA and debt swap respectively.

3.2.1 Revenue Receipts by the National Treasury

During the first quarter of FY 2015/16, revenue received by National Treasury amounted to Kshs.316.4 billion, a decrease from the Kshs.366.3 billion received in a similar period of FY 2014/15, reflecting a negative revenue growth of 13.6 per cent. This was a performance of 17.5 per cent based on FY 2015/16 annual target of Kshs.1.81 trillion. The breakdown of revenue receipts for the July – September 2015 period is presented in table 3.1.

Table 3.1: Statement of Actual Revenue July - September 2015 (Kshs. billions) received by National Treasury

Source of Funds	Printed Estimates	Actual Receipts by Sep 2015	Performance Against Target (%)	Contribution by Category (%)	Actual Receipts by Sept 2014	Growth Over FY 2014/15
July 2014 and 2015 Opening Balance	-	0.2	-	0.1%	0.1	-
Total Tax Income	1,215.3	257.9	21.2%	81.5%	227.1	13.6%
Total Non-Tax Income	39.6	2.7	6.8%	0.9%	3.9	-30.6%
Net Domestic Borrowing	397.4	46.1	11.6%	14.6%	25.4	81.5%
Loans-Foreign Governments and International Organisations	37.9	6.5	17.1%	2.1%	5.1	27.2%
Social Safety Net-Loan	8.2	-	-	-	-	-
Domestic Lending and On-Lending	2.2	-	-	-	-	-
Grant-Foreign Governments and International Organisations	15.2	1.1	7.1%	0.3%	1.5	-28.3%
Grants-DANIDA	0.8	-	-	-	-	-
Grants-Debt Swap	0.5	-	-	-	-	-
Grants from AMISOM	6.4	1.5	23.4%	0.5%	-	-
NBK Rights Issue	5.0	-	-	-	-	-
Commercial Loan	71.8	-	-	-	103.2	-100.0%
Export Credit	11.5	-	-	-	-	-
Unspent Balances	-	0.4	-	0.1%	-	-
Total	1,811.9	316.4	17.5%	100.0%	366.3	-13.6%

Source: National Treasury FY 2015/16

As shown in table 3.1, grants from AMISOM recorded the highest performance at 23.4 per cent against its annual target of Kshs.6.4 billion, an improvement compared to first quarter of FY 2014/15 when no grant was received. Revenue from the tax income category recorded a performance of 21.2 per cent, reflecting a 13.6 per cent growth as compared to the previous quarter. The Tax income category remains the leading source of exchequer revenue having contributed 81.5 per cent of the total revenue received.

The net domestic borrowing contributed 14.6 per cent of the total revenue and recorded a growth rate of 81.5 per cent compared with the similar period of FY 2014/15. Contribution of all the other revenue categories recorded less than five percent of the total revenue received. Table 3.1 presents a summary of performance of the different revenue categories in the period July to September 2015 compared to the same period of FY 2014/15.

3.2.2 Revenue Collection by Kenya Revenue Authority (KRA)

The Kenya Revenue Authority (KRA) targeted to collect Kshs.299.9 billion during the first quarter of FY 2015/16, out of which, Kshs.288.8 billion was exchequer revenue.

Table 3.2: Exchequer Revenue Performance for July - September 2015 (Kshs. Millions)

Department	Target Revenue	Actual Revenue 2015/16	Variance	Performance Rate	Actual Revenue 2014/15	Revenue Growth Over 2014/15
Custom & Border Control	102,369	98,102	(4,267)	95.8%	87,158	+12.6%
Domestic Taxes	196,271	176,734	(19,537)	90.0%	161,063	+9.7%
Large Taxpayers Office	134,265	121,154	(13,111)	90.2%	113,202	+7.0%
Medium Taxpayers Office	17,025	12,730	(4,295)	74.8%	13,795	-7.7%
Domestic Taxes Regions	44,980	42,850	(2,131)	95.3%	34,066	+25.8%
Transport Revenue	1,214	1,073	(141)	88.4%	1,047	+2.5%
Total	299,853	275,908	(23,945)	92.0%	249,268	+10.7%
Exchequer Revenue	288,847	260,228	(28,618)	90.1%	238,431	+9.1%

Source: KRA FY 2015/16 Revenue Report

As shown in Table 3.2, the actual revenue collected was Kshs.275.9 billion, representing a performance rate of 92.0 per cent. Exchequer revenue receipts amounted to Kshs.260.2 billion translating to a performance of 90.1 per cent. This indicates a 9.1 per cent growth from the Kshs.238.4 billion received in the first quarter of FY 2014/15.

The Domestic taxes category was the largest contributor of revenue at Kshs.176.7 billion, amounting to 64.1 per cent of the total revenue collection as shown in Table 3.2. This category grew by 9.7 per cent while the Medium Taxpayers Office recorded a negative growth of 7.7 per cent as compared with the same period in FY 2014/2015.

According to KRA, revenue performance was adversely affected by external factors such as the delayed enactment of the excise bill, forgone VAT on donor funded projects, and delayed government expenditure among others. In order to enhance revenue performance KRA plans to place greater emphasis on staff performance management with the aim of boosting integrity thresholds. Implementation of the real estimate programme to tap tax from rental income as well as enhancement of customs compliance is also anticipated to grow revenue collection.

3.3 Exchequer Issues to the MDAs and County Governments

The total budget for the FY 2015/16 amounts to Kshs. 2,234 billion, comprising of Kshs.784.2 billion for recurrent expenditure, Kshs.721.3 billion for development expenditure, Kshs.441.5 billion for CFS, and Kshs.287.0 billion towards County Governments. The summary of Exchequer issues and annual estimates for July –September 2015 period are presented in Tables 3.3 and 3.4.

Table 3.3: Summary of Exchequer Issues to various Votes as at 30th September 2015

VOTE	Net Estimates FY 2015/16	Exchequer Issues	% of Exch. Issues to Net Estimates	% received to total Exchequer issues
Recurrent (MDA)	717.0	117.4	16.4	37.8
Development (MDA)	389.1	24.5	6.3	7.9
CFS	441.5	137.0	31	44.2
County Government	264.2	31.4	11.9	10.1
Total	1,812	310.3	17.1	

Source: National Treasury & OCOB

During the first quarter of FY 2015/16, the total exchequer issues amounting to Kshs.310.3 billion was released to MDAs, CFS, and to County Governments from the Exchequer Account representing 17.1 per cent of the annual net estimates of Kshs. 1,812 billion. The issues comprised Kshs.141.9 billion to MDAs, representing 12.8 per cent of the total net estimates and a decline compared to Kshs.177.1 billion released in the same period of FY 2014/15, (18.7 per cent of the net estimates). Exchequer issues to CFS was Kshs.137.0 billion representing 31.0 per cent of the annual net estimates, a 9.0 per cent increase from Kshs.125.7 billion released in the same period of FY 2014/15.

The exchequer issues from the Consolidated Fund to the forty seven County Revenue Funds (CRF) in the period under review amounted to Kshs.31.4 billion, representing 11.9 per cent of the allocation to the Counties for the FY 2015/16 compared to Kshs.9.1 billion in the same period of FY 2014/15.

Table 3.4: Annual Net Estimates and Exchequer Issues, for the Period July to September 2015 (Kshs. Billion)

Name of the Sector	Quarter 1, FY 2015/16				Quarter 1, FY 2014/15			
	Gross Est.	Net Est.	Exch. Issues	% of Exch. To N. Est.	Gross Est.	Net Est.	Exch. Issues	% of Exch. To N. Est.
Agriculture, Rural & Urban Development	79.7	66.6	8.8	13.2	60.2	53.4	3.8	7.1
Education	336.3	313.2	40.1	12.8	308.4	282.8	62.6	22.1
The Energy, Infrastructure and Information Communications Technology (EI & ICT)	404.7	109.6	7.6	6.9	256.9	102.3	4.8	4.7
The Environmental Protection, Water and Natural Resources	63.0	34.9	3.4	9.7	50.8	35.2	3.1	9.0
General Economic & Commercial Affairs (GECA)	21.3	20.8	2.7	13.0	16.2	15.6	2.5	16.1
The Governance, Justice, Law and Order (GJLOS)	154.0	152.9	23.1	15.1	130.5	129.2	22.2	17.3
The Health	59.2	44.2	7.7	17.4	47.4	36.1	6.5	18.1
The Public Administration and International Relations	243.4	220.1	27.5	12.5	196.9	177.3	48.7	27.5
The Social Protection, Culture and Recreation	31.5	31.2	3.8	12.3	24.1	23.7	1.9	7.9
National Security	112.5	112.5	17.2	15.3	90.7	90.7	20.8	22.9
Sub -Total for MDAs	1,505.5	1,106.1	141.8	12.8	1,182.1	946.4	177.1	18.7
Sub -Total Consolidated Fund Services	441.5	441.5	137.0	31.0	415.6	415.6	125.7	30.3
County Governments	287.0	264.2	31.4	11.9	242.4	228.5	9.1	4.0
Grand Total	2,234.0	1,811.8	310.3	17.1	1,840.1	1,590.5	311.9	19.6

Source: National Treasury & OCOB

Table 3.4 gives a summary of the exchequer issues to the Sectors, County governments and for the Consolidated Fund Services. During the period under review, the Health sector received the highest percentage of total exchequer issues to its total net estimates at 17.4 per cent while the Energy, Infrastructure and Information Communications Technology (EI & ICT) sector received the lowest percentage of exchequer issues to its total net estimates at 6.9 per cent.

3.3.1 Recurrent Exchequer Issues by Sector

The total exchequer issues released for recurrent activities during the period under review, amounted to Kshs.117.4 billion, equivalent to 16.4 per cent of the annual net recurrent estimates, reflecting a decline of Kshs. 47.6 billion from Kshs.165.0 billion released in the same period of FY 2014/15. As shown in table 3.5. The Social Protection, Culture and Recreation sector received the highest percentage of recurrent exchequer issues to annual net recurrent estimates at 30.6 per cent, which is an increase from 12.8 per cent of the recurrent exchequer issues to annual net recurrent estimates recorded in the same period of FY 2014/15.

The Education sector received the lowest recurrent exchequer issues to net annual recurrent estimates at 14.3 per cent, which was a decline from 24.5 per cent recorded in the same period of FY 2014/15.

Table 3.5: Sectoral Recurrent Estimates and Exchequer issues, July to September 2015 (Kshs. Billions)

Name of the Sector	Quarter 1, FY 2015/16				Quarter 1, FY 2014/15			
	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.
Agriculture, Rural & Urban Development	16.7	16.2	2.8	17.5	16.0	15.5	2.0	13.1
Education	299.6	280.6	40.1	14.3	273.4	252.4	61.9	24.5
The Energy, Infrastructure and Information Communications Technology (EI & ICT)	40.8	7.9	1.5	19.1	35.6	6.5	1.4	21.9
The Environmental Protection, Water and Natural Resources	17.8	9.4	2.6	27.5	14.7	9.7	2.4	24.6
General Economic and Commercial Affairs (GECA)	7.1	7.0	1.7	23.4	6.7	6.6	1.9	28.5
The Governance, Justice, Law and Order (GJLOS)	133.5	132.7	22.9	17.2	118.8	118.1	22.3	18.8
The Health	28.5	24.5	4.7	19.3	26.1	22.2	4.9	22.3
The Public Administration and International Relations	115.5	114.1	20.2	17.7	94.2	92.8	46.0	49.5
The Social Protection, Culture and Recreation	12.3	12.1	3.7	30.6	11.1	10.9	1.4	12.8
National Security	112.5	112.5	17.2	15.3	90.7	90.7	20.8	22.9
Total	784.2	717.0	117.4	16.4	687.2	625.5	165.0	26.4

Source: National Treasury & OCOB

3.3.2 Development Exchequer Issues by Sector

The exchequer issues released to the MDAs for development activities amounted to Kshs.24.5 billion, representing 6.3 per cent of the annual net development estimates. The comparable release in the same period of FY 2014/15 was Kshs.12.1 billion, which represented 3.8 per cent of the net annual development estimates. The summary of sectoral development estimates and exchequer issues for the period under

review are presented in table 3.6.

Table 3.6: Sectoral Development Estimates and Exchequer Issues July to September 2015 (Kshs. Billions)

Name of the Sector	Quarter 1, FY 2015/16				Quarter 1, FY 2014/15			
	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.
Agriculture, Rural & Urban Development	63.0	50.4	6.0	11.9	44.3	38.0	1.8	4.6
Education	36.7	32.6	0.01	0.03	35.0	30.4	0.6	1.9
The Energy, Infrastructure and Information Communications Technology (EI & ICT)	363.8	101.7	6.1	6.0	221.3	95.8	3.4	3.5
The Environmental Protection, Water and Natural Resources	45.2	25.5	0.8	3.2	36.1	25.5	0.8	3.0
General Economic and Commercial Affairs (GECA)	14.2	13.8	1.0	7.4	9.6	9.0	0.6	7.0
The Governance, Justice, Law and Order (GJLOS)	20.6	20.2	0.2	0.9	11.7	11.1	0.2	1.8
The Health	30.7	19.6	2.9	14.8	21.3	13.9	1.7	11.9
The Public Administration and International Relations	127.9	106.1	7.4	6.9	102.7	84.5	2.7	3.2
The Social Protection, Culture and Recreation	19.2	19.1	0.1	0.6	13.0	12.7	0.5	3.7
Total	721.3	389.1	24.5	6.3	494.9	320.9	12.1	3.8

Source: National Treasury & OCOB

The Health sector received the highest development exchequer issues to net annual development estimates at 14.9 per cent, an increase compared to 11.9 per cent recorded in the same period of FY 2014/15. The Education sector received the lowest percentage at 0.03 per cent, which was a decline from 1.9 per cent recorded in the same period of FY 2014/15.

3.4 Donor Releases

In the FY 2015/16, the Government estimated to receive a total of Kshs.349.3 billion from the development partners to finance development programmes. These resources comprised of loans revenue amounting to Kshs.37.9 billion; loans A.I.A amounting to Kshs.245.8 billion; grants revenue amounting to Kshs.15.2 billion and grants A.I.A. amounting to Kshs.50.4 billion. As reflected in table 3.7.

Table 3.7: Summary of Grants and Loans Disbursement for 1st Quarter of FY 2015/16 (Kshs. billion)

Funding Type	Gross Estimates FY 2015/2016	Cumulative Disbursement for 1 st Quarter, FY 2015/16	% Disbursed against Gross Estimates	Gross Estimates FY 2014/2015	Cumulative Disbursement for 1 st Quarter, FY 2014/15	% Disbursed against Printed Estimates
Loans Revenue	37.9	2.2	5.8	36.2	5.1	14.1
Grants Revenue	15.2	0.9	5.8	10.0	1.6	16.4
Loans A.I.A	245.8	8.97	3.7	100.1	6.8	6.8
Grants A.I.A	50.4	2.4	4.8	41.4	1.3	3.2
Total	349.3	14.5	4.1	187.8	14.8	7.92

Source: The National Treasury

In the 1st Quarter of FY 2015/16, the total amount disbursed by the development partners amounted to Kshs.14.5 billion which accounted for 4.1 per cent of the gross estimates, a decline of Kshs. 0.3 billion compared to Kshs.14.8 billion (7.9 per cent) realised in the same period of FY 2014/15. The Loans revenue received the highest amount at 5.8 per cent of the loans revenue gross estimates, though, a decline from a performance rate of 14.1 per cent recorded in the same period of FY 2014/15. Loans A.I.A received the lowest amount at 3.7 per cent of the loans A.I.A gross estimates, which was a decline compared to 6.8 per cent recorded in the same period of FY 2014/15. External financing from Grants A.I.A was Kshs.2.4 billion representing an absorption rate of 4.8 per cent.

On the other hand, the National Treasury received the highest amount of the grant A.I.A at 14.46 per cent followed by the Ministry of Environment Water and Natural Resources, Ministry of Devolution and Planning, and the Ministry of Transport and Infrastructure at 1.82 per cent, 1.37 per cent and 1.29 per cent respectively. Other MDAs did not receive grants A.I.A during the period under review, as shown in table 3.8.

Table 3.8: Analysis of Grants and Loans Disbursement by Ministry for 1st Quarter of FY 2015/16 (Kshs. million)

Ministry	Grants A.I.A			Loans A.I.A			Grant Revenue			Loan Revenue		
	Printed estimates FY 2015/16	Disbursed Q1 FY 2015/16	% disbursed	Printed estimates FY 2015/16	Disbursed Q1 FY 2015/16	% disbursed	Printed estimates FY 2015/16	Disbursed Q1 FY 2015/16	% disbursed	Printed estimates FY 2015/16	Disbursed Q1 FY 2015/16	% disbursed
Ministry of Interior and Coordination of National Government	96.00	0.00	0.00				54.00	0.00	0.00			
Ministry of Devolution and Planning	5,454.85	75.00	1.37		0.00	0.00	915.31	0.00	0.00	824.30	24.85	3.01
Ministry of Defence	42.00	0.00	0.00									
Ministry of Foreign Affairs	52.70	0.00	0.00									
Ministry of Education, Science and Technology	1,341.38	0.00	0.00		0.00	0.00	305.78	0.00	0.00			
The National Treasury	14,478.08	2,093.35	14.46		239.44	14.77	2,387.71	0.00	0.00	1,306.70	202.02	15.46
Ministry of Health	8,111.64	0.00	0.00		0.00	0.00	5,412.46	366.85	6.78	2,596.45	292.87	11.28
Ministry of Transport and Infrastructure	10,077.70	129.95	1.29		4,352.59	2.78				4,199.13	0.00	0.00
Ministry of Environment Water and Natural Resources	6,424.75	116.78	1.82		396.75	3.39	973.91	111.00	11.40	6,258.90	0.00	0.00
Ministry of Land Housing and Urban Development	641.06	0.00	0.00		205.39	6.16	420.47	0.00	0.00	9,068.95	550.00	6.06
Ministry of Information and Communications and Technology	400.00	0.00	0.00		0.00	0.00				2,237.19	1,130.89	50.55
Ministry of Sports Culture and Arts	90.97	0.00	0.00				54.00	0.00	0.00			

Ministry of Labour, Social Security and Services	1.40	0.00	0.00						1,628.10	0.00	0.00	643.86	0.00	0.00
Ministry of Energy & Petroleum	214.25	0.00	0.00	58,237.82	3,771.17	6.48			2,884.02	400.00	13.87	4,117.20	0.00	0.00
Ministry of Agriculture Livestock and Fisheries	2,269.64	0.00	0.00	5,840.07	8.12	0.14						3,825.16	0.00	0.00
Ministry of Industrialization and Enterprise Development	326.19	0.00	0.00											
Ministry of Commerce Tourism and East African Affairs	87.32	0.00	0.00											
Office of The Attorney General and Department of Justice			0.00											
The Judiciary	308.93	0.00	0.00						167.00	0.00	0.00	2,831.90	0.00	0.00
TOTAL	50,418.85	2,415.08	4.79	245,791.75	8,973.46	3.65			15,202.76	877.85	5.77	37,909.74	2,200.63	5.8

Source: The National Treasury

Out of Kshs.245.8 billion factored in the FY 2015/16 gross budget estimates as loans A.I.A, Kshs.9.0 billion was disbursed representing a performance rate of 3.7 per cent. The National Treasury recorded the highest performance rate at 14.8 per cent. On the contrary, Ministry of Devolution and Planning, Ministry of Education, Science and Technology, Ministry of Health and the Ministry of Information and Communications and Technology did not absorb the funds mobilized from development partners as loans A.I.A in the period under review.

A review of the grants revenue in the first quarter of FY 2015/16 indicates that the Ministry of Energy & Petroleum attained the highest performance rate at 13.9 per cent followed by the Ministry of Environment Water and Natural Resources at 11.4 per cent. The Ministry of Health attained 6.8 per cent while all other MDAs that factored grants revenue in their development budget estimates did not receive any grant revenue.

In the loans revenue category, the Ministry of Information and Communications and Technology attained the highest performance rate at 50.6 per cent followed by the National Treasury at 11.8 per cent. The Ministry of Health, Ministry of Land, Housing and Urban development and the Ministry of Devolution and Planning at 15.5 per cent, 11.3 per cent, 6.1 per cent and 3.0 per cent respectively.

The OCOB recognizes the tremendous efforts by the Government in mobilizing external resources but notes with concern the low absorption of donor funds among the MDAs. There is therefore, need for concerted effort by all the stakeholders in addressing this long standing problem in order to realize effective budget implementation.

4 NATIONAL GOVERNMENT OVERALL EXPENDITURE ANALYSIS

4.1 Introduction

This chapter presents the performance analysis for the first quarter of FY 2015/16 for both development and recurrent expenditure by the MDAs. The Consolidated Fund Services (CFS) is discussed under recurrent expenditure.

4.2 Overall Government Budget Performance

The overall national budget for the first quarter of FY 2015/16 was Kshs.2,234.0 billion representing a 21.4 per cent growth compared to Kshs.1,840.4 billion budget for the same period in the FY 2014/15, as presented in table 4.1.

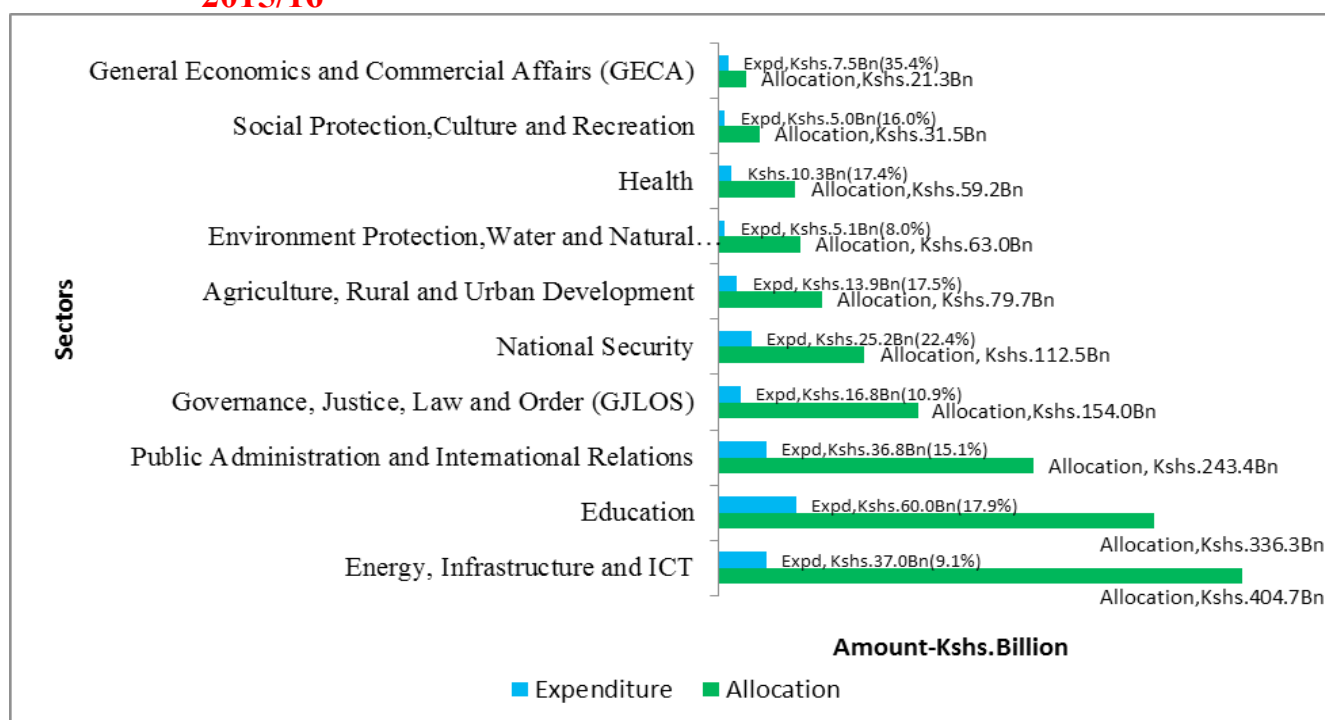
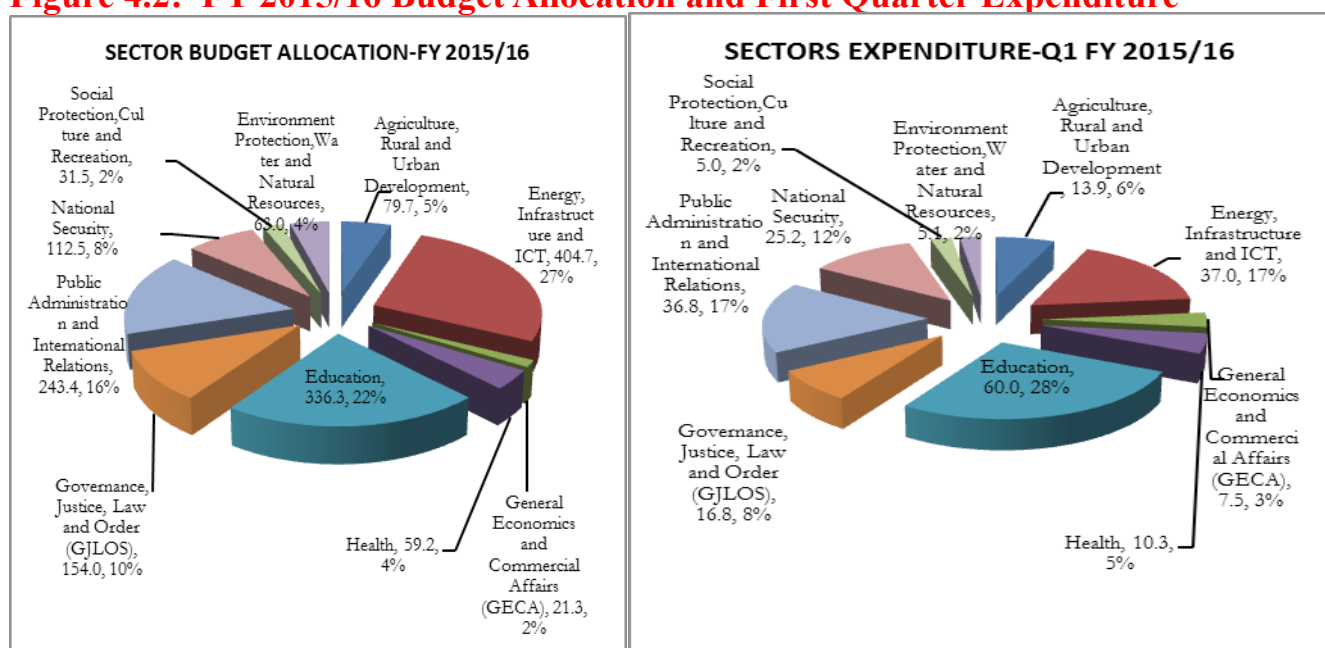
Table 4.1: Overall Government Budget Performance July to September 2015 (Kshs. Billion)

First Quarter FY 2015/16							First Quarter FY 2014/15					
Allocation	Gross Estimate	Net Estimate	Cumulative Exchequer	Expenditure	% of Exchequer to Net Est.	Absorption Rate	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	Exchequer to Net Est.	Absorption
Recurrent	1,225.7	1158.5	254.4.2	278.8	22.0	22.7	1103.1	1041.4	290.7	276.4	27.9	25.1
Development	721.3	389.1	24.5	76.9	6.3	10.7	494.9	320.9	12.1	55.3	3.8	11.2
County Governments	287.0	264.2	31.4*	44.3	11.9	15.4	242.4	228.5	9.1	44.2	4.0	18.2
Total	2,234.0	1811.8	310.3	399.9	17.1	17.9	1840.4	1,590.8	311.9	375.9	19.6	20.4

Source: NT, OCOB, MDAs & County Governments

*Represents exchequer issues to County Governments from the National Government.

The budget consisted of: Kshs.1225.7 billion for recurrent expenditure, comprising of Kshs.784.2 billion for MDAs and Kshs.441.5 billion for CFS, reflecting 54.9 per cent of the budget; Kshs.721.3 billion for development expenditure, (32.3 per cent of the budget) and Kshs.287.0 billion for County Governments (12.8 per cent of the budget). Total exchequer issues in the period under review amounted to Kshs.310.3 billion representing 17.1 per cent of the total annual net estimates. The National Government spent a total of Kshs.355.7 billion (Kshs. 278.8 billion for recurrent and Kshs.76.9 billion for development expenditure) representing an overall budget absorption rate of 18.3 per cent, a decline compared to 21 per cent recorded in the same period previous financial year.

Figure 4.1: Comparison of Sector Budget Allocations and Expenditure for FY 2015/16**Figure 4.2: FY 2015/16 Budget Allocation and First Quarter Expenditure**

Source: National Treasury and MDAs

4.3 Consolidated Fund Services (CFS)

The CFS comprises of funds allocated towards: (i) Repayment of public debt (domestic debt, foreign debt, and government guaranteed loans to parastatals), (ii) Pensions and gratuities, and, (iii) Salaries and allowances to Constitutional Office holders; and subscriptions to International Organizations. The summary of expenditures for CFS for the period under review are presented in table 4.2

**Table 4.2: Cumulative Expenditures for CFS, July – September 2015
(Kshs. Millions)**

Consolidated Fund Services	Gross Estimates	Net Estimates	Exchequer Issues	Actual Expenditure	Expenditure as a % of Gross Estimates	
					FY 2015/16	FY 2014/2015
Public Debt	397,035	397,035	126,635	126,560	31.9	36
Pensions and Gratuities	38,991	38,991	9,400	10,512	27.0	19
Salaries and Allowances	4,438	4,438	1,000	782	17.6	14
Miscellaneous Services	128	128	-	-	-	-
International Organizations	0.5	0.5	-	-	-	-
Guaranteed Loans	945	945		148	15.7	18
Total	441,538	441,538	137,035	138,002	31.3	34

Source: National Treasury & OCOB

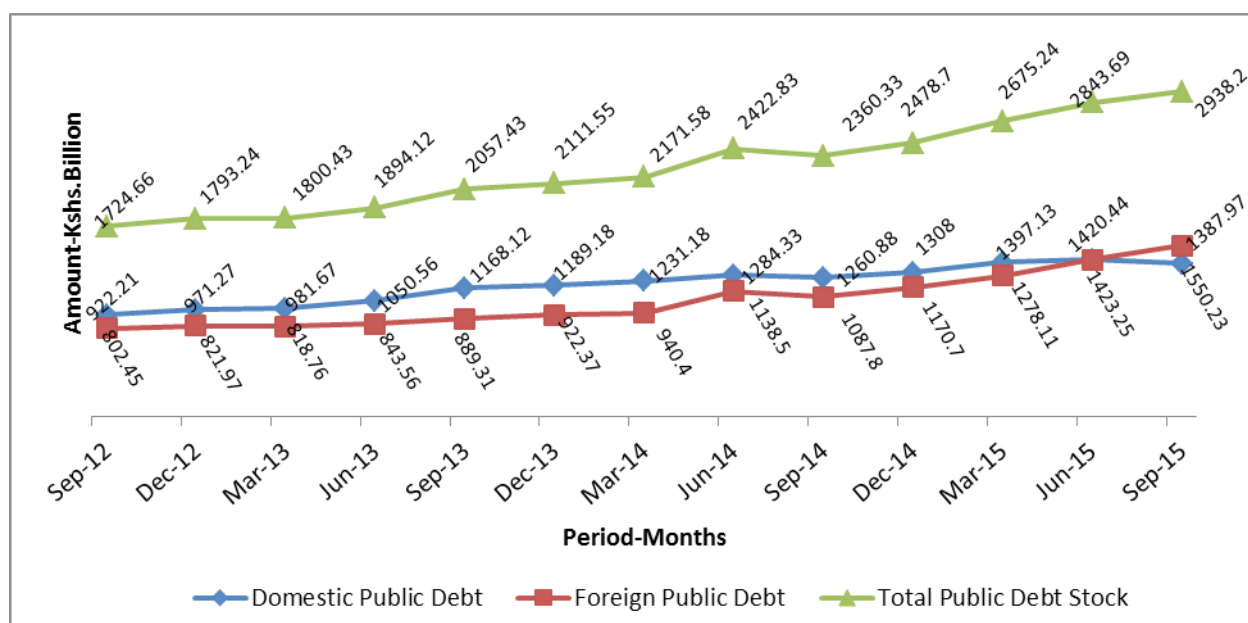
In the FY 2015/16 the CFS was allocated Kshs.441.5 billion comprising of Kshs.397.0 billion to service Public Debt, Kshs.39.0 billion for Pensions and Gratuities, Kshs.4.4 billion for Salaries and Allowances for the Constitutional Office holders, Kshs.0.9 billion for Guaranteed Debt, Kshs.0.5 million for Subscriptions to International Organisations and Kshs.128 billion for miscellaneous services.

During the first quarter FY 2015/16, total exchequer issues to CFS was Kshs.137.0 billion representing 31.0 per cent of the net estimates, an increase compared to Kshs.125.72 billion released in the same period of FY 2014/15. The exchequer issues were made up of; Kshs.126.6 billion issued to service public debt, Kshs.9.4 billion for pensions and gratuities and Kshs.1.0 billion for salaries and allowances of Constitutional Office holders. The total expenditure for the CFS in the first quarter FY 2015/16 amounted to Kshs.138 billion representing 31.3 per cent of the annual CFS estimates as shown in table 4.2.

4.3.1 Public Debt

As at 30th September, 2015, the public debt stock stood at Kshs.2.94 trillion. This comprised of Kshs.1.55 trillion as foreign debt and Kshs.1.39 trillion as domestic debt. In the period under review, a total of Kshs.126.6 billion was released as exchequer to meet public debt obligations.

The total expenditure on public debt was Kshs.126.7 billion, representing 31.9 per cent of the gross estimates.

Figure 4.3: Public Debt Stock September 2012 to September 2015. (Kshs. billions)

Source: National Treasury

4.3.2 Domestic Debt

As at end of September 2015, the total domestic debt stood at Kshs.1.39 trillion, a marginal decline of 2.3 per cent from Kshs.1.42 trillion in June 2015. The total exchequer issues for servicing of domestic debt obligations in first quarter FY 2015/16 amounted to Kshs.112.33 billion and consisted of Kshs.74.94 billion for redemptions and Kshs. 37.40 billion for interest payments.

Actual expenditure on domestic debt was Kshs.112.33 billion comprising of Kshs.37.05 billion towards redemption of Treasury Bonds, Kshs.37.89 billion towards redemption of Treasury Bills and Kshs.37.40 billion on interest payment.

4.3.3 Foreign Debt

As at end of September 2015, the foreign debt stock stood at Kshs.1.55 trillion representing a growth of 8.9 per cent from Kshs.1.42 trillion in June 2015. Exchequer issues released to service foreign debt in the period under review amounted to Kshs.14.3 billion and consisted of Kshs.8.6 billion for principal repayment and Kshs.5.7 billion for interest payments.

Actual expenditure for the period under review was Kshs.14.22 billion, out of which, Kshs.8.57 billion was spent on principal repayment and Kshs.5.65 billion on interest payments.

4.3.4 Guaranteed Debt to State Parastatals

In FY 2015/16, Kshs.945 million was allocated towards settlement of guaranteed debts by the National Government for two projects, namely: Kenya Broadcasting Cooperation's (KBC) modernization project loan and Tana and Athi River Development Authority (TARDA) loan for the Tana Delta irrigation project.

The actual expenditure on guaranteed loans in first quarter FY 2015/16 was Kshs.148.22 million which was spent on repayment of the TARDA loan. This comprised of Kshs.131.63 million for principal and Kshs.16.59 million on interest payments. Table 4.3 shows the repayment breakdown towards the guaranteed loans.

Table 4.3: Guaranteed Loans Repayment (Millions) July 2015 to September 2015.

Loan Title	Year Loan Contracted	Currency	Guaranteed Loans (Amounts in Foreign Currency)			Loan Repayments for the period July 2015 - September 2015 (Amounts in Kshs. millions)		
			Principal Amount	Cumulative Amount Paid as of September 2015	Outstanding Balance at September 2015	Principal	Interest	Total
TARDA	1990	YEN	6,031.0	3,517.73	1,337.77	131.63	16.59	148.22
KBC	1989	YEN	16,198.0	9,792.33	3,013.01	-	-	-
Total						131.63	16.59	148.22

Source: National Treasury

4.3.5 Salaries and Allowances for Constitutional Office Holders

The annual budgetary allocation for salaries and allowances for constitutional office holders in FY 2015/16 was Kshs. 4.43 billion, a marginal increase compared to Kshs.4.1 billion allocated in the FY 2014/15. The total exchequer issues released in the first quarter period of FY 2015/16 was Kshs.1.0 billion, representing 22.5 per cent of the annual net estimates. Actual expenditure was Kshs.782.08 million, which was 17.6 per cent of the annual allocation.

4.3.6 Pensions and Gratuities

The annual budgetary allocation for Pensions and Gratuities in the FY 2015/16 was Kshs.38.99 billion representing 8.8 per cent of the total CFS allocation, reflecting a 20.5 per cent increase compared to Kshs.32.35 billion allocated in the FY 2014/15.

During the first quarter of FY 2015/16, a total of Kshs.9.4 billion was released for pensions and gratuities representing 24.1 per cent of the Pensions and Gratuities annual net estimates. Total expenditure for the period was Kshs.10.52 billion, representing 27 per cent of the annual estimates and 75.3 per cent increase in expenditure from Kshs.6.0 billion spent in first quarter FY 2014/15.

4.4 MDAs Recurrent Expenditure Analysis

During the FY 2015/16, the allocation for recurrent expenditure was Kshs.784.2 billion. In the first quarter of the year, actual expenditure on recurrent activities by the MDAs amounted to Kshs.140.8 billion representing 18 per cent of the total annual recurrent budget. The breakdown of the MDAs total recurrent expenditure for the period under review is presented in table 4.4.

Table 4.4: Breakdown of Recurrent Expenditure, by MDAs, July - September 2015 (Kshs. Million)

MINISTRY/STATE DEPARTMENT	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates- Non Residential	Training	Hospitality	Maintenance Expenses- Motor Vehicles	Maintenance Expenses-Other Assets	Current Transfers (SAGAs)	Other	Total
The Presidency	267.1	106.5	47.6	112.1	48.0	9.8	330.0	56.7	8.9	91.5	417.9	1,496.0
State Department for Interior	4,242.8	121.0	3.7	0.4	134.1	-144.8	7.3	111.6	33.0	235.9	5,234.8	9,979.9
State Department for Coordination of National Government	869.8	21.7	2.8	-	23.2	11.3	6.3	0.4	0.0	-	593.7	1,529.1
State Department for Planning	3,268.5	33.0	13.0	6.7	52.6	85.1	54.1	3.9	96.7	1,623.5	1,181.9	6,419.0
State Department for Devolution	186.8	1.4	0.0	0.0	18.4	0.5	3.7	- 0.0	-	190.5	23.9	425.2
Ministry of Defence	181.9	6.2	1.9	1.3	-	4.9	3.3	0.6	0.1	20,835.6	6.0	21,041.8
Ministry of Foreign Affairs and International Trade	157.3	37.9	225.9	0.9	60.3	0.1	30.0	1.3	0.2	-	57.4	571.2
State Department for Education	496.7	9.2	7.0	2.1	15.0	0.4	1.7	5.3	5.3	4,841.6	8,131.3	13,515.5
State Department for Higher Education, Science and Technology	26.5	8.8	0.8	0.3	21.1	1.4	0.7	-	0.0	8,818.9	2,487.8	11,366.2
The National Treasury	156.6	2.7	14.3	0.0	1.3	10.2	51.4	0.5	0.7	8,200.4	860.6	9,298.7
Ministry of Health	18.0	13.1	0.5	1.1	-	53.1	14.2	4.9	11.3	5,591.1	416.0	6,123.4
State Department for Infrastructure	0.9	0.7	0.3	0.1	-	2.4	1.1	0.1	0.0	5,006.8	2.6	5,015.1
State Department for Transport	45.5	1.9	1.4	-	0.1	0.5	1.0	1.1	1.4	296.0	9.8	358.6
State Department for Environment & Natural Resources	298.3	5.8	5.5	0.0	32.0	0.7	4.4	-	0.1	1,101.4	246.5	1,694.7
State Department for Water & Regional Authorities	143.2	7.1	1.0	-	21.0	1.0	0.7	0.0	-	572.5	3.9	750.5
Ministry of Lands Housing, and Urban Development	218.5	8.5	1.9	1.1	28.5	2.8	4.6	6.0	10.7	98.6	82.0	463.2
Ministry of Information & Communication and Technology	72.7	10.3	4.3	1.1	35.3	0.8	14.7	3.7	0.3	294.5	50.9	488.6
Ministry of Sports Culture and Arts	106.8	85.4	286.7	41.2	17.3	1.1	48.4	1.1	1.0	498.4	49.3	1,136.7
Ministry of Labour Social Security and Services	78.9	105.8	4.3	10.3	29.0	18.3	75.2	23.1	24.2	1,461.2	369.5	2,199.8
Ministry of Energy and Petroleum	26.1	2.7	0.3	0.1	-	3.8	1.6	0.0	0.1	312.6	4.3	351.5
State Department for Agriculture	242.2	9.7	6.7	4.8	2.7	0.2	1.2	0.6	0.2	901.9	35.3	1,205.5
State Department for Livestock	112.7	2.5	0.4	-0.3	7.2	1.2	1.1	0.2	0.2	25.7	13.3	164.3
State Department for Fisheries	49.7	3.7	1.5	0.3	-	1.2	1.8	1.1	0.3	326.3	9.4	395.3
Ministry of Industrialization and Enterprise Development	86.3	13.3	5.3	2.4	30.8	2.7	7.0	3.2	1.4	698.8	22.0	873.3
State Department for Commerce & Tourism	93.3	5.9	5.8	0.1	14.4	0.8	10.7	0.8	- 0.5	886.9	23.2	1,041.5
State Department for East African Affairs	45.2	3.7	9.5	-2.4	6.0	0.6	12.8	2.1	1.1	0.2	437.9	516.7
Ministry of Mining	5.2	3.5	3.2	0.3	-	1.7	3.9	0.1	0.1	-	13.8	31.6
Office of the Attorney General and Department of Justice	160.5	4.0	4.6	0.2	23.1	1.7	10.4	- 0.0	0.7	337.5	10.3	553.1

The Judiciary	1,054.0	49.9	3.6	5.2	5.6	-1.0	18.4	21.7	12.1	115.7	840.5	2,125.7
Ethics & Anti-Corruption Commission	-	-	-	-	-	-	-	-	-	437.2	-0.2	437.0
Directorate of Public Prosecutions	269.0	6.0	3.5	0.2	9.6	2.3	8.5	0.1	-	-	-9.4	289.6
Commission for Implementation of the Constitution	-	-	-	-	-	-	-	-	-	51.8	-	51.8
Registrar of Political Parties	11.8	0.6	0.2	0.1	4.1	0.2	0.5	0.0	0.0	183.6	13.1	214.2
Witness Protection Agency	36.2	0.8	0.2	0.2	-	0.6	0.8	0.3	0.1	-	46.3	85.5
Kenya National Commission on Human Rights	56.2	2.0	1.5	2.4	11.3	0.5	1.1	0.4	0.1	-	13.9	89.2
National Lands Commission	157.4	16.9	0.2	1.0	6.8	0.1	14.5	0.2	0.4	-	11.8	209.2
Independent Electoral and Boundaries Commission	539.6	15.7	7.4	3.2	41.0	2.7	19.0	2.5	0.4	-	20.5	652.2
Parliamentary Service Commission	293.4	109.1	3.0	-	0.6	2.2	19.6	1.8	-	-	220.5	650.3
Judicial Service Commission	-	1.1	11.3	1.0	1.5	7.1	20.9	0.0	-	-	-1.9	41.1
The Commission on Revenue Allocation	25.5	3.2	0.0	0.4	10.1	1.4	7.1	1.8	0.1	-	7.7	57.4
Public Service Commission	137.4	11.1	0.7	3.0	0.2	6.5	10.9	1.1	0.8	-	90.4	262.2
Salaries & Remuneration Commission	49.7	18.9	4.3	0.3	6.6	1.6	22.0	0.4	-	-	7.0	111.0
Teachers Service Commission	31,397.2	-	-	-	-	-	0.1	-	-	-	-	31,397.2
National Police Service Commission	46.4	6.5	-	0.3	14.9	0.5	4.6	1.5	0.2	-	6.8	81.8
Auditor General	412.1	13.9	10.2	3.0	17.3	8.4	3.0	1.1	0.0	-	101.8	570.8
Controller of Budget	52.2	1.3	-	3.0	-	0.9	1.8	0.6	0.1	-	2.9	62.7
The Commission on Administrative Justice	52.1	2.1	0.8	0.1	11.2	0.0	0.7	0.7	0.3	-	0.8	68.8
National Gender & Equality Commission	27.5	1.9	1.0	0.4	10.1	0.0	0.8	0.2	-	-	- 11.9	30.0
Independent Police Oversight Authority	8.4	0.9	0.0	0.1	7.1	0.7	6.1	0.2	0.0	-	49.1	72.6
Total	46,284.0	897.9	708.2	208.1	779.6	108.1	863.7	262.9	212.4	64,036.5	22,205.0	136,566.2
Per cent	33.9%	0.7%	0.5%	0.2%	0.6%	0.1%	0.6%	0.2%	0.2%	46.9%	16.3%	100.0%

Source: MDAs & National Treasury (IFMIS)

Personnel emoluments were the highest spending category at Kshs.46.3 billion representing 33.9 per cent of the total recurrent expenditure. Recurrent transfers to Semi-Autonomous Government Agencies (SAGAs) amounted to Kshs.64.0 billion, equivalent to 46.9 per cent of total expenditure. Other notable expenditure categories by the MDAs included Kshs.897.9 million spent on domestic travel, Kshs.863.7 million on hospitality, conferences, and catering, and Kshs.708.2 million on foreign travel.

The Teachers Service Commission had the highest expenditure on personnel emoluments at Kshs.31.4 billion, which was 67.8 per cent of the total PE expenditure by MDAs. The Ministry of Defense had the highest transfers to SAGAs at Kshs.20.8 billion.

The highest expenditure by MDAs in other categories included Kshs.121 million on domestic travel by the State Department of Interior, Kshs.286.7 million on foreign travel by the Ministry of Sports , Culture and Arts, Kshs.112.1 million on printing and advertising by the Presidency, Kshs.134.1 million on rentals and rates for non-residential buildings by the State Department of Interior, Kshs.85.1 million on training by the State Department of Planning, Kshs.111.6 million on maintenance of motor vehicles by the State Department of Interior, and Kshs.96.7 million on maintenance of other assets by the State Department of Planning.

As show in table 4.4 other operations and maintenance (O&M) expenditure amounted to Kshs.90.3 billion, accounting for 66.1 per cent of total recurrent expenditure. Some of the MDAs with significant expenditure included:

As shown in table 4.4, some notable recurrent expenditures by MDAs categorized under ‘others’ include;

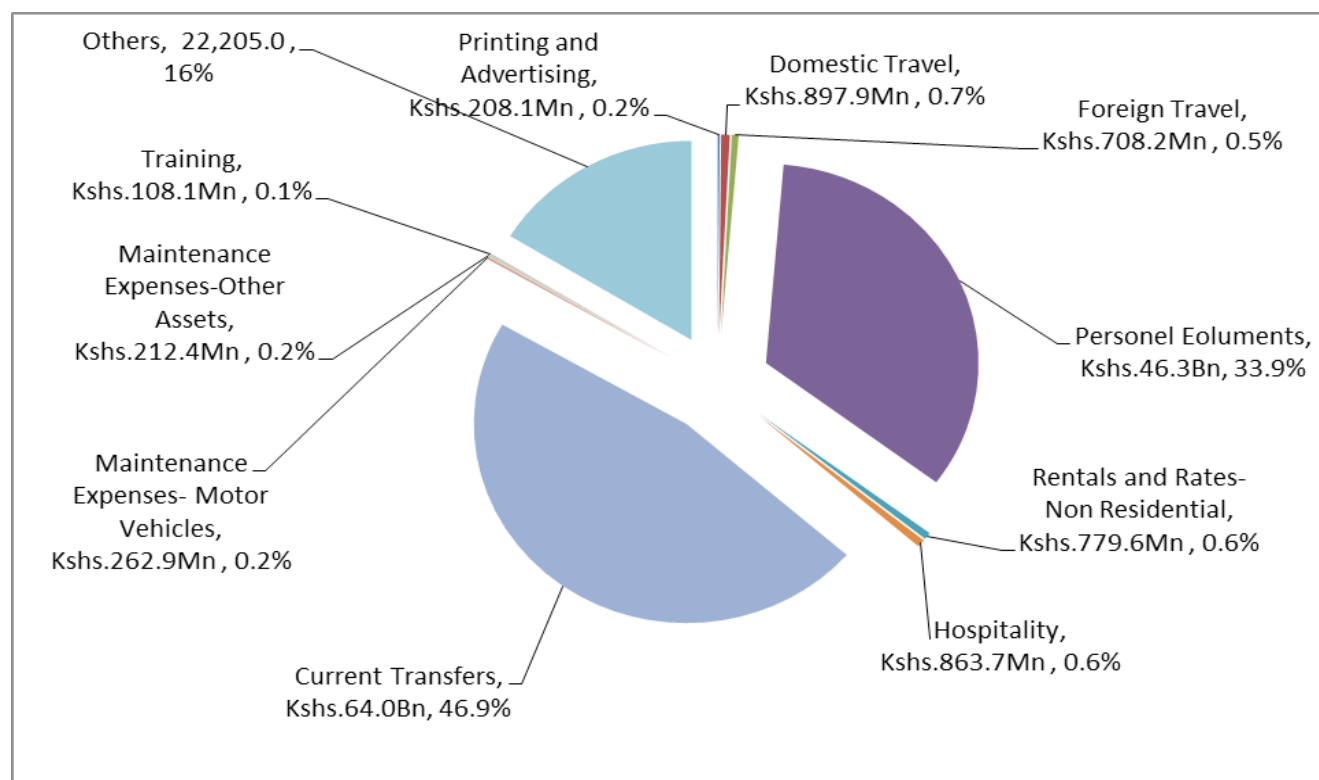
- i. **State Department for Interior:** Amount included Kshs.1,750 million for medical insurance, Kshs.84.7 million for purchase of police and security equipment, Kshs.824.4 million for food rations, Kshs.180.7 million for electricity, Kshs.944.7 million for security operation services, Kshs.96.4 million for legal dues/fees, arbitration and compensation payments, and Kshs.41.7 million for water and sewage charges.
- ii. **National Treasury:** Amount includes: Kshs.329.6 million incurred on security operations and Kshs.457.9 million for group personal insurance.
- iii. **State Department for Coordination of National Government** Expenditure included Kshs.1.5 billion for food and rations, Kshs.193.8 million for electricity payment, Kshs.48.2 million on purchase of police and security equipment, Kshs.153 million on purchase of other fuels (wood, charcoal, cooking gas etc.) and Kshs.49.4 million on medical drugs.
- iv. **State Department for Science and Technology** Amount included Kshs.2.3 billion transferred to the Higher Education Loans Board (HELB) for loans to students in higher institutions of learning.
- v. **The State Department for Planning** Amount included: Kshs.1.05 billion for food rations, Kshs.545.6 million for purchase of ICT networking and communication equipment and software, Kshs.486.8 million on uniforms and clothing for staff and trainees, Kshs.181.1

million on contracted professional and technical services and Kshs.265.8 million on purchase of beddings and linen.

- vi. **The Judiciary** Amount included expenditure of Kshs.336.2 million in monthly pensions for civil servants, Kshs.401.9 million on housing loans to judiciary staff, Kshs.325.3 million on staff medical insurance and Kshs.123 million on contracted security and cleaning services.
- vii. **State Department for Agriculture** Amount included Kshs.100 million as transportation cost and charges, Kshs.64.1 million contracted technical and professional services and Kshs.54 million incurred on management fees.
- viii. **The Ministry of Foreign Affairs** spent Kshs.183.0 million on state visits abroad and Kshs.4.5 million on hire of transport and equipment.

The composition of MDAs recurrent expenditure for the period under review is summarized in figure 4.4

Figure 4.4: Composition of MDAs Recurrent Expenditure, July-September 2015



Source: MDAs & National Treasury (IFMIS)

4.5 MDAs Development Expenditure Analysis

In the FY 2015/16, the allocation to development expenditure was Kshs.721.3 billion. Actual expenditure for the first three months of the year was Kshs.76.93 billion, an absorption rate of 10.7 per cent. This represents 37.9 per cent growth in development expenditure compared to Kshs.55.8 billion spent towards development activities in the first quarter FY 2014/15. The breakdown of the development expenditure by MDAs for the July-September, 2015 period is presented in table 4.5.

Table 4.5: Development Expenditure by MDAs Breakdown, July - September 2015 (Kshs. Millions)

MINISTRY/STATE DEPARTMENT	Maintenance of Motor Vehicles	Maintenance of other Assets	Capital Transfers	Construction of Building	Residential (Including Hostels.)	Construction and Civil Works	Purchase of Specialised Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenses	(A-I-A)	Total Expenditure
The Presidency	-	4.5	-	-	-	114.6	9.3	-	-	-	177.2
State Department for Interior	-	9.4	-	24.7	-	12.2	238.2	-	-	-	350.3
State Department for Coordination of National Government	-	-	-	6.9	-	-	17.9	-	-	-	24.8
State Department for Planning	-	-	10,666.1	-3.6	-	25.6	301.2	47.4	-	-	14,768.9
State Department for Devolution	-	-	621.5	-	-	-	-	-	-	-	753.8
Ministry of Foreign Affairs and International Trade	-	-	77.1	48.0	-	-	-61.3	-	-	-	63.8
State Department for Education	-	11.5	211.4	436.4	-	-	-	-	-	-	665.9
State Department for Higher Education, Science and Technology	-	-	798.8	2,235.4	-	39.1	-	-	-	-	3,078.8
The National Treasury	-	3.2	512.7	22.8	-	-	12.6	10.3	348.7	-	999.6
Ministry of Health	-	-	2,642.2	-	-	-	-	-	-	-	4,174.5
State Department for Infrastructure	-	-	26,710.3	-	-	-	-	2.4	-	-	21,817.4
State Department for Transport	-	12.1	1,675.2	-	-	2,527.6	-	-	-	-	3,480.2
State Department for Environment & Natural Resources	-	-	19.5	45.1	-	6.9	45.0	55.5	-	-	326.2

MINISTRY/STATE DEPARTMENT	Maintenance of Motor Vehicles	Maintenance of other Assets	Capital Transfers	Construction of Building	Residential (Including Hostels.)	Construction and Civil Works	Purchase of Specialised Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenses	(A-I-A)	Total Expenditure
State Department for Water & Regional Authorities	-	-	662.5	-	-	2,276.7	-	-	-	-	2,252.2
Ministry of Lands Housing, and Urban Development	-	125.5	763.3	482.3	-	3,306.4	340.8	271.7	-	-	6,296.9
Ministry of Information & Communication and Technology	-	6.0	356.4	-	-	-	8.0	1,123.3	-	-	1,705.0
Ministry of Sports Culture and Arts	-	-	87.8	-	-	16.4	15.9	4.5	-	-	122.9
Ministry of Labour Social Security and Services	-0.6	0.7	1,435.6	25.9	-	-	3.6	0.1	32.7	-	1,567.5
Ministry of Energy and Petroleum	-	-	3,466.5	-	-	1,917.4	-	32.3	-	-	3,772.6
State Department for Agriculture	-	-	2,989.5	-	-	105.0	-	14.6	1,210.6	-	4,199.3
State Department for Livestock	-	-	783.3	-26.0	-	-2.5	-	-	-	-	829.3
State Department for Fisheries	-	-	0.0	-	-	17.5	-	-	-	-	34.1
Ministry of Industrialization and Enterprise Development	-	-	2,187.9	-	-	175.8	-	4.6	7.4	-	2,438.8
State Department for Commerce & Tourism	-	-	2,660.0	-	-	-	-	-	4.0	-	2,664.0
State Department for East African Affairs	-	-	-	-	-	-	-	-	-	-	-
Ministry of Mining	-	-	-	-	-	-	-	-	4.2	-	4.6

MINISTRY/STATE DEPARTMENT	Maintenance of Motor Vehicles	Maintenance of other Assets	Capital Transfers	Construction of Building	Residential (Including Hostels.)	Construction and Civil Works	Purchase of Specialised Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenses	(A-I-A)	Total Expenditure
Office of the Attorney General and Department of Justice	-	-	78.0	-	-	-	-	-	-	-	77.6
The Judiciary	-	-	-	13.1	-	-	14.4	-	-	-	160.4
Ethics & Anti-Corruption Commission	-	-	-	-	-	-	-	-	-	-	-
Directorate of Public Prosecutions	-	-	-	-	-	-	-	-	-	-	-
National Lands Commission	-	-	-	-	-	-	-	-	-	-	-4.6
Independent Electoral and Boundaries Commission	-	-	-	-	-	-	117.0	-	-	-	117.0
Parliamentary Service Commission	-	-	-	-	-	-	-	-	-	-	-
Public Service Commission	-	-	-	-	-	-	-	-	-	-	-
Teachers Service Commission	-	-	-	-	-	-	-	-	-	-	15.2
Auditor General	-	-	-	-	-	-	-	-	-	-	-
Total	0.0	172.8	59,405.7	3,310.9	0.0	10,538.7	1,122.5	1,566.5	1,607.6	0.0	76,934.6
Percentage	0.00%	0.22%	77.22%	4.30%	0.00%	13.70%	1.46%	2.04%	2.09%	0.00%	100.00%

Source: MDAs & National Treasury (IFMIS)

NB: The total expenditure is net of A-I-A as generated by MDAs.

Capital transfer to SAGAs was the highest spending category at Kshs.59.4 billion, accounting for 77.2 per cent of total development expenditure. This was followed by expenditure on construction and civil works at Kshs.10.54 billion, accounting for 13.7 per cent of total development expenditure by MDAs.

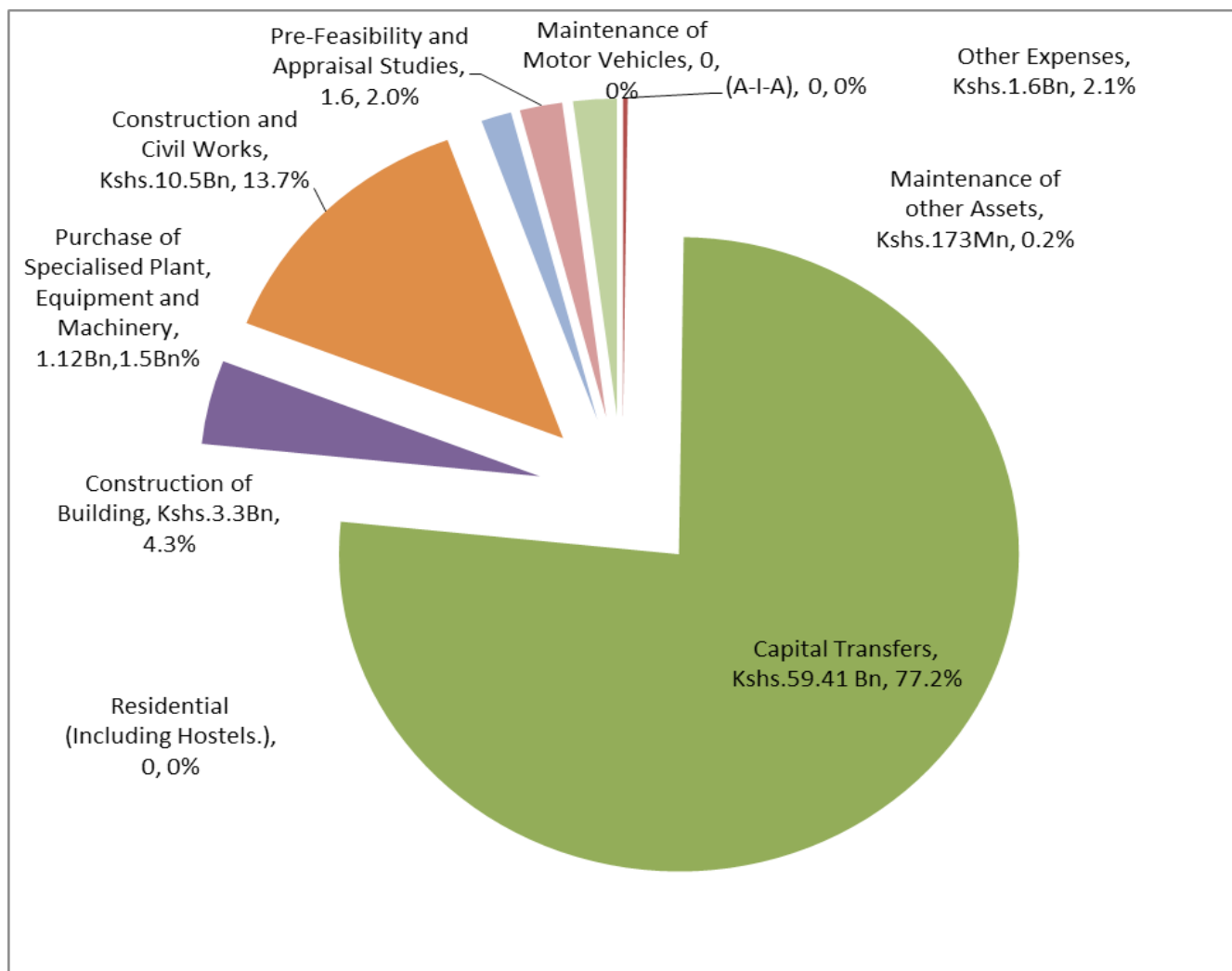
A review of the development expenditure shows that the State Department of Infrastructure had the highest capital transfers at Kshs.26.7 billion followed by the State Department of Planning at Kshs.10.7 billion. Ministry of Lands Housing and Urban Development had the highest expenditure on Construction and Civil Works at Kshs.3.3 billion, accounting for 31.4 per cent of expenditure under this category.

The MDAs with significant expenditure under the ‘other expenses’ category include:

- i. **The National Treasury:** Amount includes Kshs.348.7 million for contracted technical services and Kshs.88.5 million for overhaul of other infrastructure and civil works.
- ii. **The State Department of Agriculture:** The department spent Kshs.1.2 billion on fertilizer clearance.

The composition of MDAs development expenditure for the period under review is summarized in figure 4.5.

Figure 4.5: Composition of Development Expenditure July – September 2015



Source: MDAs & National Treasury (IFMIS)

5 DEVELOPMENT AND RECURRENT EXPENDITURE ANALYSIS BY SECTOR

5.1 Introduction

This section presents an analysis of sector performance for both recurrent and development expenditure in the first quarter FY 2015/16. The 10 sectors are discussed in alphabetical order.

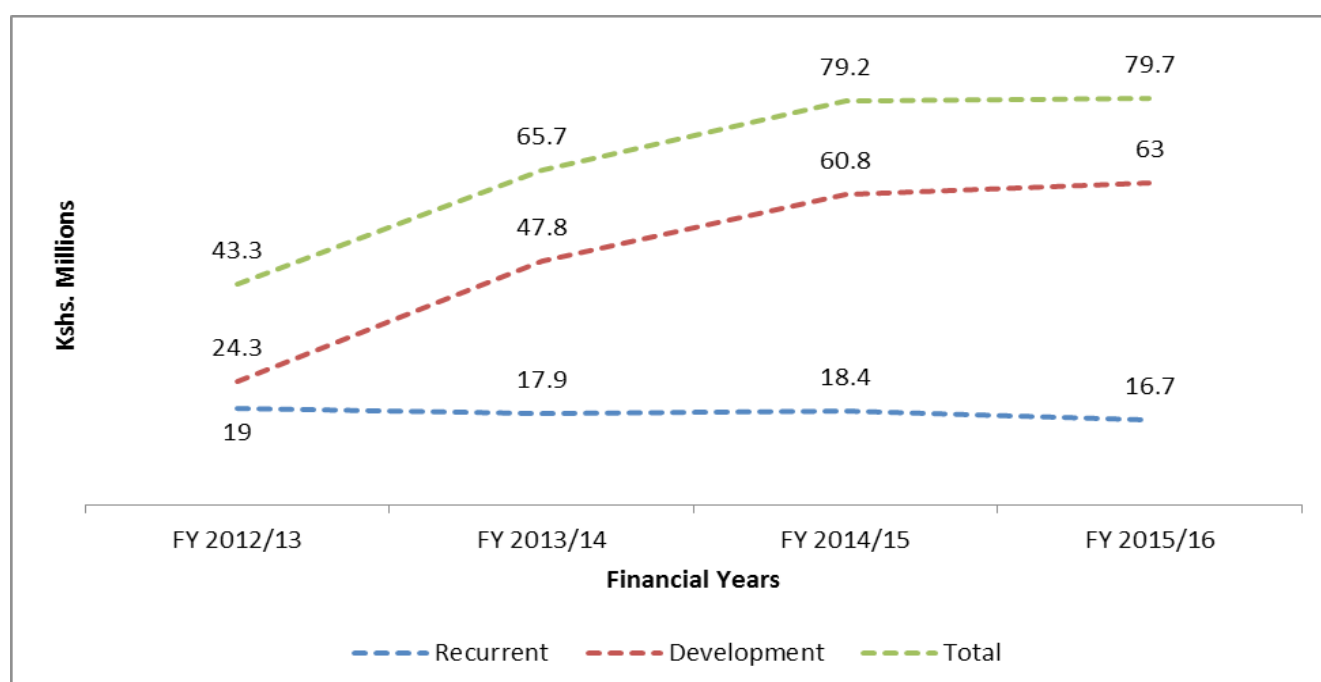
5.2 Agricultural, Rural and Urban Development (AR&UD) Sector

This sector is composed of five departments/ministries namely; Ministry of Land, Housing and Urban Development, State Department for Agriculture, State Department for Livestock, State Department for Fisheries, and the National Land Commission (NLC). The sector contributes to the country's economy through provision of raw materials for agro-based industries, agricultural exports as well as availing food to the Kenyan population. The goal of this sector is to attain food security, sustainable land management, affordable housing and urban infrastructure development.

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.79.7 billion representing 3.6 per cent of the gross national budget, a marginal increase from Kshs.79.2 billion allocated in FY 2014/15. It comprised of Kshs.63.0 billion (79.1 per cent) for development expenditure and Kshs.16.7 billion (20.9 per cent) for recurrent expenditure. The State Department for Agriculture received the highest budgetary allocation of Kshs.34.8 billion (43.7 per cent of the sectors' allocation) while the National Land Commission (NLC) had the lowest budgetary allocation of Kshs.1.5 billion (1.9 per cent of the sector's allocation).

Figure 5.1 shows budgetary allocation trend for the AR &UD sector for the period FY 2012/13 to FY 2015/16.

Figure 5.1: Budgetary Allocation Trend for the AR &UD Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

During the first quarter of FY 2015/16, the sector received exchequer issues of Kshs.8.8 billion translating to 13.2 per cent of the sectors' net annual estimates. This comprised of Kshs.6.0 billion for development expenditure representing 11.9 per cent of the annual development net estimates and Kshs.2.8 billion for recurrent activities, representing 17.3 per cent of the recurrent annual net estimates, as shown in table 5.1

Table 5.1: AR &UD Sector-Analysis of Exchequer Issues and Expenditure for the period July to September 2015 (Kshs. Billions)

Q1 FY 2015/16-Development								Q1 FY 2015/16-Recurrent				
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Ministry of Land, Housing and Urban Development	28.1	23.6	2.6	6.3	11.0	22.4	3.9	3.9	0.7	0.5	17.9	11.8
State Department for Agriculture	26.2	20.4	3.2	4.2	15.7	16.1	8.3	7.9	1.0	1.2	12.7	14.5
State Department for Livestock	5.2	3.8	0.2	0.8	5.3	16.0	1.9	1.9	0.4	0.2	21.1	8.4
State department for Fisheries	3.1	2.1	0.0	0.0	0.0	1.1	1.4	1.4	0.4	0.4	28.6	28.9
National Land Commission	0.4	0.4	0.0	0.1	0.0	26.6	1.1	1.1	0.3	0.2	29.3	19.0
Total	63.0	50.4	6.0	11.5	11.7	18.2	16.7	16.2	2.8	2.4	17.5	14.6
Total for the Sector-Q1 FY 2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							63.0	50.4	6.0	11.5	11.9	18.2
Recurrent							16.7	16.2	2.8	2.4	17.3	14.4
Total							79.7	66.6	8.8	13.9	13.2	17.5

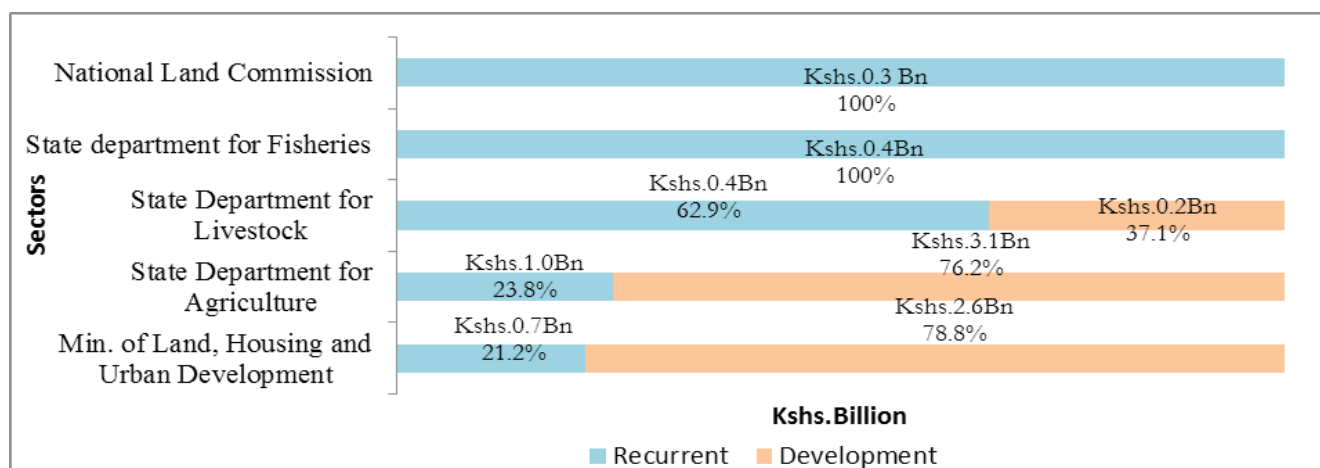
Source: MDAs and National Treasury

The State Department for Agriculture received the highest proportion of development exchequer issues to its' net estimates at 15.7 per cent while the State Department for Livestock received 5.3 per cent as a proportion of development exchequer issues to its' net estimates. The State Department for Fisheries and National Land Commission did not receive exchequers issues towards development expenditure in the period under review.

Conversely, the State Department for Fisheries received the highest proportion of the recurrent exchequer issues at 28.6 per cent of its' recurrent net estimates while the State Department for Agriculture received the lowest proportion of recurrent exchequer issues to the annual net estimates at 12.9 per cent.

Figure 5.2 shows' the exchequer issues to AR &UD sector in the first quarter of FY 2015/16.

Figure 5.2: AR&UD Sector Exchequer Issues for the Period July - September 2015 (Kshs. Billions)



Source: National Treasury

As shown in Table 5.1, the total expenditure for the sector during the first quarter of FY 2015/16 was Kshs.13.9 billion, representing an absorption rate of 17.5 per cent. This comprised of development expenditure of Kshs.11.5 billion, representing an absorption rate of 18.2 per cent and Kshs.2.4 billion on recurrent expenditure representing 14.4 per cent of the annual recurrent budget. The National Land Commission recorded the highest absorption rate of development budget at 26.6 per cent and the State Department for Fisheries recorded the lowest rate at 1.1 per cent. On the other hand, the State Department for Fisheries had the highest percentage of recurrent expenditure at 28.6 per cent while the State Department for Livestock registered the lowest at 10.5 per cent.

5.3 Education Sector

The Sector comprises of the State Department of Education, State Department of Science and Technology, the Teachers Service Commission (TSC) and affiliated institutions. Education is a vital component in the realization of Kenya's Vision 2030 and a key economic and social right recognized by the Constitution of Kenya. As a result, the sector's goal is to increase access to education and training; improve quality and relevance of education, reduce inequality as well as exploit knowledge and skills in science, technology and innovation for global competitiveness.

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs. 336.3 billion or 15.1 per cent of the gross national budget, an increase compared to Kshs.305.0 billion allocated in the FY 2014/15. The allocation comprised of Kshs.36.7 billion (10.9 per cent) for development expenditure and Kshs.299.6 billion (89.1 per cent) for recurrent expenditure as presented in table 5.2.

Table 5.2: Education Sector- Analysis of Exchequer Issues and Expenditure for the Period from July - September 2015 (Kshs. Billions)

Q1 FY2015/16 Development							Q1 FY2015/16 Recurrent					
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.	Gross Est.	Net Est.	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.
State Department for Education	22.4	21.4	0.01	0.7	0.05	3.0	59.0	56.9	2.6	13.5	4.5	22.9
State Department for Science and Technology	14.0	11.1	-	3.1	0.0	21.9	59.4	42.7	8.9	11.4	20.8	19.2
Teachers Service Commission	0.2	0.2	-	-	0.00	0.0	181.2	181.0	28.6	31.4	15.8	17.3
Total	36.6	32.6	0.01	3.7	0.03	10.2	299.6	280.6	40.1	56.3	14.3	18.8%
Total for the Sector Q1 FY 2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.
Development							36.7	32.6	0.01	3.7	0.0	10.2
Recurrent							299.6	280.6	40.1	56.3	14.3	18.8
Total							336.3	313.2	40.11	60.1	12.8	17.8

Source: MDAs and National Treasury

During the first quarter of FY 2015/16, the total exchequer issues to the sector amounted to Kshs.40.1 billion and comprised of Kshs.10 million for development expenditure and Kshs.40.1 billion for recurrent expenditure.

The State Department for Education was the only Department in the sector which received development exchequer issue of Kshs.10 million, representing 0.05 per cent of its' development net estimates. The State Department of Science and Technology received the highest proportion of recurrent exchequer issues to its' net estimates at 20.8 per cent while the State Department for Education recorded the lowest proportion of recurrent exchequer issues to the annual net estimates at 5.4 per cent.

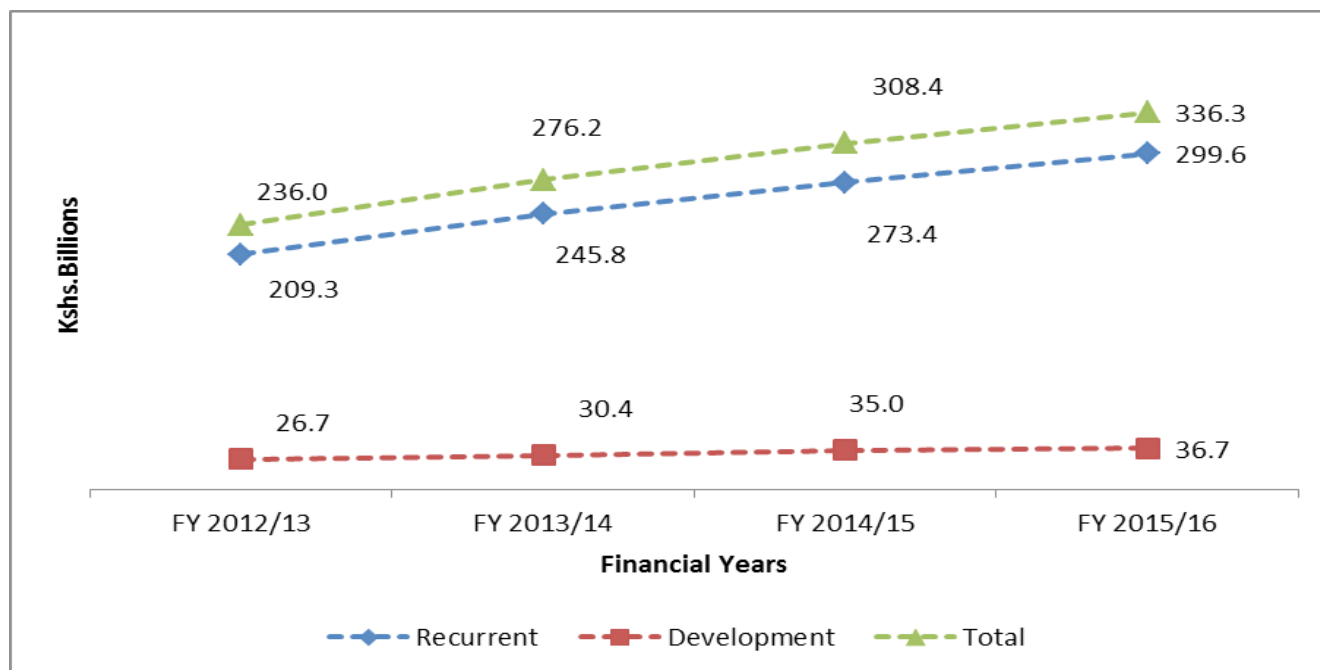
The total expenditure for the sector in the first quarter of FY 2014/15 was Kshs.60.1 billion, representing an absorption rate of 17.8 per cent of the annual gross estimates. The development expenditure was Kshs.3.8 billion, representing an absorption rate of 10.2 per cent of the gross development estimates. Recurrent expenditure was Kshs.56.3 billion, representing 18.8 per cent of the annual gross recurrent estimates.

The State Department of Science and Technology recorded the highest absorption of development funds at 21.9 per cent compared to an absorption rate of 3.0 percent recorded by the State Department for

Education. The State Department for Education recorded the highest percentage of recurrent expenditure at 22.9 per cent of the annual recurrent budget while TSC recorded the lowest at 17.3 per cent.

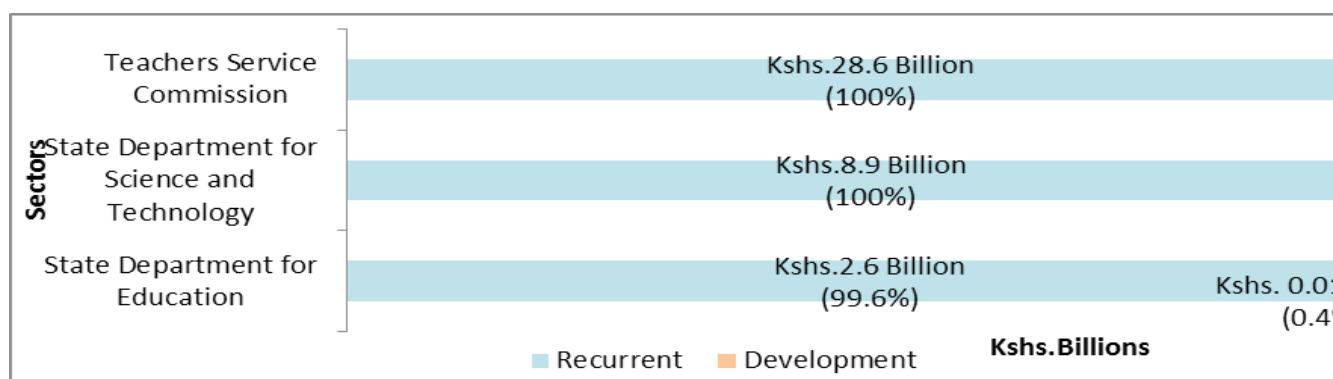
Figure 5.3 shows the trend in budgetary allocation to the sector from FY 2012/2013 - FY 2015/2016

Figure 5.3: Budgetary Allocation Trend for the Education Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

Figure 5.4: Education Sector Exchequer Issues for the Period from July to September 2015 (Kshs. Billions)



Source: National Treasury

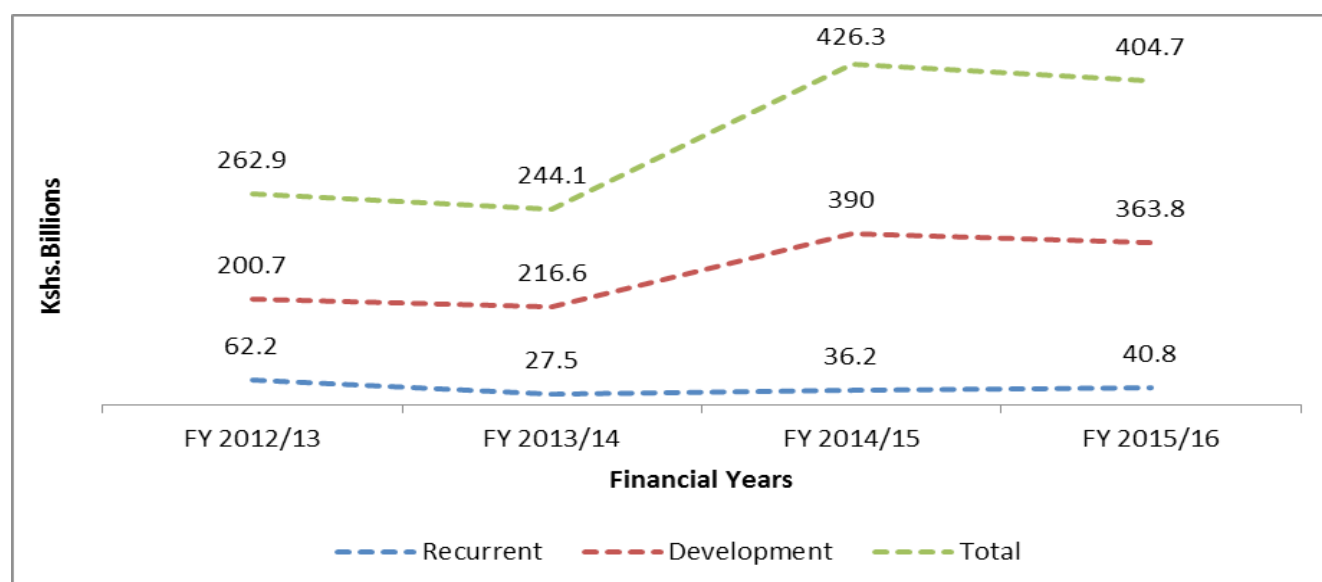
Figure 5.4 indicates the exchequer issues for the period from July to September 2015

5.4 Energy, Infrastructure and Information Communications Technology (EI & ICT Sector)

This sector comprises of four departments/ministries, namely; State Department for Infrastructure, State Department for Transport, Ministry of Information Communication and Technology and Ministry of Energy and Petroleum. The sector aims towards becoming a world-class provider of cost-effective public utility infrastructure facilities and services in energy, transport and ICT that meet international standards to make Kenya a globally competitive country.

The annual budgetary allocation for the sector in the FY 2015/16 was Kshs.404.7 billion representing 18.1 per cent of the annual gross budget, a decline compared to Kshs.426.3 billion allocated in FY 2014/15. The allocation comprised of Kshs.363.8 billion (89.9 per cent) for development expenditure and Kshs.40.8 billion (10.1 per cent) for recurrent expenditure.

Figure 5.5: Budgetary Allocation Trend for the EI & ICT Sector for the Period FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

During the first quarter of FY 2015/16, the sector received Kshs.7.6 billion translating to 6.5 per cent of the sectors' annual net estimates an improvement compared to Kshs.4.8 billion in the first quarter period FY 2014/15. The exchequer issues comprised of Kshs.6.1 billion for development expenditure and Kshs.1.5 billion for recurrent expenditure, translating to 6.0 per cent and 19.1 per cent of the net estimates respectively. The analysis of EI & ICT exchequer issues and expenditure for the period under review is presented in table 5.3.

Table 5.3: EI & ICT Sector - Analysis of Exchequer Issues and Expenditure for the Period July to September 2015 (Kshs. Billions)

Q1 FY 2015/16-Development							Q1 FY 2015/16-Recurrent					
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
State Department for Infrastructure	104.0	62.3	0.3	21.8	0.5	21.0	30.0	1.7	0.3	5.0	17.6	16.7
State Department for Transport	158.5	5.3	0.1	3.5	1.9	2.2	5.8	1.4	0.3	0.4	21.4	6.2
Ministry of Information, Communication and Technology	8.9	5.1	1.5	1.7	29.4	19.1	3.0	2.9	0.5	0.5	17.2	16.0
Ministry of Energy and Petroleum	92.4	29.0	4.2	3.8	14.5	4.1	2.0	1.8	0.4	0.4	22.2	17.2
Total	363.8	101.7	6.1	30.8	6.0	8.5	40.8	7.9	1.5	6.2	19.0	15.2
Total for the Sector-Q1 FY 2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							363.8	101.7	6.1	30.8	6.0	8.5
Recurrent							40.8	7.9	1.5	6.2	19.0	15.2
Total							404.7	109.6	7.6	37.0	6.9	9.1

Source: MDAs and National Treasury

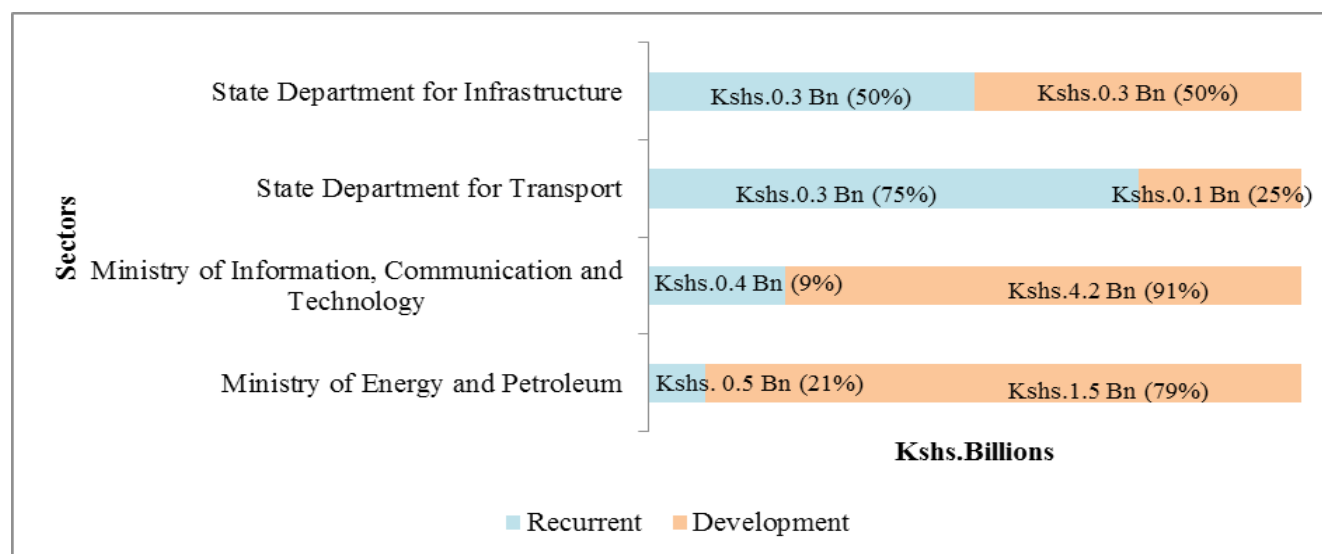
The Ministry of Information, Communication and Technology received the highest proportion of exchequer issues to its' net development estimates at 29.4 per cent while the State Department for Infrastructure received the lowest proportion of development exchequer issues to its' net estimates at 0.5 per cent. On the other hand, Ministry of Energy and Petroleum received the highest proportion of its' recurrent exchequer issues at 22.2 per cent of the recurrent net estimates while Ministry of Information, Communication and Technology recorded the lowest proportion at 17.2 per cent.

The total expenditure for the sector during the first quarter FY 2015/16 amounted to Kshs.37.0 billion, representing an absorption rate of 9.1 per cent. This comprised of development expenditure, of Kshs.30.8 billion, representing an absorption rate of 8.5 per cent, and, Kshs.6.2 billion as recurrent expenditure representing an absorption rate of 15.2 per cent.

The State Department for Infrastructure had the highest absorption rate at 21.0 per cent of development expenditure while the State Department for Transport recorded the lowest absorption rate of 2.2 per cent. The Ministry of Energy and Petroleum recorded the highest percentage of recurrent expenditure at 20.0 per cent while the State Department for Transport recorded the lowest rate at 6.9 per cent.

The breakdown of the sector's exchequer issues in terms of expenditure category and the ministries/departments is shown in Figure 5.6.

Figure 5.6: EI & ICT Sector Exchequer Issues for the Period July to September 2015 (Kshs. Billions)



Source: MDAs and National Treasury

5.5 Environmental Protection, Water and Natural Resource Sector

This sector consists of three sub-sectors, namely; the State Department for Environment & Natural Resources, State Department for Water and Regional Authorities, and Ministry of Mining. The sector endeavours to provide decent, secure and habitable environment as well as access to portable water. It also promotes mineral exploration and mining management, development of mining policies, conducting inventory, and mapping of mineral resources.

The annual budgetary allocation for the sector in the FY 2015/16 was Kshs.63.0 billion, equivalent to 2.8 per cent of the total national budget, an increase from the Kshs.59 billion allocated in FY 2014/15. This comprised of Kshs.45.2 billion (71.7 per cent) for development expenditure and Kshs.17.8 billion (28.3 per cent) for recurrent expenditure, as shown in table 5.4.

Table 5.4: Environmental Protection, Water and Natural Resources Sector - Analysis of Exchequer Issues and Expenditure for the Period July to September 2015 (Kshs. Billions)

Q1 FY 2015/16-Development							Q1 FY 2015/16-Recurrent					
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
State Department for Environment & Natural Resources	8.3	5.2	0.1	0.3	1.9	3.6	12.8	6.6	1.7	1.7	25.8	13.3
State Department for Water & Regional Authorities	35.4	18.9	0.7	2.3	3.7	6.5	4.3	2.1	0.8	0.8	38.1	18.6
Ministry of Mining	1.5	1.5	-	0.0	0	0.0	0.7	0.7	0.1	0.03	14.3	4.3
Total	45.2	25.5	0.8	2.6	3.1	5.8	17.8	9.4	2.6	2.5	27.7	14.0
Total for the Sector Q1 FY 2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							45.2	25.5	0.8	2.6	3.1	5.8
Recurrent							17.8	9.4	2.6	2.5	27.7	14.0
Total							63.0	34.9	3.4	5.1	9.7	8.1

Source: MDAs and National Treasury

The State Department for Water and Regional Authorities received the highest allocation of Kshs.39.7 billion, or 63 per cent of the sector's total budget allocation. The Ministry of Mining was allocated the lowest amount of Kshs.2.2 billion representing 3.5 per cent of the total sector budget.

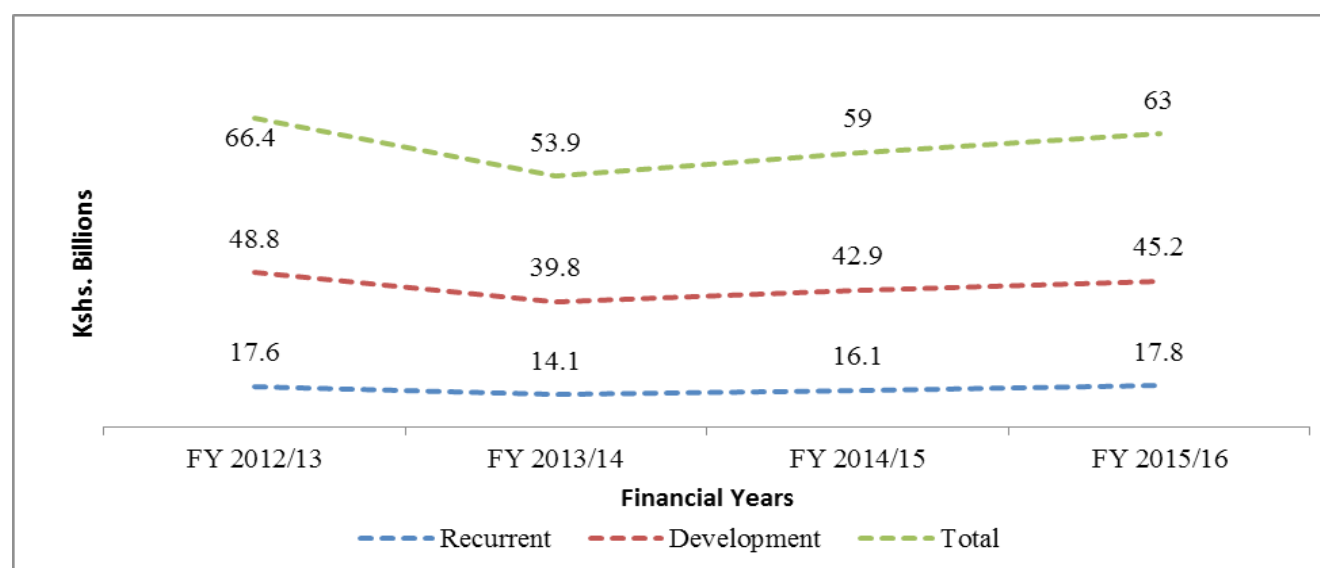
During the first quarter of FY 2015/16, the sector received exchequer issues of Kshs.3.4 billion, representing 9.7 per cent of the annual net estimates. This comprised of Kshs.0.8 billion for development expenditure representing 3.2 per cent of the annual net development estimates and Kshs.2.6 billion for recurrent expenditure representing 27.7 per cent of the net recurrent estimates.

The State Department for Water and Regional Authorities received the highest proportion of exchequer issues to development and recurrent expenditure to the annual net estimates at 3.7 per cent and 38.1 per cent respectively. Conversely, the Ministry of Mining received the lowest proportion of exchequer issues for recurrent expenditure to the net estimates at 14.3 per cent with no development funds received for the period under review.

The total expenditure for the sector during the first quarter FY 2015/16 amounted to Kshs.5.1 billion, recording an absorption rate of 8.1 per cent of the gross estimates. The sector spent a total of Kshs.2.6 billion on development expenditure translating to an absorption rate of 5.8 per cent and Kshs.2.6 billion on recurrent expenditure representing 14.0 per cent of the annual recurrent budget. The State Department for Water and Regional Authorities reported the highest absorption rates on both development and recurrent expenditure at 6.5 per cent and 18.7 per cent respectively. Conversely, the Ministry of Mining recorded the lowest absorption rates on both development and recurrent expenditure at 0.0 per cent and 4.3 per cent respectively.

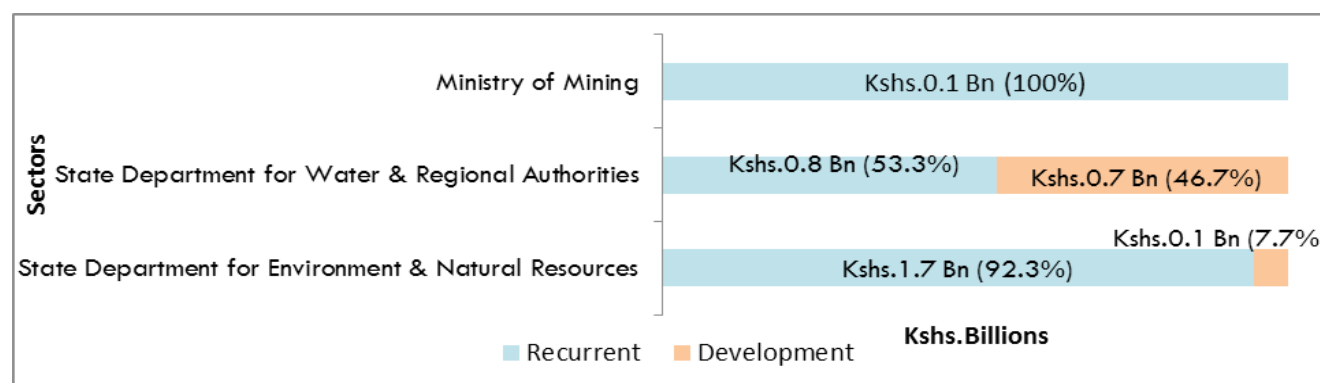
Figure 5.7 below shows annual budgetary allocations to the sector between FY 2012/13 to FY 2015/16.

Figure 5.7: Budgetary Allocation Trend - Environmental Protection, Water and Natural Resources Sector FY 2012/13 – FY 2015/16 (Kshs. Billion)



Source: National Treasury

Figure 5.8: Environmental Protection, Water and Natural Resources Sector Exchequer Issues for the Period July to September 2015 (Kshs. Billions)



Source: National Treasury

5.6 General Economic and Commercial Affairs (GECA) Sector

The General Economic and Commercial Affairs (GECA) Sector comprises of three sub-sectors namely; Industrialization and Enterprise Development, State Department for East African Affairs and State Department for Commerce and Tourism. The sector aims at promoting regional integration and cooperation; growth and development of commerce; tourism promotion and development; savings and investment mobilization; employment creation; and industrial and entrepreneurship development. The sector contributes significantly to the overall national development and accounts for about 33 per cent of the overall GDP. It is also a major source of government revenue in form of taxes, duties, license fees, National Park entry fees, among others.

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.21.3 billion, representing 1 per cent of the total budget, which is an increase from the Kshs.16.6 billion allocated in FY 2014/15. This comprises of Kshs.14.2 billion (66.7 per cent) for development expenditure and Kshs.7.1 billion (33.3 per cent) for recurrent expenditure. The analysis of exchequer issues and expenditure for GECA sector for July-September, 2015 is presented in table 5.5.

Table 5.5: GECA Sector - Analysis of Exchequer Issues and Expenditure for the Period July to September 2015 (Kshs. Billions)

Q1 FY 2015/16- Development							Q1 FY 2015/16- Recurrent					
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Ministry of Industrialisation and Enterprise Development	6.3	5.9	1.0	2.4	16.9	38.1	2.6	2.5	0.6	0.9	24.0	34.6
State Department for East African Affairs	0.1	0.1	-	-	0.0	0.0	1.7	1.7	0.1	0.5	5.9	29.4
State Department for Commerce & Tourism	7.8	7.8	-	2.7	0.0	34.6	2.9	2.8	0.9	1.0	32.6	34.5
Total	14.2	13.8	1.0	5.1	7.2	35.9	7.1	7.0	1.6	2.4	22.9	33.8
Total for the Sector, Q1 FY2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							14.2	13.8	1.0	5.1	7.2	35.9
Recurrent							7.1	7.0	1.6	2.4	22.9	33.8
Total							21.3	20.8	2.6	7.5	12.5	35.2

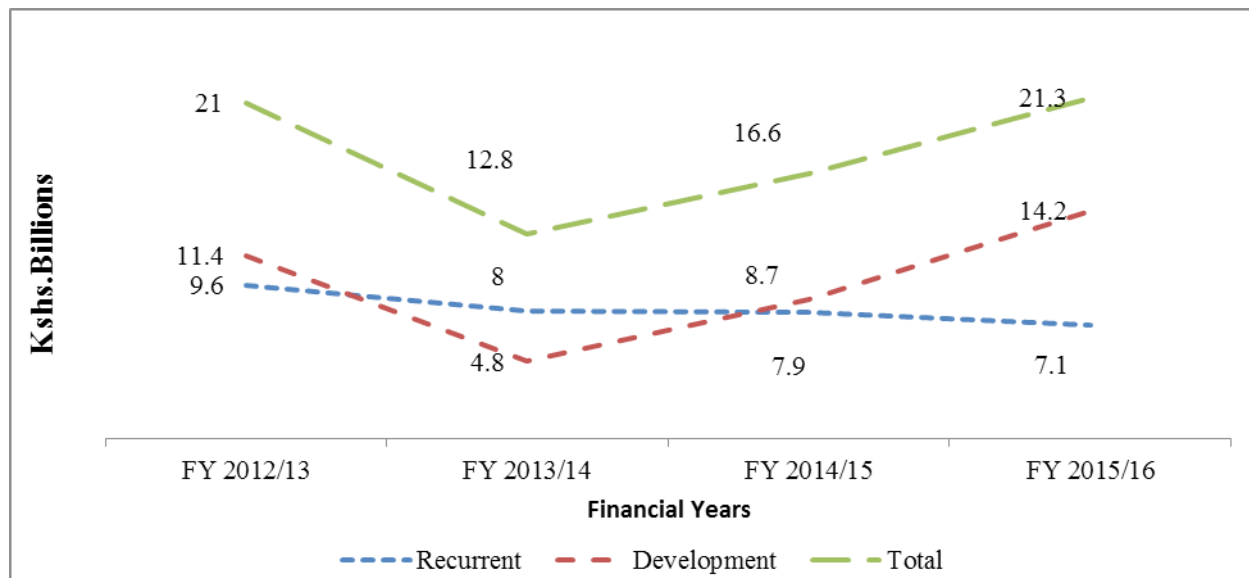
Source: MDAs and National Treasury

The State Department for Commerce and Tourism was allocated the highest amount at Kshs.7.8 billion for development expenditure while the State Department for East African Affairs was allocated the lowest at Kshs.0.1 billion. Equally The State Department for Commerce and Tourism was allocated the highest amount, Kshs.2.9 billion for recurrent expenditure while the State Department for East African Affairs was allocated the least amount of Kshs.1.7 billion.

During the first quarter of FY 2015/16, the total exchequer issues to the sector was Kshs.2.6 billion representing 12.5 per cent of the annual net estimates. This comprised of Kshs.1 billion for development projects which is 7.2 per cent of development net estimates and Kshs.1.6 billion for recurrent expenditure, representing 22.9 per cent of annual recurrent net estimates. On the development expenditure, only the Ministry of Industrialisation and Enterprise Development received development exchequer issues, which was 16.9 per cent of the development net estimates. The State Department for Commerce and Tourism received the highest proportion of exchequer issues to the recurrent net estimates at 32.6 per cent while the State Department for East African Affairs received the lowest proportion of exchequer issues to the recurrent net estimates at 5.9 per cent.

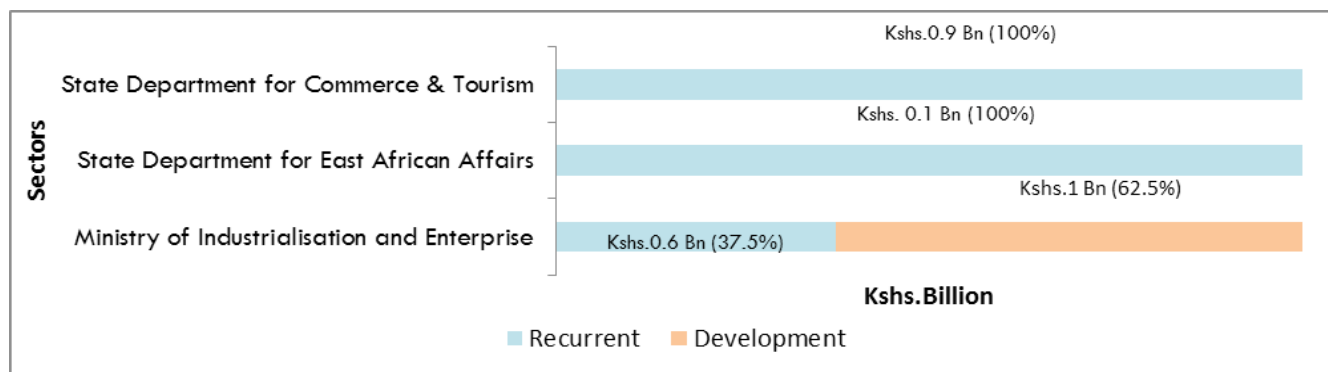
The total expenditure for the sector in the period July to September 2015 was Kshs.7.5 billion representing an absorption rate of 35.2 per cent. A total of Kshs.5.1 billion was spent on development activities representing an absorption rate of 35.9 per cent while Kshs.2.4 billion was on recurrent activities representing 33.8 per cent of the annual recurrent budget. The Ministry of Industrialization and Enterprise Development recorded the highest absorption rate at 38.1 per cent of its development expenditure while the State Department for Commerce and Tourism recorded an absorption rate 34.6 per cent. On recurrent expenditure the State Department Commerce and Tourism recorded the highest rate of 34.5 per cent whereas the State Department for East African Affairs recorded the lowest rate at 29.4 per cent.

Figure 5.9: Trends in Budgetary Allocation GECA Sector Trend from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

Figure 5.10: GECA Sector Exchequer Issues July - September 2015 (Kshs. Billions)



Source: MDAs and National Treasury

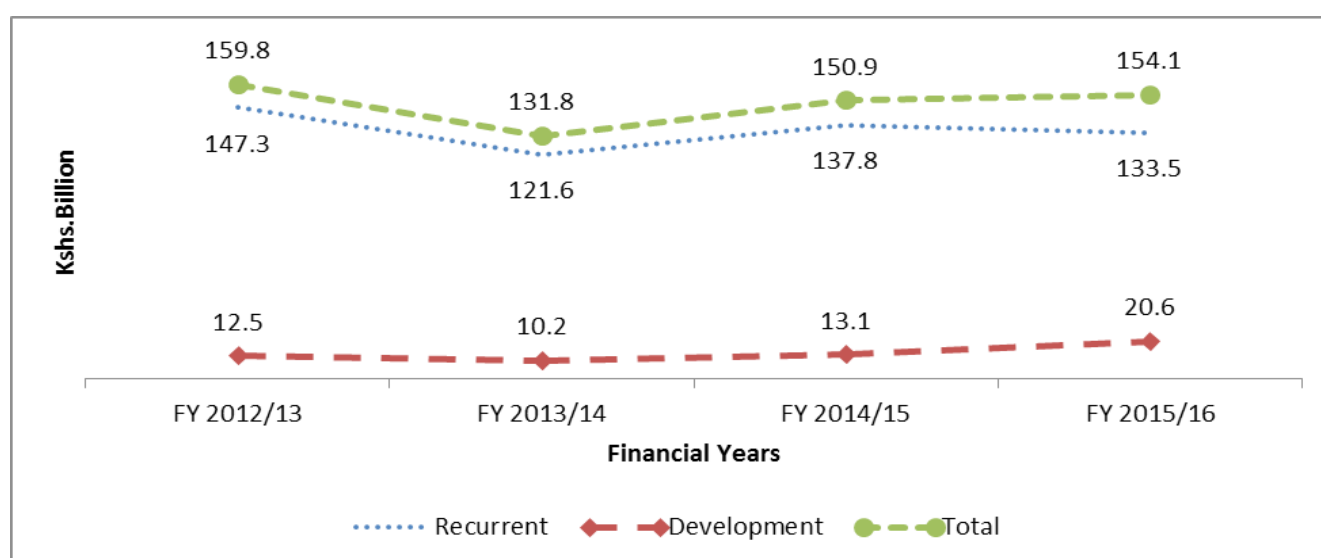
5.5 Governance, Justice, Law and Order Sector (GJLOS)

The GJLOS sector comprises of 14 departments/ministries which include; Ministry of Interior and Coordination of National Government, Office of the Attorney General and Department of Justice, Directorate of Public Prosecution (DPP), the Judiciary, Judicial Service Commission (JSC), Ethics and Anti-Corruption Commission (EACC), Kenya National Commission for Human Rights (KNCHR), Registrar of Political Parties (RPP), Witness Protection Agency (WPA), National Police Service Commission (NPSC), Independent Electoral and Boundaries Commission (IEBC), National Gender and Equality Commission (NGEC), Commission for Implementation of the Constitution (CIC) and Independent Police Oversight Authority (IPOA).

The role of the sector includes provision of security, prosecution services, management of elections and electoral boundaries, ensuring good governance and accountability of public resources, registration and regulation of political parties, facilitating and overseeing implementation of the constitution. The sector also aims at protecting and promoting human rights, rehabilitation, reintegration and resettlement of custodial and non-custodial offenders, providing migration services, maintaining law and order, judicial and legal services, and promotion of cohesion, transparency and integrity.

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.154.0 billion or 6.9 per cent of the total national budget, an increase compared to Kshs.150.9 billion allocated in FY 2014/15. The allocation comprised of Kshs. 20.6 billion (8.7 per cent) for development expenditure and Kshs.133.5 billion (91.3 per cent) for recurrent expenditure. Figure 5.11 shows budgetary allocations trend for the Sector for the period FY 2012/13 to FY 2015/16.

Figure 5.11: Budgetary Allocation Trend GJLOS Sector FY 2012/13 – FY 2015/16 (Kshs. Billion)



Source: National Treasury

During the first quarter of FY 2015/16, the total exchequer issues to the sector amounted to Kshs. 23.0 billion representing 15.1 per cent of the annual net estimates. The development exchequer issues were Kshs.0.2 billion, representing 1.0 per cent of the development net estimates while recurrent exchequer issues to the sector amounted to Kshs.22.9 billion, and representing 17.3 per cent of the recurrent net

estimates. Only The Office of the Attorney General and Department of Justice and the Judiciary received exchequer issues to the development net estimate at 50.0 per cent and 2.4 per cent respectively. The Registrar of Political Parties received the highest proportion of annual recurrent exchequer issues to net estimates at 40.0 per cent while the State Department for Interior received the lowest proportion of annual recurrent exchequer issues to net estimates at 15.3 per cent, as shown in table 5.6.

Table 5.6: GJLOS – Analysis of Exchequer Issues and Expenditure, for the Period July to September 2015 (Kshs. Billions)

Q1 FY 2014/15 Development							Q1 FY 2015/16 Recurrent					
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est	Gross Est.	Net Est.	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.
State Department for Interior	14.3	14.2	-	0.4	-	2.8	88.0	87.7	13.4	10.0	15.3	11.4
State Department for Coordination of National Government	1.0	1.0	-	0.02	-	2.0	17.0	17.0	4.2	1.5	24.7	8.8
Office of the Attorney General and Department of Justice	0.5	0.2	0.1	0.1	50.0	20.0	4.1	3.7	0.7	0.6	18.9	14.6
The Judiciary	4.1	4.1	0.1	0.2	2.4	4.9	12.6	12.6	2.1	2.1	16.7	16.7
Ethics and Anti-Corruption Commission	0.3	0.3	-	-	-	-	2.3	2.3	0.5	0.4	21.7	17.4
Directorate of Public Prosecutions	0.3	0.3	-	0.005	-	1.7	2.0	2.0	0.4	0.3	20.0	15.0
Commission for the Implementation of the Constitution	-	-	-	-	-	-	0.3	0.3	0.1	0.05	33.3	16.7
Registrar of Political Parties	-	-	-	-	-	-	0.5	0.5	0.2	0.2	40.0	40.0
Witness Protection Authority	-	-	-	-	-	-	0.4	0.4	0.1	0.1	25.0	25.0
Kenya National Commission of Human Rights	-	-	-	-	-	-	0.5	0.5	0.1	0.1	20.0	20.0
Independent Electoral and Boundaries Commission	-	-	-	-	-	-	4.2	4.2	0.7	0.7	16.7	16.7
Judicial Service Commission	-	-	-	-	-	-	0.5	0.5	0.7	0.04	140.0	8.0
National Police Service Commission	-	-	-	-	-	-	0.4	0.4	0.1	0.1	25.0	25.0

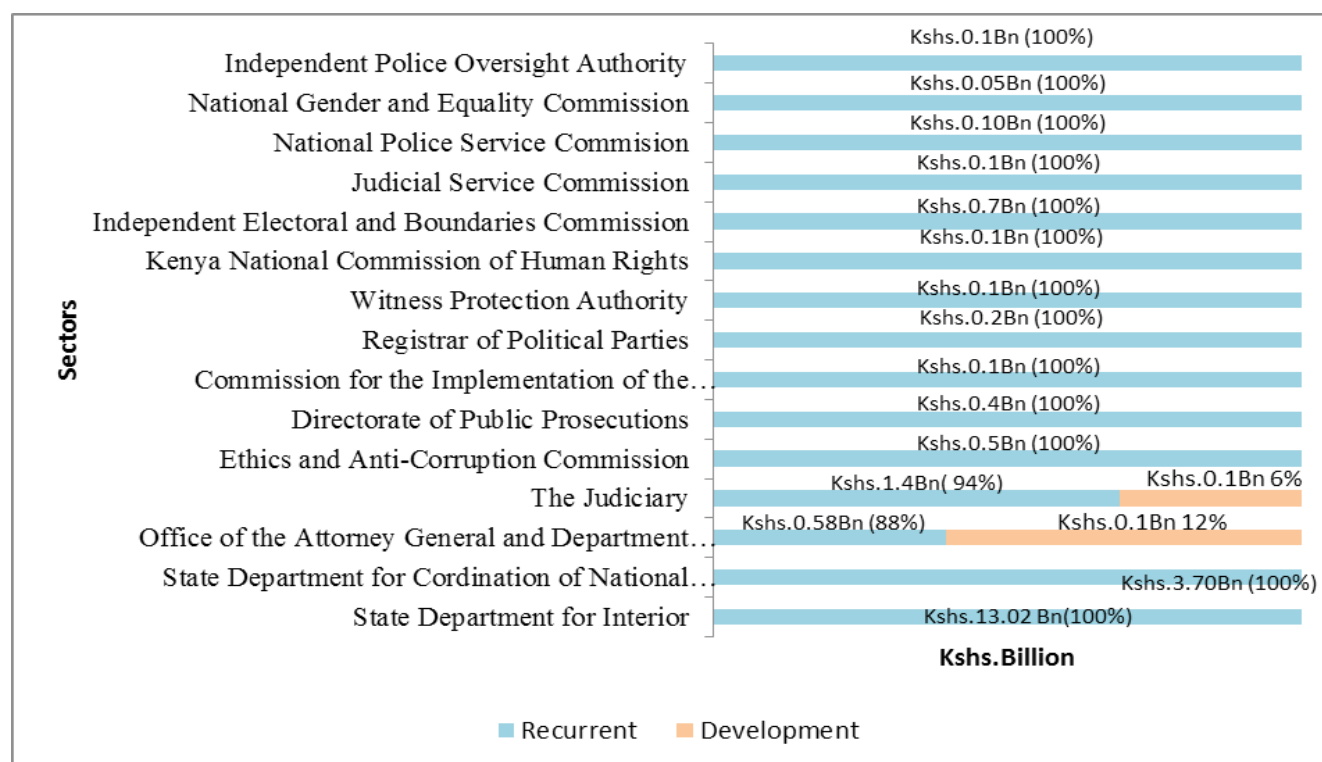
National Gender and Equality Commission	-	-	-	-	-	-	0.3	0.3	0.05	0.03	16.7	10.0
Independent Police Oversight Authority	-	-	-	-	-	-	0.4	0.4	0.1	0.1	25.0	25.0
Total	20.6	20.2	0.2	0.6	1.0	2.9	133.5	132.7	22.9	16.2	17.3	12.1
Total for the Sector Q1 FY 2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.
Development							20.6	20.2	0.2	0.6	1.0	2.9
Recurrent							133.5	132.7	22.9	16.2	15.4	12.1
Total							154.0	152.9	23.1	16.8	15.1	10.9

Source: MDAs and National Treasury

The total expenditure for the sector during the first quarter FY 2015/16 was Kshs.16.8 billion, representing an absorption rate of 10.9 per cent of the gross estimates. The development expenditure was Kshs.0.6 billion, representing an absorption rate of 2.9 per cent of the gross development estimates while total recurrent expenditure was Kshs.16.2 billion, representing 12.1 per cent of the annual gross recurrent estimates.

The Office of the Registrar of Political Parties recorded the highest proportion of recurrent expenditure to gross estimates at 40.0 per cent while the Judicial Service Commission recorded the lowest proportion of recurrent expenditure to gross estimates at 8.0 per cent.

Figure 5.12: Governance, Justice, Law and Order Sector (GJLOS) Sector Exchequer Issues July to September 2015 (Kshs. Billions)



Source: National Treasury & OCOB

5.7 Health Sector

The Health sector has one ministry, namely, Ministry of Health which discharges its function through eight Semi-Autonomous Government Agencies (SAGAs) namely; Kenyatta National Hospital (KNH), Moi Teaching and Referral Hospital, Kenya Medical Research Institute (KEMRI), Kenya Medical Supplies Agency (KEMSA), Kenya Medical Training College (KEMTC), National Health Insurance Fund (NHIF), National AIDS Control Council (NACC) and HIV & AIDS Equity Tribunal. The SAGAs are specialized in health service delivery; medical research and training; procurement and distribution of drugs; and financing through health insurance. The sector mandate is to promote and participate in the provision of integrated and high quality curative, preventive and rehabilitative services that are equitable, responsive and accessible to all Kenyans.

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.59.2 billion representing 2.7 per cent of the total national budget, which is an increase compared to Kshs.47.4 billion allocated in FY 2014/15. The FY 2015/16 allocation comprised of Kshs.30.7 billion (51.9 per cent) for development expenditure and Kshs.28.5 billion (48.1 per cent) for recurrent expenditure. The analysis of exchequer issues and expenditure for the period under review for the health sector is presented in table 5.7.

Table 5.7: Health Sector - Analysis of Exchequer Issues and Expenditure for the Period July to September 2015 (Kshs. Billions)

Q1- FY 2014/15 Development							Q1 FY 2014/15 - Recurrent					
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.	Gross Est.	Net Est.	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.
Ministry of Health	30.7	19.6	2.9	4.2	14.8	13.7	28.5	24.5	4.7	6.1	19.2	21.4
Total	30.7	19.6	2.9	4.2	14.8	13.7	28.5	24.5	4.7	6.1	19.2	21.4
Total for the Sector Q1 FY 2014/15							Gross Est.	Net Est.	Exch. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.
Development							30.7	19.6	2.9	4.2	14.8	13.7
Recurrent							28.5	24.5	4.7	6.1	19.2	21.4
Total							59.2	44.2	7.7	10.3	17.4	17.4

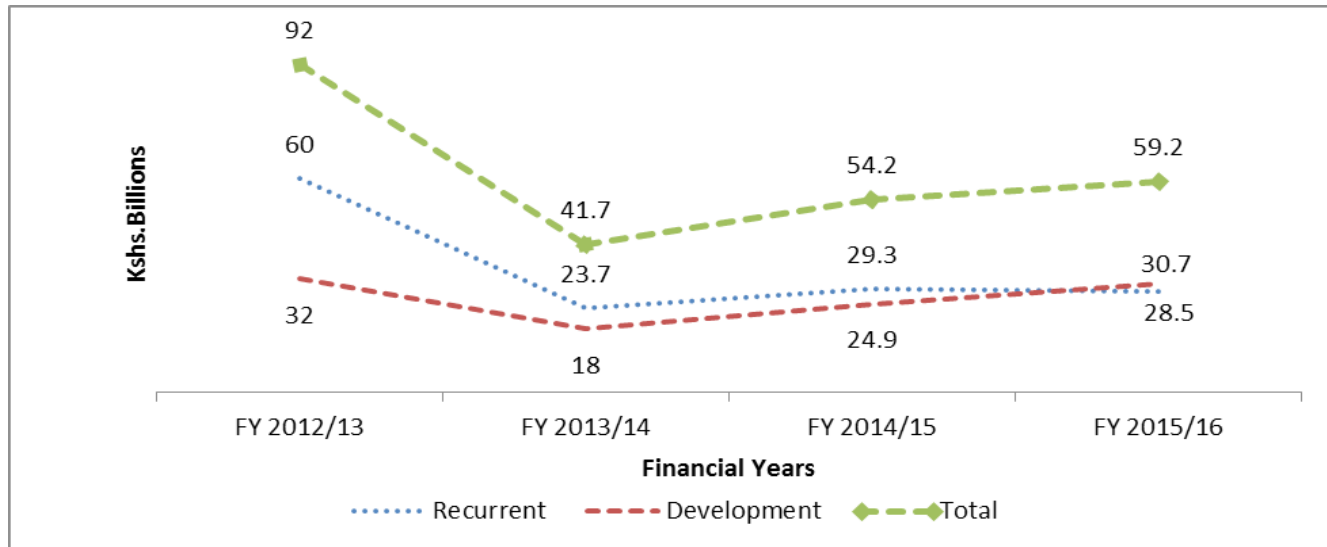
Source: MDAs and National Treasury

During the first quarter of FY 2015/16, the sector received exchequer issues amounting to Kshs.7.7 billion or 17.4 per cent of the sector's annual net estimate. Development exchequer issues amounted to Kshs.2.9 billion; representing 14.8 per cent of the net development estimates while the recurrent exchequer issues amounted to Kshs.4.7 billion, representing 19.2 per cent of the net recurrent estimates.

The total expenditure for the sector in the period under review was Kshs.10.3 billion, representing an absorption rate of 17.4 per cent of the total gross estimates. The development expenditure was Kshs.4.2 billion, representing an absorption rate of 13.7 per cent of the gross development estimates. Recurrent expenditure amounted to Kshs. 6.1 billion, representing 21.4 per cent of the annual gross recurrent estimates.

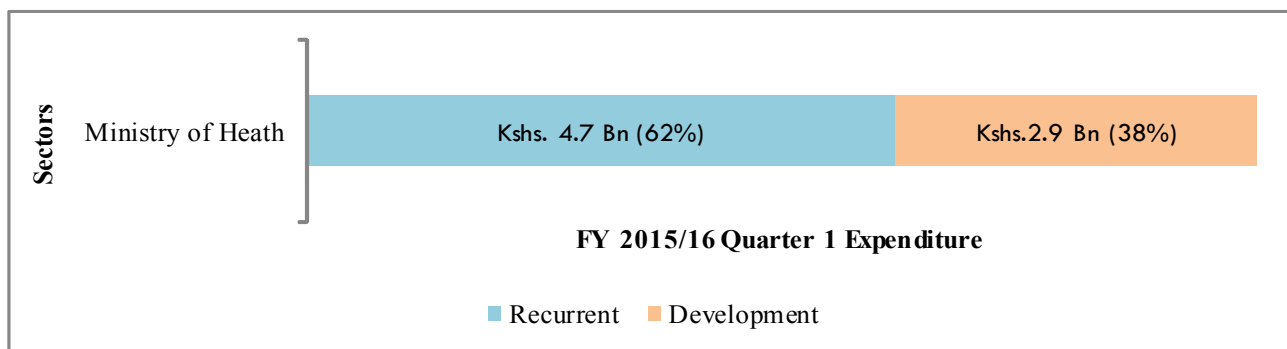
Figure 5.13 shows budgetary allocation trend for the Health Sector for the period FY 2012/13 to FY 2015/16

Figure 5.13: Budgetary Allocation Trend Health Sector FY 2012/13 – FY 2015/16 (Kshs. Billion)



Source: National Treasury

Figure 5.14: Health Sector Exchequer Issues for the period July – September 2015 (Kshs. Billion) Source: MDAs and National Treasury



Source: MDA and National Treasury

5.8 Public Administration and International Relations (PAIR) Sector

The Public Administration and International Relations (PAIR) sector comprises of the following ministries/departments; The Presidency, Ministry of Devolution and Planning, Ministry of Foreign Affairs and International Trade, National Treasury, Parliamentary Service Commission, Commission on Revenue Allocation, Public Service Commission, Salaries and Remuneration Commission, Auditor General, Controller of Budget and the Commission on Administrative Justice. The sector plays a significant role in national policy formulation and implementation, and monitoring and evaluation of government projects. In addition, it links all other sectors with the rest of the world on matters of international treaties, agreements, co-operation and resource mobilization.

The annual budgetary allocation for the sector in FY 2015/16 was Kshs.243.4 billion which represents 10.9 per cent of national total budget, an increase from Kshs.218.9 billion allocated in FY 2014/15. The allocation for development expenditure was Kshs.127.9 billion which is 52.5 per cent while recurrent expenditure was Kshs.115.5 billion, which is 47.5 per cent of the sector's budget, as shown in table 5.8.

Table 5.8: PAIR Sector - Analysis of Exchequer Issues and Expenditure for the Period July to September 2015 (Kshs. Billions)

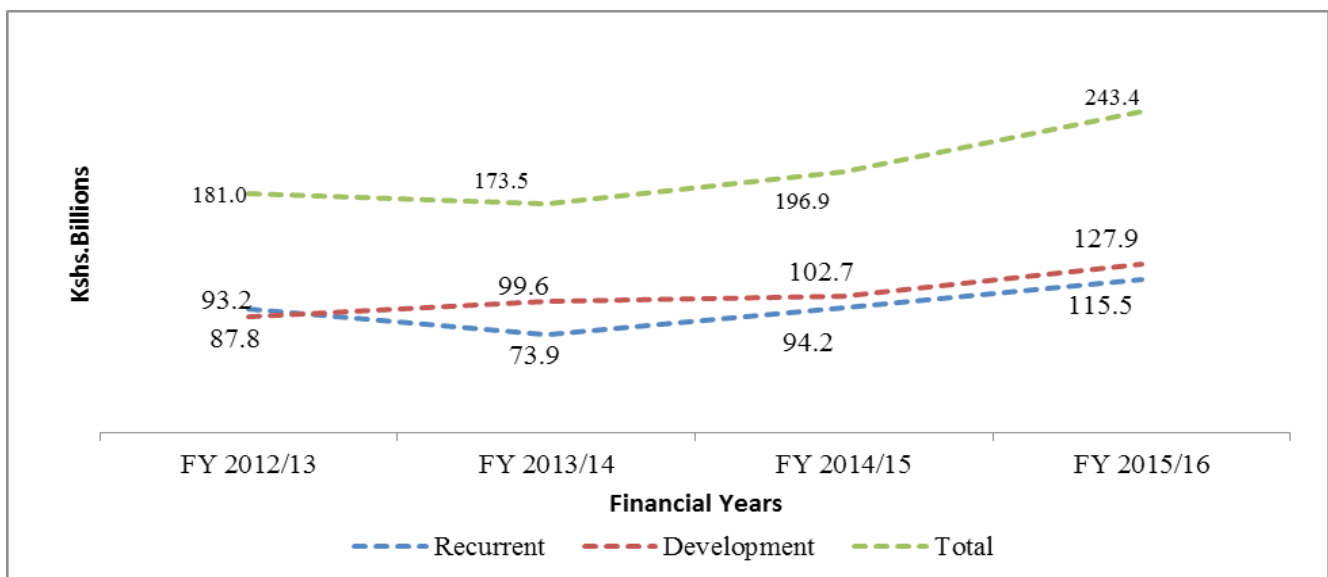
Q1 FY2015/16-Development							Q1 FY2015/16-Recurrent						
Name of the Sub Sector	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	
The Presidency	1.8	1.8	0.2	0.2	11.1	11.1	6.0	5.9	1.8	1.5	30.5	25.0	
State Department for Planning	61.7	60.2	5.0	14.8	8.3	24.0	19.8	19.6	6.3	6.4	32.1	32.3	
State Department for Devolution	9.4	5.3	0.5	0.8	9.4	8.5	2.3	2.3	0.5	0.4	21.7	17.4	
Ministry of Foreign Affairs and International Trade	1.4	1.3	0.1	0.1	7.7	7.1	13.1	12.1	3.2	0.6	26.4	4.6	
The National Treasury	49.8	33.6	1.6	1.0	4.8	2.0	43.2	43.2	3.4	9.3	7.9	21.5	
Parliamentary Service Commission	3.2	3.2	-	-	-	-	8.9	8.9	3.7	0.7	41.6	7.9	
National Assembly	-	-	-	-	-	-	15.2	15.2	-	-	-	-	

Commission on Revenue Allocation	-	-	-	-			0.3	0.3	0.1	0.1	33.3	33.3
Public Service Commission	0.2	0.2	-	0.02	0	10.6	1.1	1.1	0.3	0.3	27.3	27.3
Salaries and Remuneration Commission	-	-	-	-	-	-	0.7	0.7	0.1	0.1	14.3	14.3
Auditor General	0.4	0.4	-	-	-	-	3.7	3.6	0.7	0.6	19.4	16.2
Controller of Budget	-	-	-	-			0.6	0.6	0.1	0.1	16.7	16.7
Commission on Administrative Justice	-	-	-	-			0.5	0.5	0.1	0.1	20.0	20.0
Total	127.9	106.1	7.4	16.8	7.0	13.2	115.5	114.1	20.2	20.0	17.7	17.3
Total for the Sector- Q1 FY2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							127.9	106.1	7.4	16.8	7.0	13.1
Recurrent							115.5	114.1	20.2	20.0	17.7	17.3
Total							243.4	220.1	27.6	37.0	12.6	15.2

Source: MDAs and National Treasury

Figure 5.14 shows the trend in budget allocations in the sector for the FY 2012/13 to FY 2015/16

Figure 5.15: Trends in Budgetary allocation for the PAIR Sector FY 2012/13 - FY 2015/16 (Kshs. Billions)



Source: National Treasury

The State Department for Planning had the highest allocation for development expenditure of Kshs.61.7 billion while the Public Service Commission had the lowest allocation of Kshs.0.2 billion. On recurrent expenditure allocation, The National Treasury had the highest allocation of Kshs.43.2 billion and the Commission on Revenue Allocation (CRA) had the lowest allocation of Kshs.0.3 billion as shown on Table 5.8.

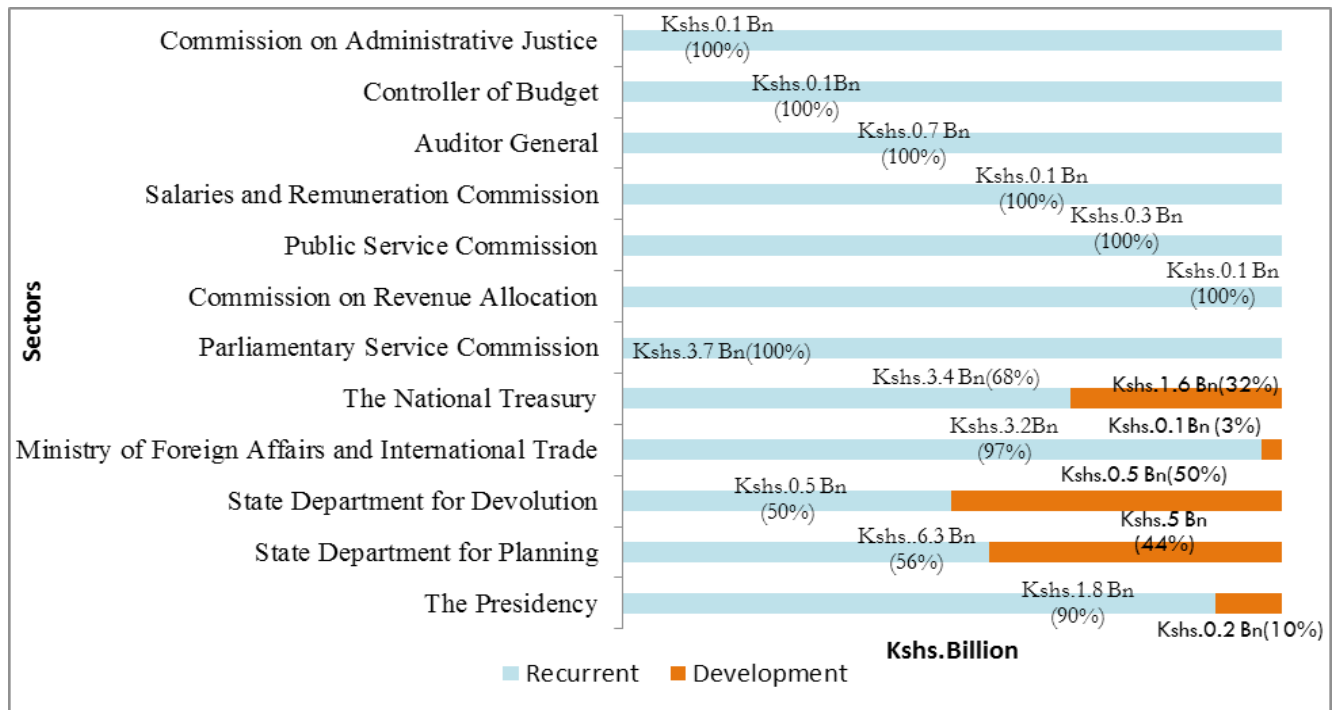
During the first quarter of FY 2015/16, exchequer issues to the PAIR sector amounted to Kshs.27.6 billion which represents 12.5 per cent of the annual net estimates. The development exchequer issues were Kshs.7.4 billion or 7.0 per cent of the annual net development estimates while the recurrent exchequer issues was Kshs.20.2 billion or 17.7 per cent. The Presidency which had the highest proportion of development exchequer issues to annual development net estimates at 11.1 per cent while The National Treasury had the lowest proportion of development exchequer issues at 4.8 per cent. Conversely, The Parliamentary Service Commission recorded the highest proportion of exchequer issues to recurrent net estimates at 41.6 per cent, while The National Treasury had the lowest proportion of recurrent exchequer issues to its annual recurrent net estimates at 7.9 per cent.

The total expenditure for the sector during the first quarter FY 2015/16 was Kshs.37 billion, representing an absorption rate of 15.2 per cent. Development expenditure was Kshs.16.8 billion representing an absorption rate of 13.1 per cent while recurrent expenditure was Kshs.20.0 billion representing 17.3 per cent of the annual recurrent budget.

The State Department for Planning had the highest development expenditure in proportion to the gross estimates at 24.0 per cent while The National Treasury had the lowest development expenditure at 2 per cent. The State Department for Planning reported the highest recurrent expenditure in proportion to the gross estimates at 32.3 per cent while the Ministry of Foreign Affairs and International Trade had the lowest recurrent expenditure in proportion to gross estimates at 4.6 per cent.

Figure 5.15 show exchequer issues to the PAIR Sector in the first quarter, FY 2015/16.

Figure 5.16: PAIR Sector Exchequer Issues – July to September 2015 (Kshs. Billions)



Source: National Treasury

5.9 National Security Sector

This sector comprises of the Ministry of Defence and the National Intelligence Services (NIS). The mandate of this sector is to safeguard the security of the country against any threats emanating both from within and without the borders, defend the country and provide support to civil power in the maintenance of peace and order.

The annual budgetary allocation for the sector in the FY 2015/16 was Kshs.112.4 billion representing 5.0 per cent of the total national budget an increase compared to 97.9 billion allocated in FY 2014/15. The allocation comprised of Kshs.92.3 billion (82.1 per cent) to the Ministry of Defence and Kshs.20.1 billion (17.9 per cent) to the National Intelligence Services (NIS), as presented in table 5.9.

Table 5.9: National Security Sector - Analysis of Exchequer Issues and Expenditure for the Period July to September 2015 (Kshs. Billions)

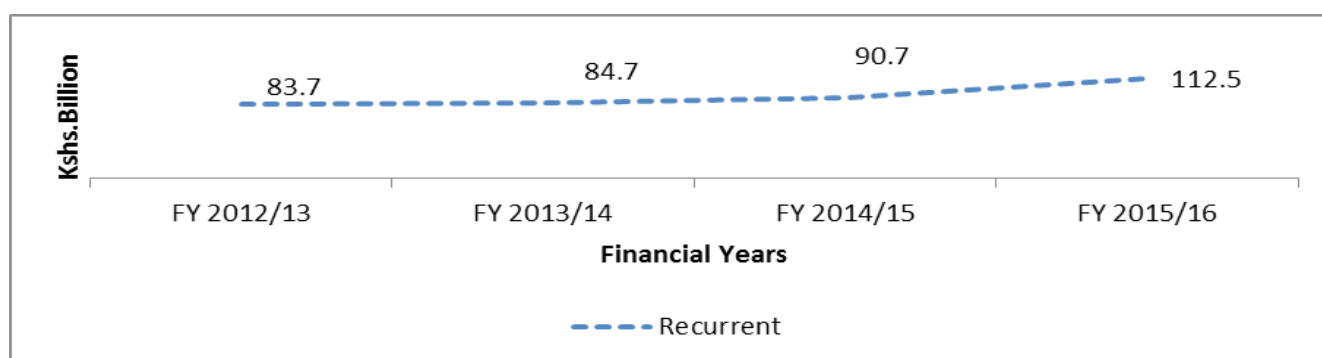
Q1 FY 2015/16 Recurrent						
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to Gross Est
Ministry of Defence	92.3	92.3	13.8	21.0	14.9	22.8
National Intelligence Services	20.1	20.1	3.4	4.2	16.9	20.9
Total	112.5	112.5	17.2	25.2	15.3	22.4

Source: MDAs and National Treasury

During the first quarter of FY 2015/16, the total exchequer issues to the sector amounted to Kshs.17.2 billion, representing 15.3 per cent of the annual net estimates. The recurrent exchequer issues to the Ministry of Defence amounted to Kshs.13.8 billion representing 14.9 per cent of the recurrent net estimates. The National Intelligence Services (NIS) received exchequer issues amounting to Kshs.3.4 billion which translated to 16.9 per cent of the recurrent net estimates.

The total expenditure for the sector during the first quarter FY 2015/16 was Kshs.25.2 billion, representing 22.4 per cent of the annual budget. The expenditure for the Ministry of Defence was Kshs.21.0 billion representing 22.8 per cent and for the NIS was Kshs.4.2 billion, representing 20.9 per cent of respective annual budgets. Table 5.9 presents the National security Sector expenditure analysis.

Figure 5.17: Budgetary Allocation Trend National Security Sector FY 2012/13 – FY 2015/16 (Kshs. Billion)



Source: National Treasury

5.10 Social Protection, Culture and Recreation Sector

This sector comprises of the Ministry of Sports, Culture and Arts, and the Ministry of Labour Social Security and Services. The sector contributes to Kenya's development through promotion of harmonious industrial relations, safety and health at workplaces, employment promotion, industrial training, productivity management, national human resource planning and development, social security and

children welfare and social development.

The annual budgetary allocation for the sector in the FY 2015/16 was Kshs.31.5 billion representing 1.4 per cent of the gross national budget, an increase compared to Kshs.24.1 billion allocated in FY 2014/15. The allocation comprised of Kshs.19.2 billion (61.0 per cent) for development expenditure and Kshs.12.3 billion (39.0 per cent) for recurrent expenditure. The analysis of exchequer issues and expenditure for Social Protection, Culture and Recreation Sector for the period under review is presented in table 5.10.

Table 5.10: Social Protection, Culture and Recreation Sector - Analysis of Exchequer Issues and Expenditure for the Period July to September 2015 (Kshs. Billions)

Q1 FY 2015/16 Development							Q1 FY 2015/16 Recurrent					
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.	Gross Est.	Net Est.	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.
Min. of Sports, Culture and Arts	3.6	3.6	0.1	0.1	2.8	2.8	2.9	2.9	1.2	1.1	41.4	37.9
Min. of Labour Social Security and Services	15.6	15.6	-	1.6	-	10.3	9.3	9.2	2.6	2.2	28.3	23.7
Total	19.2	19.1	0.1	1.7	0.6	8.9	12.3	12.1	3.7	3.3	31.4	27.0
Total for the Sector Q1 FY 2015/16							Gross Est.	Net Est.	Exch. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.
Development							19.2	19.1	0.1	1.7	0.5	8.9
Recurrent							12.3	12.1	3.7	3.3	30.6	26.8
							31.5	31.2	3.8	5.0	12.2	15.9

Source: MDAs and National Treasury

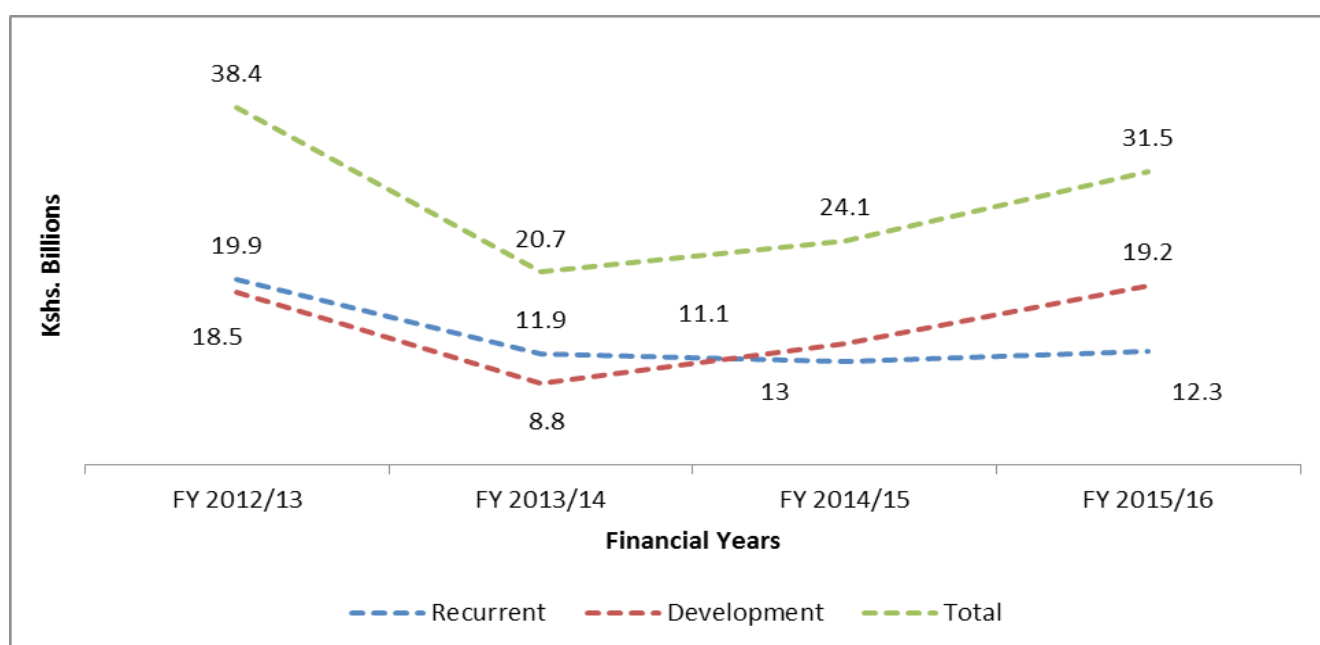
During the first quarter of FY 2015/16, the total exchequer issues to the sector amounted to Kshs.3.8 billion representing 12.2 per cent of the annual net estimates. This comprised of Kshs.0.1 billion for development expenditure, representing 0.5 per cent of the development annual net estimates and Kshs.3.7 billion for recurrent expenditure representing 30.6 per cent of the annual recurrent net estimates.

The Ministry of Sports, Culture and Arts received the highest proportion of development exchequer issues to its annual net development estimates at 2.8 per cent while the Ministry of Labour, Social Security and Services did not receive any exchequer funding for development programmes in the reporting period. From the analysis, the Ministry of Sports, Culture and Arts received the highest proportion of the recurrent exchequer issues at 41.4 per cent of its annual recurrent net estimates and the Ministry of Labour, Social Security and Services received the lowest proportion at 28.3 per cent.

The total expenditure for the sector during the first quarter FY 2015/16 was Kshs.5.0 billion, representing an absorption rate of 15.9 per cent of the gross estimates. Development expenditure amounted to Kshs.1.7 billion, representing an absorption rate of 8.9 per cent of the gross development estimates while the recurrent expenditure was Kshs.3.3 billion, representing 26.8 per cent of the annual recurrent budget.

The Ministry of Labour, Social Security and Services recorded the highest absorption rate of its development budget at 10.3 per cent while the Ministry of Sports, Culture and Arts recorded an absorption rate of 2.8 per cent. Also the Ministry of Sports, Culture and Arts recorded the highest percentage of its recurrent budget at 37.9 per cent while the Ministry of Labour, Social Security and Services recorded 23.7 per cent of its annual recurrent budget.

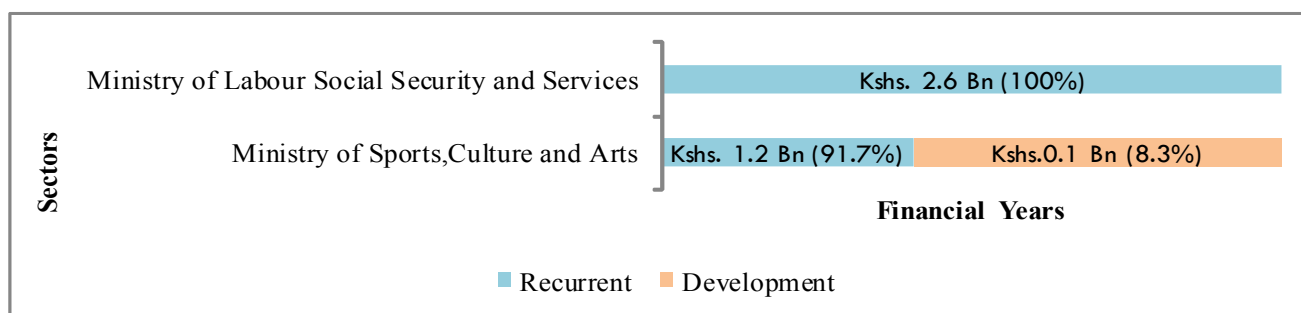
Figure 5.18: Budgetary Allocation Trend Social Protection, Culture and Recreation Sector FY 2012/13 – FY 2015/16 (Kshs. Billion)



Source: National Treasury

A graphical breakdown of the sector's exchequer issues is shown in Figure 5.18.

Figure 5.19: Social Protection, Culture and Recreation Sector Exchequer Issues July - September 2015 (Kshs. Billions)



Source: National Treasury

6 FIRST QUARTER - FY 2015/16 BUDGET PERFORMANCE BY PROGRAMMES

6.1 Introduction

This chapter presents analysis of MDAs budget performance based on programmes to be implemented in the FY 2015/16. The chapter gives detailed information on how funds were allocated to the various programmes within ministries/departments for both recurrent and development expenditure. This section also provides implementation status for the programmes under each MDA and arranged by sector in alphabetical order.

6.2 Agricultural, Rural and Urban Development (AR&UD) Sector

In the FY 2015/16, the AR&UD sector was allocated Kshs.79.7 billion comprising of Kshs.63.0 billion (79.1 per cent) for development activities and Kshs.16.7 billion (20.9 per cent) for recurrent expenditure to fund 14 programmes.

As shown in table 6.1, the Irrigation and Drainage Infrastructure programme under the State Department for Agriculture received the highest budgetary allocation at Kshs.16.5 billion, which accounted for 20.8 per cent of the total budgetary allocation to the sector while the Coastline Infrastructure and Pedestrian Access programme under the Ministry of Land Housing and Urban Development received the lowest allocation at Kshs.0.5 billion, which accounted for 0.6 per cent of the total budgetary allocation for the sector.

Table 6.1: Analysis of AR &UD Sector Programmes, July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est. FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
Ministry of Land Housing and Urban development	Land Policy and Planning	4.6	2.3	6.9	0.9	0.2	1.1	15.9
	Housing Development and Human Settlement	7.2	0.5	7.7	2.7	0.04	2.7	35.0
	Government Buildings	1.4	0.3	1.7	0.5	0.01	0.5	30.0
	Coastline Infrastructure and Pedestrian Access	0.4	0.1	0.5	0.04	0.001	0.04	8.2
	Urban and Metropolitan Development	14.0	0.3	14.3	2.2	0.02	2.2	15.5
	General Administration Planning and Support Services	0.5	0.5	1.0	0.1	0.2	0.3	30.0

State Department for Agriculture	General Administration Planning and Support Services	0.5	1.1	1.6	0.1	0.2	0.3	18.5
	Crop Development and Management	6.6	6.2	12.8	0.4	0.8	1.2	9.4
	Agribusiness and Information Management	3.4	0.2	3.6	1.3	0.0	1.3	36.1
	Irrigation and Drainage Infrastructure	15.7	0.8	16.5	2.5	0.1	2.6	15.8
State Department for Livestock	Livestock Resources Management and Development	5.2	1.9	7.1	0.8	0.2	1.0	14.1
State Department for Fisheries	Livestock Resources Management and Development	3.1	1.4	4.5	0.03	0.4	0.4	9.6
National Land commission	Fisheries Development and Management	0.4	1.1	1.5	0.1	0.2	0.3	20.0
Total		63.0	16.7	79.7	11.5	2.4	14.0	17.6

Source: MDAs and National Treasury

The total expenditure for the sector during the period July to September 2015 was Kshs.14.0 billion equivalent to an absorption rate of 17.6 per cent. It comprised of Kshs.11.5 billion for development expenditure, accounting for an absorption rate of 18.3 per cent of the annual budget estimates for development programmes and Kshs.2.4 billion on recurrent expenditure, representing 14.4 per cent of its annual recurrent budget.

Analysis of the programme performance shows that the Agribusiness and Information Management programme under the State Department for Agriculture recorded the highest proportion of programme expenditure to its annual budget estimates at 36.1 per cent while the Coastline Infrastructure and Pedestrian Access programme under the Ministry of Land, Housing and Urban Development had the lowest proportion of programme expenditure at 8.2 per cent.

6.3 Education Sector

The Education sector was allocated Kshs.336.3 billion comprising of Kshs.36.7 billion (10.9 per cent) for development programmes and Kshs.299.6 billion (89.1 per cent) for recurrent programmes for the FY 2015/16 to fund 12 programmes, as shown in table 6.2.

Table 6.2: Analysis of Education Sector Programmes, July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
State Department for Education	Primary Education	18.9	16.9	35.8	0.1	4.0	4.1	11.5
	Secondary Education	1.3	33.2	34.5	0.2	8.2	8.4	24.3
	Quality Assurance and Standards	0.9	4.8	5.7	0.4	0.8	1.2	21.1
	General Administration, Planning and Support Services	1.3	4.0	5.4	0.01	0.5	0.5	9.3
State Department for Science and Technology	University Education	8.0	54.5	62.5	2.3	10.6	12.9	20.6
	Technical Vocational Education and Training	5.6	2.5	8.1	0.8	0.6	1.4	17.1
	Research, Science, Technology and Innovation	0.4	1.0	1.4	-	0.1	0.1	7.1
	General Administration, Planning and Support Services	-	1.4	1.4	-	0.05	0.1	3.6
Teachers Service Commission	Teacher Resource Management	-	174.3	174.3	-	30.4	30.4	17.4
	Governance and Standards	-	0.2	0.2	-	0.001	0.001	0.5
	General Administration, Planning and Support Services	0.2	6.7	6.9	-	0.8	0.8	11.6
Total		36.6	299.5	336.1	3.8	56.1	59.9	17.8

Source: MDAs and National Treasury

The Teacher Resource Management programme under the Teacher Service Commission received the highest budgetary allocation at Kshs.174.3 billion (51.9 per cent of the total budget allocation for the sector) while its' Governance and Standards Programme received the lowest allocation at Kshs.0.2 Billion (0.1 per cent of the total budget allocation for the sector).

Total expenditure for the sector in the first quarter of FY 2015/16 amounted to Kshs.59.9 billion comprising of development expenditure of Kshs.3.8 billion, representing an absorption rate of 10.4 per cent of the annual development budget estimates and Kshs.56.1 billion on recurrent expenditure, representing 18.7 per cent of its annual recurrent budget.

Analysis of the programme performance shows that the Secondary Education programme under the State Department for Education recorded the highest proportion of programme expenditure to its annual budget estimates for the programme at 24.3 per cent while the Governance and Standards Programme under TSC had the lowest proportion of expenditure at 0.5 per cent.

6.4 The Energy, Infrastructure and Information Communications Technology(EI & ICT) Sector

In FY 2015/16, the EI & ICT sector was allocated Kshs.405.0 billion to implement 16 programmes. The allocation comprised of Kshs.363.9 billion (89.9 per cent) for development expenditure and Kshs.40.9 billion (10.1 per cent) as recurrent expenditure allocation as presented in table 6.3.

Table 6.3: Analysis of EI & ICT Sector Programmes, July to September 2015 (Kshs.Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
State Department of Transport	General Administration, Planning and Support Services	0.4	0.3	0.7	0.0	0.1	0.1	14.3
	Rail Transport	147.0	-	147.0	3.3	-	3.3	2.2
	Marine Transport	8.2	0.6	8.8	-	0.1	0.1	1.1
	Air Transport	2.6	4.4	7.0	0.04	0.1	0.1	1.4
	Government Clearing Services	0.06	0.1	0.1	-	0.0	0.001	1.0
	Road Safety	0.3	0.5	0.8	0.2	0.1	0.3	37.5
State Department of Infrastructure	Road Transport	104.0	30.0	134.0	21.8	5.0	26.8	20.0
Ministry of Information, communication and Technology	General Administration Planning and Support Services	0.6	1.0	1.6	0.1	0.1	0.3	18.5
	Information And Communication Services	1.7	1.8	3.5	0.1	0.2	0.4	11.4
	Mass Media Skills Development	0.1	0.2	0.4	0.0	0.1	0.1	25.0
	ICT Infrastructure Development	6.5	0.1	6.6	1.4	0.0	1.5	22.7
Ministry of energy and Petroleum	General Administration Planning and Support Services	0.3	0.3	0.6	0.01	0.03	0.04	5.0
	Power Generation	27.3	0.7	28.1	0.5	0.1	0.6	2.1
	Power Transmission and Distribution	62.0	0.8	62.9	3.2	0.2	3.4	5.4
	Alternative Energy Technologies	0.8	0.1	0.9	0.0	0.009	0.02	2.2
	Exploration and Distribution of Oil and Gas	2.0	0.02	2.0	0.1	0.0003	0.1	5.0
Total		363.9	40.9	405.0	30.8	6.1	37.1	9.2

Source: MDAs and National Treasury

The Rail Transport programme had the highest allocation of Kshs.147.0 billion (36.3 per cent of the total budget allocation for the sector) while the Government Clearing Services programmes, had the lowest allocation of Kshs.64.1 million (0.02 per cent of the total budget allocation for the sector) .

In the first quarter of FY 2015/16, the total expenditure for sector programmes amounted to Kshs.37.1 billion, translating to absorption rate of 9.2 per cent of the budgetary allocation. This expenditure comprised of Kshs.30.8 billion spent on development activities, representing an absorption rate of 5 per cent of the total development budget for the programmes and Kshs.6.1 billion on recurrent activities, which was 5.0 per cent of the annual recurrent budget.

The Road safety programme had the highest absorption rate at 37.5 per cent of the total annual budget for the programmes, on the other hand the Air Transport programmes had the lowest absorption rate of 1.5 per cent respectively.

Table 6.3 shows a summary of allocation and expenditure by programme under the sector for the period under review.

6.5 Environment Protection, Water and Natural Resources Sector

In the FY 2015/16, the budgetary allocation to the sector was Kshs.63.0 billion for implementing 10 programmes as shown in table 6.4. This comprised of Kshs.45.2 billion (71.8 per cent) for development programmes and Kshs.17.8 billion (28.2 per cent) for recurrent expenditure, as reflected in table 6.4.

Table 6.4: Analysis of Environmental Protection, Water and Natural Resources Sector, July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est. FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
State Department for Environment and Natural Resources	General Administration, Planning and Support Services	0.03	0.6	0.6	(0.002)	0.2	0.2	33.3
	Environment and Natural Resources Management and protection	7.2	11.1	18.4	0.3	1.3	1.6	8.7
	Meteorological Services	1.0	1.1	2.1	-	0.2	0.2	9.5
State Department for Water and Regional Services	General Administration , Planning and Support Services	0.2	0.7	0.8	-	0.1	0.1	12.5
	Water Resources Management	31.9	3.0	34.9	1.6	0.3	1.9	5.4
	Integrated Regional Development	3.4	0.6	4.0	0.7	0.3	0.9	22.5
Ministry of Mining	General Administration Planning and Support Services	0.1	0.3	0.4	0.001	0.02	0.02	5.0
	Resources Surveys and Remote Sensing	0.7	0.2	0.9	(0.0001)	0.01	0.01	1.1
	Mineral Resources Management	0.7	0.2	0.9	0.004	0.005	0.01	1.1
Total		45.2	17.8	63.0	2.6	2.4	4.9	7.8

Source: The National Treasury and MDAs

The Water Resources Management programme under the State Department for Water and Regional Services received the highest budgetary allocation at Kshs.34.9 billion (55.4 per cent of the total budget allocation for the sector) while the General Administration, Planning and Support Services programme under the Ministry of Mining received the lowest budgetary allocation at Kshs.414.6 million (0.6 per cent of the total budget allocation for the sector).

The total expenditure for the sector in the first quarter of FY 2015/16, amounted to Kshs.4.9 billion comprising of development expenditure of Kshs.2.6 billion, representing an absorption rate of 5.8 per cent of the annual development budget and Kshs.2.4 billion on recurrent expenditure, representing 13.7 per cent of the annual recurrent budget.

The General Administration Planning and Support Services programme under the State Department for Environment and Natural Resources recorded the highest proportion of programme expenditure to its total annual budget for the programmes at 33.3 per cent while the Resources Surveys and Remote Sensing programme and Mineral Resource Management under the Ministry of Mining recorded the lowest proportion at 1.1 per cent.

6.6 General Economic and Commercial Affairs (GECA) Sector

In the FY 2015/16, the sector was allocated Kshs.21.3 billion for implementing 9 programmes as shown on table 6.5. This allocation comprised of Kshs.14.2 billion (66.5 per cent) for development programmes and Kshs.7.1 billion (33.5 per cent) for recurrent programmes. The Tourism Development and Promotion programme under the State Department for Commerce and Tourism received the highest budget allocation at Kshs.8.6 billion (40.4 per cent of the total budget allocation for the sector) while the Cooperative Development and Management programme under the Ministry of Industrialization and Enterprise Development received the lowest allocation at Kshs.267.1 million (1.3 per cent of the total budget allocation for the sector).

The analysis of the GECA sector programmes' expenditures for the period under review is presented in table 6.5.

Table 6.5: Analysis of the GECA Sector Programmes July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est. FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
Ministry of Industrialization and Enterprise Development	General Administration Planning and Support Services	0.03	0.5	0.6	0.002	0.1	0.1	16.7
	Industrial Development and Investments	4.1	0.7	4.8	1.9	0.1	2.1	43.8
	Standards and Business Incubation	2.1	1.1	3.3	0.5	0.6	1.1	33.3
	Cooperative Development and Management	0.04	0.2	0.3	0.01	0.1	0.1	33.3
State Department for East African Affairs	East African Affairs and Regional Integration	0.1	1.7	1.8	-	0.5	0.5	27.8
State Department for Commerce and Tourism	Tourism Development and Promotion	7.3	1.3	8.6	2.6	0.5	3.1	36.0
	Trade Development and Promotion	0.4	1.0	1.4	0.04	0.4	0.4	28.6
	General Administration, Planning and Support Services	0.1	0.6	0.7	0.004	0.1	0.1	14.3
Total		14.2	7.1	21.3	5.1	2.4	7.5	34.9

Source: MDAs and National Treasury

The total expenditure for the sector programmes in the first quarter of FY 2015/16, amounted to Kshs.7.5 billion, which translated to an absorption rate of 35.2 per cent. This expenditure comprised of Kshs.5.1 billion spent on development programmes, achieving an absorption rate of 35.9 per cent of the total development budget and Kshs.2.4 billion on recurrent programmes which translated to 33.8 per cent of the total annual recurrent budget.

The Industrial Development and Investments programme both under the Ministry of Industrialization recorded the highest absorption rate of 43.8 per cent while the General Administration, planning and support Services programme under the State Department for Commerce and Tourism recorded the least absorption rate at 14.3 per cent of the total annual budget for the programme.

6.7 Governance, Justice, Law and Order (GJLOS) Sector

The GJLOS sector was allocated Kshs.154.0 billion in the FY 2015/16 to implement 22 programmes. The allocation comprised of Kshs.20.6 billion (13.4 per cent) as development expenditure allocation and Kshs.133.5 billion (86.6 per cent) for recurrent activities, as shown in table 6.6

Table 6.6: Analysis of GJLOs Sector Programmes July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est. FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
State Department for Interior	Policing services	11.9	69.8	81.7	0.1	7.4	7.5	9.2
	Planning, policy Coordination and Support Services	0.6	13.1	13.7	-	1.8	1.8	13.1
	Government Printing Services	0.1	0.7	0.9	0.0	0.1	0.1	11.1
	Population Management Services	1.7	4.4	6.0	0.3	0.7	1.0	16.7
State Department for Coordination of National Government	Correctional services	1.0	16.8	17.7	0.0	1.5	1.53	8.6
	General Administration, Planning and Support Services	0.02	0.1	0.2	-	0.02	0.02	10.0
	Betting Control, Licencing and regulation Services	0.004	0.1	0.1	-	0.01	0.01	10.0
Office of the Attorney General and Department of Justice	Legal Services	0.04	1.6	1.6	(0.0005)	0.1	0.1	6.3
	Governance, Legal Training And Constitutional Affairs	0.2	1.8	2.0	0.1	0.3	0.4	20.0
	General Administration, Planning and Support Services	0.4	0.7	1.1	-	0.1	0.1	9.1
The Judiciary	Dispensation of Justice	4.1	12.6	16.7	0.2	2.1	2.3	13.8
Ethics and Anti-Corruption Commission	Ethics and Anti-Corruption	0.3	2.3	2.6	-	0.4	0.4	15.4
Office of Director of Public Prosecutions	Public Prosecution Services	0.3	2.0	2.2	(0.005)	0.3	0.3	13.6
Commissions for the Implementation of the Constitution	Implementation of the Constitution	-	0.3	0.3	-	0.1	0.1	33.3
Office of the Registrar of Political Parties	Registration, Regulation and Funding of Political Parties	-	0.5	0.5	-	0.2	0.2	40.0
Witness Protection Authority	Witness Protection	-	0.4	0.4	-	0.1	0.1	25.0
Kenya National Commission of Human Rights	Protection and Promotion of Human Rights	-	0.5	0.5	-	0.1	0.1	20.0
Independent Electoral and Boundaries Commission	Management of Electoral Processes	0.1	4.2	4.3	-	0.7	0.7	16.3
Judicial Service Commission	Dispensation of Justice	-	0.5	0.5	-	0.04	0.04	8.6
National Police Service Commission	National Police Service Human Resource Management	-	0.4	0.4	-	0.1	0.1	25.0
National Gender and Equality Commission	Promotion of Gender Equality and Freedom from Discrimination	-	0.3	0.3	-	0.03	0.03	10.0
Independent Police Oversight Authority	Policing Oversight Services	-	0.4	0.4	-	0.1	0.1	25.0
Total		20.6	133.5	154.0	0.6	16.2	16.8	11.1

Source: MDAs and National Treasury

The Policing Services programme under the State Department for Interior received the highest allocation at Kshs.81.7 billion which accounted for 53.1 per cent of the total annual budget for the sector while the Betting Control, Licencing and regulation Services programme under the State Department for Coordination of National Government received the lowest allocation at Kshs.0.1 billion translating to 0.06 per cent.

The total expenditure for the sector in the first quarter of FY 2015/16 amounted to Kshs.16.8 billion comprising of development expenditure of Kshs.0.6 billion million, representing an absorption rate of 3.0 per cent of the development budget, and Kshs.16.2 billion on recurrent expenditure, representing 12.1 per cent of the total annual recurrent budget.

Further analysis of the programme performance shows that the Registration, Regulation and Funding of Political Parties programme expenditure by the Office of the Registrar of Political Parties recorded the highest proportion of programme to its annual budget at 40.0 per cent while the Legal Services under Office of the Attorney General and Department of Justice spent had the lowest proportion of programme expenditure at 6.3 per cent. Table 6.6 shows an analysis of the GJLOs Sector Programmes during the period under review.

6.8 Health Sector

The Health sector was allocated Kshs.59.2 billion to fund 5 programmes in the FY 2015/16. The allocation comprised of Kshs.30.7 billion (51.9 per cent) for development programmes and Kshs.28.5 billion (48.2 per cent) for recurrent programmes. The analysis of estimates and expenditure for the health sector are presented in table 6.7.

Table 6.7: Analysis of Health Sector Programmes July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est. FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
Ministry of Health	Preventive & Promotive Health Services	5.9	1.3	7.1	0.03	0.2	0.2	2.8
	Curative Health Services	7.2	16.3	23.5	1.8	4.1	5.8	24.7
	Health Research and Development	0.3	5.2	5.5	0.1	1.5	1.6	29.1
	General Administration, Planning & Support Services	9.5	5.7	15.1	0.01	0.4	0.4	2.6
	Maternal and Child Health	7.9	0.03	8.0	2.2	0.01	2.2	27.5
Total		30.7	28.5	59.2	4.2	6.1	10.3	17.2

Source: MDAs and National Treasury

The Curative Health Services programme received the highest allocation at Kshs.23.5 billion (39.7 per cent of the total annual allocation for the sector) while the Health Research and Development programme had the lowest allocation at Kshs.5.5 billion (9.3 per cent of the sector's total annual allocation).

The total expenditure for the sector in the first quarter of FY 2015/16 amounted to Kshs.10.3 billion comprising of Kshs.4.2 billion as development expenditure equivalent to an absorption rate of 13.7 per

cent of sectors' development budget and Kshs.6.1 billion on recurrent expenditure, representing 21.4 per cent of the total annual recurrent budget.

Analysis of the programme performance shows that the Health Research and Development programme recorded the highest proportion of programme expenditure to its total annual budget at 29.1 per cent, followed by the Maternal and Child Health at 27.5 per cent, while the General Administration, Planning and Support Services had the lowest proportion at 2.7 per cent. .

6.9 Public Administration and International Relations (PAIR) Sector

The Public Administration and International Relations (PAIR) sector was allocated Kshs.243.9 billion in the FY 2015/16 to implement 31 programmes. This allocation comprised of Kshs.128.3 billion (52.6 per cent) for development programmes and Kshs.115.6 billion (47.4 per cent) for recurrent activities. The analysis of expenditures in the PAIR sector for the period under review is presented in table 6.8.

Table 6.8: Analysis of PAIR Sector Programmes July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY	Rec. Est. FY	Total Gross Est. FY	Dev. Exp Q1	Rec. Exp Q1	Total Exp Q1	Programme Absorption Rate (%)
The Presidency	Cabinet Affairs	1.2	1.3	2.5	0.005	0.3	0.305	12.2
	Government Advisory Services	-	0.5	0.5	-	0.1	0.1	20.0
	State House Affairs	0.5	2.5	3.0	0.2	0.8	1.0	33.3
	Deputy President Services	0.2	1.8	2.0	0.02	0.3	0.32	16.0
State Department for Planning	Economic Policy and National Planning	39.6	1.1	40.7	9.2	0.4	9.6	23.6
	National Statistical Information Services	1.5	1.8	3.3	0.7	0.9	1.6	48.5
	Monitoring and Evaluation Services	0.2	0.04	0.24	0.04	0.004	0.044	18.3
	General Administration Planning and Support Services	0.1	0.7	0.8	0.05	0.1	0.2	25.0
	Public Service Transformation	0.6	7.7	8.3	0.2	4.1	4.3	51.8
	Gender & Youth Empowerment	19.8	8.4	28.2	4.8	0.9	5.7	20.2

State Department for Devolution	Devolution Services	-	0.9	0.9	-	0.2	0.2	22.2
	Special Initiatives	3.1	0.6	3.7	0.003	0.03	0.033	0.9
	General Administration, Planning and Support Services	-	0.3	0.3	-	0.03	0.03	10.0
	Accelerated ASAL Development	6.3	0.6	6.9	0.8	0.1	0.9	13.0
Ministry of Foreign affairs and International Trade	General Administration Planning and Support Services	0.7	3.5	4.2	0.1	-	0.1	2.4
	Foreign Relation and Diplomacy	0.7	9.0	9.7	0.1	-	0.1	1.0
	International Trade and Investments Promotion	-	0.7	0.7	-	-	-	-
The National Treasury	General Administration Planning and Support Services	4.7	37.6	42.3	0.1	8.7	8.8	20.8
	Public Financial Management	43.2	4.1	47.3	0.7	0.4	1.1	2.3
	Economic and Financial Policy Formulation and Management	1.9	1.2	3.1	0.1	0.1	0.2	6.5
	Market Competition	0.1	0.3	0.4	0.03	0.1	0.13	32.5
Parliamentary Service Commission	National Legislation, Representation and Oversight	-	0.4	0.4	-	-	-	-
	Senate Affairs	0.4	3.5	3.9	-	-	-	-
	General Administration, Planning and Support Services	2.9	5.0	7.9	-	-	-	-
National Assembly	National Legislation, Representation and Oversight	-	15.2	15.2	-	-	-	-
Commission on Revenue Allocation	Inter-Governmental Revenue and Financial Matters	-	0.3	0.3	-	0.1	0.1	33.3
Public Service Commission	General Administration, Planning and Support Services	0.2	0.8	1.0	0.02	0.2	0.22	22.0
	Human Resource management and Development	-	0.2	0.2	-	0.1	0.1	50.0
	Governance and National Values	-	0.1	0.1	-	0.03	0.03	30.0

Salaries and Remuneration Commission	Salaries and Remuneration Management	-	0.7	0.7	-	0.1	0.1	14.3
Auditor General	Audit Services	0.4	3.7	4.1	-	0.6	0.6	14.6
Controller of Budget	Control and Management of Public finances	-	0.6	0.6	-	0.1	0.1	16.7
Commission on Administrative Justice	Promotion of Administrative Justice	-	0.5	0.5	-	0.1	0.1	20.0
Total		127.9	115.5	243.9	17.2	18.9	36.1	14.8

Source: MDAs and National Treasury

The Public Financial Management programme under the National Treasury received the highest allocation at Kshs.47.3 billion which was 19.4 per cent of the sectors' annual allocation while the Governance and National Values programme under the Public Service Commission received the lowest allocation at Kshs.0.1 billion, translating to 0.04 per cent.

The total expenditure for the sector in the first quarter of FY 2015/16 amounted to Kshs.36.1 billion comprising of Kshs.17.2 billion spent as development expenditure, representing an absorption rate of 13.4 per cent of the sectors development budget and Kshs.18.9 billion on recurrent expenditure, which represented 16.3 per cent of the total annual recurrent budget.

Further analysis of the programme performance shows that the Public Service Transformation programme under the State Department for Planning recorded the highest proportion of programme expenditure to its total annual budget for the programme at 51.8 per cent while Special Initiatives programmes under the State Department for Devolution recorded the lowest proportion at 0.9 per cent.

6.10 National Security Sector

The National Security sector was allocated Kshs.112.54 billion to fund 4 programmes during the FY 2015/16. This allocation comprised of Kshs.0.04 billion (0.04 per cent) for development expenditure and Kshs.112.5 billion (99.96 per cent) for recurrent expenditure, as shown in table 6.9.

Table 6.9: National Security Sector Programmes July to September 2015 (Kshs. Billions)

VOTE	Programme	Dev. Est.	Rec. Est.	Total Gross Est.	Dev. Exp	Rec. Exp	Total Exp	Programme Absorption Rate (%)
Ministry of Defence	Defence	0.04	90.3	90.3	-	20.8	20.8	23.1
	Civil Aid	-	0.5	0.5	-	-	-	-
	General Administration, Planning and Support Services	-	1.6	1.6	-	0.2	0.2	12.7
National Intelligence Service	National Security Intelligence	-	20.1	20.1	-	4.2	4.2	20.7
Total		0.04	112.5	112.5	-	25.2	25.2	22.4

Source: MDAs and National Treasury

The Defence programme and the Civil Aid programme both under the Ministry of Defence received the highest and lowest allocation at Kshs.90.3 billion (80.2 per cent of the total allocation for the sector) and Kshs.0.5 billion (0.4 per cent of the total allocation for the sector) respectively.

The total expenditure for the sector in the first quarter of FY 2015/16 was for recurrent expenditure only and amounted to Kshs.25.2 billion, representing 22.4 per cent of the total annual budget for the sector. Further analysis of programme performance showed that the Defence programme under the Ministry of Defence spent a total of Kshs.20.8 billion representing the highest proportion of programme expenditure to its annual budget at 23.0 per cent.

6.11 Social Protection, Culture and Recreation Sector

The Social Protection, Culture and Recreation sector was allocated Kshs.31.5 billion to fund 10 programmes in the FY 2015/16. The allocation comprised of Kshs.19.2 billion (61.0 per cent) for development expenditure and Kshs.12.3 billion (39.0 per cent) for recurrent expenditure. The analysis of expenditures for the Social Protection, Culture and Recreation Sector for the period under review is presented in table 6.10

Table 6.10: Analysis of Social Protection, Culture and Recreation Sector Programme, --July-- September 2015 (Kshs. Billions)

Name of Sub-Sector	Programme	Dev. Est.	Rec. Est.	Total Gross Est.	Dev. Exp.	Rec. Exp.	Total Exp.	Programme Absorption Rate (%)
Ministry of Sports, Culture and Arts	Sports	2.6	0.7	3.3	0.1	0.5	0.6	18.2
	Culture	0.2	0.9	1.1	0.02	0.2	0.22	20.0
	The Arts	0.2	0.4	0.6	0.03	0.1	0.1	21.7
	Library Services	0.6	0.6	1.2	-	0.2	0.2	16.7
	General Administration, Planning and Support Services	0.02	0.3	0.32	0.0	0.1	0.1	31.3
Ministry of Labour Social Security and Services	Promotion of the Best Labour Practice	0.3	0.4	0.7	0.01	0.04	0.05	7.1
	Manpower Development, Employment and Productivity Management	0.4	0.6	1.0	0.1	0.2	0.3	30.0
	Social Development and Children Services	0.9	2.7	3.6	0.3	0.5	0.8	22.2
	National Social Safety Net	14.0	5.1	19.1	1.2	1.5	2.7	14.1
	General Administration Planning and Support Services	0.00	0.6	0.6	-	0.1	0.1	16.7
Total		19.2	12.3	31.5	1.8	3.4	5.2	16.5

Source: MDAs and National Treasury

The National Social Safety Net programme under the Ministry of Labour, Social Security and Services received the highest budget allocation at Kshs.19.1 billion (60.6 per cent of the total annual budget allocation for the sector) while the General Administration, Planning and Support Services programme under the Ministry of Sports, Culture and Arts received the lowest allocation at Kshs.0.32 billion (1.0 per cent of the total annual budget allocation to the sector).

Total expenditure for the sector in the first quarter of FY 2015/16 amounted to Kshs.5.2 billion comprising of Kshs.1.8 billion spent on development programmes representing an absorption rate of 9.4 per cent of the sectors development budget and Kshs.3.4 billion on recurrent expenditure, which represented 27.6 per cent of the total annual recurrent budget.

Further analysis of the programme performance showed that the General Administration, Planning and Support Services programme under the Ministry of Sports, Culture and Arts recorded the highest proportion of programme expenditure to its total annual budget at 31.3 per cent while the Promotion of the Best Practice programme under the Ministry of Labour Social Security and Services had the lowest proportion of programme expenditure to its total annual budget at 7.1 per cent.

7 KEY ISSUES AND RECOMMENDATIONS

7.1 Introduction

Budget implementation during the first quarter of FY 2015/16 was faced by various challenges. This chapter highlights the key issues that negatively affected budget implementation during the period. Recommendations aimed at addressing the issues and ultimately improving budget implementation by the MDAs in the future are also presented in this chapter.

7.2 Issues and Recommendations

7.2.1 Low Revenue Receipts by National Treasury

Article 12(1)(d) of the Constitution bestows the National Treasury with the responsibility of mobilizing resources for financing budgetary requirements of the national and county governments. This is achieved through local revenue collection by KRA, borrowing from both domestic and external sources, and grants from development partners among others.

During the first quarter FY 2015/16, the total revenue received by the National Treasury was Kshs.316.4 billion and was 17.5 per cent of the annual revenue target. Total revenue declined by 13.6 per cent compared to a similar period of FY 2014/15 where Kshs.366.3 billion was realized. This shortfall in revenue has adversely affected budget implementation by both the national and county governments.

In order to overcome this challenge, the National Treasury should come up with strategies to enhance revenue mobilization. The National Treasury should also consider rationalizing non-core expenditure.

7.2.2 Delay in release of funds by the National Treasury

In the first quarter of FY 2015/16, the National Treasury released a total of Kshs.310.3 billion to the MDAs, CFS and to County Governments. This was 17.1 per cent of the annual net estimates which is below the projected exchequer issues by the end of first quarter of 25 per cent or Kshs.453.0 billion.

In order to enhance effective budget implementation, the National Treasury should release funds on a timely basis in line with MDAs' cash flow projections and procurement plans. This will guarantee implementation of the planned activities.

7.2.3 Non-disclosure of A-I-A in the IFMIS generated reports

Article 12(1)(e) of the Constitution requires the National Treasury to design and prescribe an efficient financial management system for the national and county governments to ensure transparent financial management and standard financial reporting. The National Treasury has prescribed IFMIS for use by all national government entities and the counties.

The IFMIS adequately captures transfers to the MDAs and expenditure. However, it does not capture

A-I-A generated by the MDAs. Therefore, financial reports generated from the system may be incomplete and could lead to MDAs reporting higher expenditure than the released exchequer issues.

It is recommended that the National Treasury should modify IFMIS to ensure that A-I-A generated by MDAs is captured and disclosed in the IFMS reports. This will ensure completeness of the financial reports.

7.2.4 Tracking Expenditure on Capital Transfers.

There are several SAGAs that are financed by capital transfers from parent ministries. The transfers are treated as expenditure by the ministries when transferred. This accounting treatment is likely to result in overstatement of expenditure by the ministries since transferred amounts are programmed and spent by the SAGAs over the year.

It is recommended that the Public Sector Accounting Standards Board (PSASB) should review this matter and develop guidelines in line with international best practice. This will ensure that capital transfers to SAGAs are appropriately captured in the accounting records.

8 CONCLUSION

This report sought to provide an analysis of budget performance by MDAs during the first quarter of FY 2015/16 as required by Article 228(6) of the Constitution of Kenya, 2010. The report reveals mixed performance by the various spending entities. The MDAs' total recurrent expenditure was Kshs.278.8 billion or 22.7 per cent of the annual recurrent budget estimates, while development expenditure was Kshs.76.9 billion representing an absorption rate of 10.7 per cent. Revenue performance was 17.5 per cent of the annual revenue target of Kshs.1,811.9 billion. There is need to enhance fast implementation of the budget in order to achieve the budget objectives by the end of financial year.

The report has identified challenges that affected budget implementation during the period under review. These challenges require immediate attention by the responsible institutions to curtail the slow trend on revenue and expenditure performance. The National Treasury should explore strategies to improve revenue mobilisation. This will, in turn, improve cash flow and enable timely release of funds to the MDAs and County Governments. The MDAs should ensure full disclosure of A-I-A for complete reporting, accountability and transparency in public finance management.

While the office applauds the adoption of IFMIS by most MDAs, the office has noted that funds transferred to the SAGAs are treated as Capital Transfers and expensed. The Public Sector Accounting Standard Board should review this issue and develop guidelines based on international best practice on the accounting treatment of capital transfers. Finally, all stakeholders are called upon to continue engaging the Government on budget implementation.

ANNEXES

ANNEX I: MDAs Recurrent Expenditure-July to September 2015 (Kshs.)

MINISTRY/STATE DEPARTMENT	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To Revised G.Est.
The Presidency	5,950,557,884	5,941,525,810	1,782,000,000	1,496,025,045	30%	25%
State Department for Interior	88,028,155,075	87,662,133,802	13,420,000,000	9,979,868,928	15%	11%
State Department for Coordination of National Government	16,967,134,466	16,967,134,466	4,225,000,000	1,529,148,908	25%	9%
State Department for Planning	19,791,617,000	19,600,767,000	6,282,000,000	6,418,993,020	32%	32%
State Department for Devolution	2,300,785,390	2,298,785,390	484,000,000	425,249,475	21%	18%
Ministry of Defence	92,329,042,100	92,329,042,100	13,795,000,000	21,041,761,351	15%	23%
Ministry of Foreign Affairs and International Trade	13,135,860,904	12,067,065,466	3,191,000,000	571,217,891	26%	4%
State Department for Education	59,032,526,360	56,923,926,360	2,581,000,000	13,515,532,246	5%	23%
State Department for Higher Education, Science and Technology	59,352,429,183	42,669,829,183	8,883,000,000	11,366,186,183	21%	19%
The National Treasury	43,216,461,912	43,216,461,912	3,370,000,000	9,298,706,588	8%	22%
Ministry of Health	28,519,512,989	24,541,636,512	4,747,000,000	6,123,253,910	19%	21%
State Department for Infrastructure	29,953,406,056	1,738,426,310	280,000,000	5,015,066,681	16%	17%
State Department for Transport	5,798,949,317	1,421,462,190	302,000,000	358,613,127	21%	6%
State Department for Environment & Natural Resources	12,783,268,374	6,565,747,374	1,703,000,000	1,693,823,037	26%	13%
State Department for Water & Regional Authorities	4,259,961,781	2,122,203,542	775,000,000	750,455,068	37%	18%
Ministry of Land Housing, and Urban Development	3,939,546,142	3,926,131,392	696,000,000	463,236,923	18%	12%
Ministry of Information & Communication and Technology	3,045,532,300	2,949,532,300	540,000,000	488,620,118	18%	16%

Ministry of Sports Culture and Arts	2,947,339,278	2,936,339,278	1,153,100,000	1,136,680,785	39%	39%
Ministry of Labour Social Security and Services	9,314,546,470	9,158,881,990	2,587,000,000	2,199,781,143	28%	24%
Ministry of Energy and Petroleum	2,049,068,130	1,793,068,130	390,000,000	351,483,512	22%	17%
State Department for Agriculture	8,314,136,906	7,885,636,906	1,016,000,000	1,205,546,141	13%	14%
State Department for Livestock	1,947,855,128	1,923,855,128	360,000,000	164,312,435	19%	8%
State Department for Fisheries	1,368,536,694	1,368,536,694	438,000,000	395,341,060	32%	29%
Ministry of Industrialization and Enterprise Development	2,568,513,330	2,544,513,330	647,000,000	873,298,803	25%	34%
State Department for Commerce & Tourism	2,891,637,766	2,838,537,766	870,000,000	1,041,456,612	31%	36%
State Department for East African Affairs	1,665,597,404	1,664,097,404	133,100,000	516,705,075	8%	31%
Ministry of Mining	728,072,090	714,072,090	111,100,000	31,582,439	16%	4%
Office of the Attorney General and Department of Justice	4,094,976,884	3,711,026,884	668,000,000	553,069,188	18%	14%
The Judiciary	12,623,930,000	12,623,930,000	2,095,000,000	2,125,722,832	17%	17%
Ethics & Anti-Corruption Commission	2,311,920,000	2,311,920,000	500,000,000	436,986,530	22%	19%
National Intelligence Service	20,142,000,000	20,142,000,000	3,405,000,000	4,166,227,790	17%	21%
Directorate of Public Prosecutions	1,964,064,002	1,964,004,002	401,000,000	289,600,636	20%	15%
Commission for Implementation of the Constitution	312,040,000	312,040,000	98,000,000	51,752,268	31%	17%
National Land Commission	1,101,365,410	1,101,365,410	323,000,000	209,227,035	29%	19%
Independent Electoral and Boundaries Commission	4,197,919,790	4,187,919,790	710,000,000	652,156,851	17%	16%
Parliamentary Service Commission	8,920,416,731	8,900,416,731	3,730,000,000	650,278,214	42%	7%
National Assembly	15,156,583,269	15,156,583,269	-	-	0%	0%

Judicial Service Commission	473,200,002	473,200,002	73,000,000	41,088,069	15%	9%
The Commission on Revenue Allocation	345,575,371	344,342,400	77,500,000	57,433,393	23%	17%
Public Service Commission	1,126,400,000	1,118,400,000	297,000,000	262,168,439	27%	23%
Salaries & Remuneration Commission	722,832,086	722,732,086	90,100,000	110,954,575	12%	15%
Teachers Service Commission	181,211,612,264	180,991,612,264	28,600,000,000	31,397,226,014	16%	17%
National Police Service Commission	437,500,000	437,500,000	132,700,000	81,765,434	30%	19%
Auditor General	3,736,490,000	3,626,090,000	706,000,000	570,762,058	19%	15%
Controller of Budget	580,830,272	580,830,272	95,000,000	62,697,668	16%	11%
The Commission on Administrative Justice	480,710,920	480,710,920	68,700,000	68,839,301	14%	14%
National Gender & Equality Commission	314,151,440	314,151,440	51,200,000	30,035,077	16%	10%
Independent Police Oversight Authority	419,483,700	419,483,700	97,500,000	72,603,401	23%	17%
TOTAL	784,203,639,380	717,019,195,805	117,373,000,000	140,731,528,049	16%	18%

ANNEX II: MDAs Development Expenditure-July to September 2015 (Kshs.)

MINISTRY/STATE DEPARTMENT	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To G.Est.
The Presidency	1,846,129,798	1,846,129,798	160,000,000	177,181,080	9%	10%
State Department for Interior	14,296,122,356	14,200,122,356	-	350,301,756	0%	2%
State Department for Coordination of National Government	1,011,000,000	1,011,000,000	-	24,849,540	0%	2%
State Department for Planning	61,713,146,934	60,218,095,064	4,991,378,115	14,768,949,884	8%	24%
State Department for Devolution	9,388,650,310	5,322,417,760	517,450,000	753,762,560	10%	8%
Ministry of Defence	42,000,000	-	-	-	-	0%
Ministry of Foreign Affairs	1,401,850,000	1,349,150,000	70,000,000	63,830,060	5%	5%
State Department for Education	22,408,280,160	21,356,204,460	5,000,000	665,907,100	0%	3%
State Department for Higher Education, Science and Technology	14,047,318,227	11,086,318,227	-	3,078,845,595	0%	22%
The National Treasury	49,769,897,696	33,568,291,200	1,615,134,165	999,609,426	5%	2%
Ministry of Health	30,664,366,834	19,648,428,814	2,929,716,480	4,174,541,492	15%	14%
State Department for Infrastructure	104,012,542,686	62,266,034,686	356,500,590	21,817,436,972	1%	21%
State Department for Transport	158,455,285,915	5,337,970,456	100,000,000	3,480,248,870	2%	2%
State Department for Environment & Natural Resources	8,285,721,671	5,191,308,490	104,196,170	326,153,798	2%	4%
State Department for Water & Regional Authorities	35,448,105,500	18,858,613,500	714,515,455	2,252,245,156	4%	6%
Ministry of Land, Housing, and Urban Development	28,118,632,530	23,608,119,030	2,590,000,000	6,296,910,512	11%	22%
Ministry of Information & Communication and Technology	8,943,097,566	5,143,097,566	1,455,599,490	1,704,957,799	28%	19%

Ministry of Sports Culture and Arts	3,641,370,680	3,550,400,000	106,600,000	122,886,686	3%	3%
Ministry of Labour Social Security and Services	15,579,713,290	15,578,313,290	-	1,567,482,357	0%	10%
Ministry of Energy and Petroleum	92,412,436,447	28,970,161,900	4,167,633,525	3,772,592,691	14%	4%
State Department for Agriculture	26,152,665,191	20,412,053,968	3,176,781,410	4,199,335,870	16%	16%
State Department for Livestock	5,170,792,079	3,801,694,598	212,287,775	829,339,982	6%	16%
State Department for Fisheries	3,139,232,762	2,139,232,762	-	34,083,121	0%	1%
Ministry of Industrialization and Enterprise Development	6,265,050,302	5,938,862,658	1,020,000,000	2,438,832,812	17%	39%
State Department for Commerce & Tourism	7,789,898,400	7,789,898,400	-	2,663,989,198	0%	34%
State Department for East African Affairs	115,000,000	50,000,000	-	-	0%	0%
Ministry of Mining	1,496,321,429	1,474,000,000	-	4,633,262	0%	0%
Office of the Attorney General and Department of Justice	549,928,571	241,000,000	80,000,000	77,557,125	33%	14%
The Judiciary	4,063,770,000	4,063,770,000	91,965,390	160,445,958	2%	4%
Ethics & Anti-Corruption Commission	300,000,000	300,000,000	-	-	0%	0%
Directorate of Public Prosecutions	254,000,000	254,000,000	-	(4,584,529)	0%	-2%
National Land Commission	439,200,000	439,200,000	-	117,035,164	0%	27%
Independent Electoral and Boundaries Commission	98,000,000	98,000,000	-	-	0%	0%
Parliamentary Service Commission	3,200,000,000	3,200,000,000	-	-	0%	0%
Public Service Commission	166,831,450	166,831,450	-	15,218,904	0%	9%

Teachers Service Commission	200,000,000	200,000,000	-	-	0%	0%
Auditor General	402,183,176	402,183,176	-	-	0%	0%
TOTAL	721,288,541,960	389,080,903,609	24,464,758,565	76,934,580,201	6%	11%

ANNEX III: Sectoral Recurrent Expenditure-July to September 2015 (Kshs.)

Sector	Gross Est.	Net Est.	Exch. Issues	Expenditure	% of Exch. to N. Est.	% Exp to G.Est.
Agriculture, Rural and Urban Development	16,671,440,280	16,205,525,530	2,833,000,000	2,437,663,594	17.5%	14.6%
Energy, Infrastructure and ICT	40,846,955,803	7,902,488,930	1,512,000,000	6,213,783,438	19.1%	15.2%
General Economics and Commercial Affairs (GECA)	7,125,748,500	7,047,148,500	1,650,100,000	2,431,460,490	23.4%	34.1%
Health	28,519,512,989	24,541,636,512	4,747,000,000	6,123,253,910	19.3%	21.5%
Education	299,596,567,807	280,585,367,807	40,064,000,000	56,278,944,443	14.3%	18.8%
Governance, Justice, Law and Order (GJLOS)	133,474,062,169	132,714,030,896	22,864,400,000	16,232,784,894	17.2%	12.2%
Public Administration and International Relations	115,465,121,739	114,054,711,256	20,173,300,000	19,993,325,667	17.7%	17.3%
National Security	112,471,042,100	112,471,042,100	17,200,000,000	25,207,989,141	15.3%	22.4%
Social Protection, Culture and Recreation	12,261,885,748	12,095,221,268	3,740,100,000	3,336,461,928	30.9%	27.2%
Environment Protection, Water and Natural Resources	17,771,302,245	9,402,023,006	2,589,100,000	2,475,860,544	27.5%	13.9%
Total	784,203,639,380	717,019,195,805	117,373,000,000	140,731,528,049	16.4%	17.9%

ANNEX IV: Sectoral Development Expenditure-July to September 2015 (Kshs.)

DEVELOPMENT	Gross Est.	Net Est.	Exch. Issues	Expenditure	% of Exch. to N. Est.	% Exp to G.Est.
Agriculture, Rural and Urban Development	63,020,522,562.00	50,400,300,358.00	5,979,069,185.00	11,476,704,649.00	11.9%	18.2%
Energy, Infrastructure and ICT	363,823,362,614.00	101,717,264,608.00	6,079,733,605.00	30,775,236,332.00	6.0%	8.5%
N General Economics and Commercial Affairs (GECA)	14,169,948,702.00	13,778,761,058.00	1,020,000,000.00	5,102,822,010.00	7.4%	36.0%
Health	30,664,366,834.00	19,648,428,814.00	2,929,716,480.00	4,174,541,492.00	14.9%	13.6%
Education	36,655,598,387.00	32,642,522,687.00	5,000,000.00	3,744,752,695.00	0.0%	10.2%
Governance, Justice, Law and Order (GJLOS)	20,572,820,927.00	20,167,892,356.00	171,965,390.00	608,569,850.00	0.9%	3.0%
Public Administration and International Relations	127,888,689,364.00	106,073,098,448.00	7,353,962,280.00	16,778,551,914.00	6.9%	13.1%
National Security	42,000,000.00	-	-			0.0%
Social Protection, Culture and Recreation	19,221,083,970.00	19,128,713,290.00	106,600,000.00	1,690,369,043.00	0.6%	8.8%
Environment Protection, Water and Natural Resources	45,230,148,600.00	25,523,921,990.00	818,711,625.00	2,583,032,216.00	3.2%	5.7%
Total	721,288,541,960.0	389,080,903,609.0	24,464,758,565.0	76,934,580,201.0	6.3%	10.7%

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